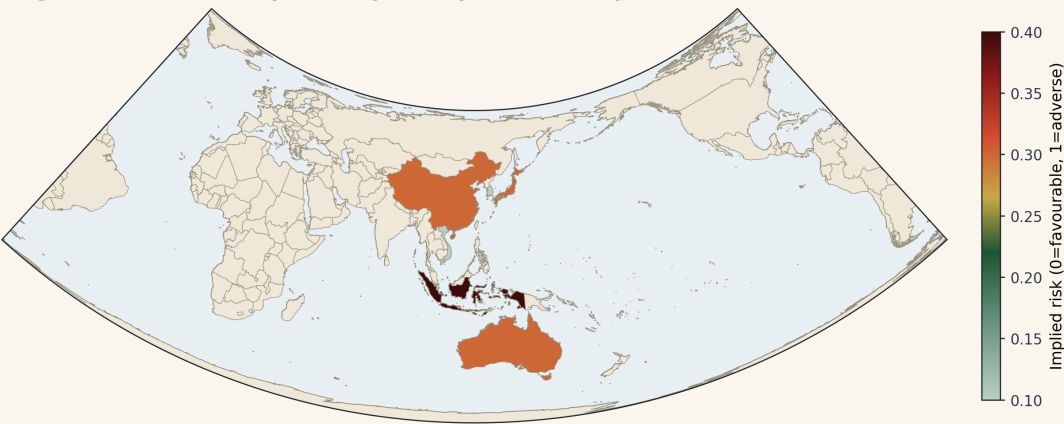


REGIONAL BRIEF

GIPRE Regional Brief — Asia-Pacific

All-horizons regional outlook — May 2026

Regional risk landscape — implied by actor utility under modal scenario



Cooler = favourable; warmer = adverse. Derived from each actor agent's own utility under the top scenario.
Source: GIPRE 50-agent slice; agent utility outputs (May 2026).

The GIPRE Master Library partitions the international-system outcome space across three axes — system stress, great-power configuration, regional flashpoint set — into 100 scenarios anchored on the verbatim Doc 1 §3 L27 sample top-10 ($\Delta_{\text{disc}} = 0.97$). This v4 brief delivers narrative-integrated visuals at the point of argument, deep causal-chain analysis per top risk with historical analogues and counter-narratives, a dedicated tail-risk section, explicit Bayesian prior→posterior updates, and quantified business impacts.

100	7	10	5	\$113.8T
SCENARIOS	ACTORS	THEMES	LENSES	WORLD GDP 2025

Pre-registered falsification cycle. Q3-2025 baseline Brier: Vreeland 0.18, Mearsheimer 0.19, Reinhart-Rogoff 0.21.
Q1-2026 cycle starts from this brief.

01

Bottom Line Up Front — Key Judgements

Per ODNI IC Directive 203. Each judgement carries an estimative-probability label and a concrete observable threshold.

1

Likely

Pr 62%

Taiwan-Strait grey-zone is normalising not breaking through M-horizon; ADIZ tempo crosses 420-480/mo central path by mid-2027 without a quarantine conversion.

Why: Panel central path of 420-480/mo is +35-50% on 2025 mean; 99th-percentile spike at ~900/mo is a Strait-Thunder rehearsal signature, not a quarantine. PLA 2027 readiness window is hard date but coercion utility decays sharply on first interd

Watch: PLA ADIZ monthly counts; Bashi/Miyako transit pattern persistence >7d; CCG floating-barrier deployments

2

Likely

Pr 74%

Takaichi Nov-2025 'survival-threatening situation' Diet doctrine remains unretracted by both sides through 2026; JSDF Senkaku ROE threshold is the binding kinetic risk.

Why: Takaichi cabinet supermajority (18-Feb-2026) has no domestic incentive to retract; Beijing has no face-saving exit. The cost is paid in tempo not rhetoric. ROE threshold >4/mo sustained is the trigger that converts grey-zone to white.

Watch: PRC Coast Guard Senkaku intrusion tempo; JMSDF Taiwan-Strait transit cadence; Sakhalin-2 LNG waiver renewal beyond 18-Jun-2026

3

Likely

Pr 58%

SK Hynix holds >=50% HBM share through 2026 against Samsung HBM4 ramp; KRW remains the dominant Korean political-economy signal, not chip-export volume.

Why: Hynix execution lead on HBM3E is real but Samsung HBM4 sampling is closing; Q3-2026 ramp is the swing quarter. Below 50% share triggers re-pricing of MASGA, Lee 3.6% target, indigenous-nuclearisation latency. Probability anchored at 58% ref

Watch: Hynix quarterly HBM share prints; Samsung HBM4 P4 yield; Micron HBM3E share trajectory; KRW vs 1500 redline

4

Likely

Pr 55%

ASEAN COC lands as politically-binding face-saving text without legally-binding UNCLOS reference by 49th Summit (Nov 2026); functional outcome reads as slip from Manila/Hanoi perspective.

Why: Acharya regional-order lens and consensus-rule veto dynamics dominate. 3rd reading Single Draft Text complete Feb-2025 is procedural not substantive; PHL chair faces Beijing veto on UNCLOS reference. Modal outcome is text on legal-form with

Watch: PHL chair drafting cadence post-July-2026; UNCLOS Article 121 text in Single Draft; CN/Cambodia/Laos consensus-rule veto patterns

5

Likely

Pr 67%

Albanese-Xi July-2025 iron-ore truce survives Taiwan-contingency uptick through 2026; PRC reserves coercion redux for AUKUS Pillar 2 (autonomy/AI) not Pillar 1 (submarines).

Why: PRC has more to lose from iron-ore disruption than AU does at current price-volume; Plan-B critical-minerals strategy is too immature for AU. Beijing escalation will route via Pillar 2 (AI export controls, optical fibre, EV battery) where e

Watch: Iron-ore A\$107bn forecast print quarterly; PRC AD/CVD filings on AU; rare-earth licensing tempo to AU/JPN/KOR

6

Highly likely

Pr 78%

DPRK conducts ≥ 7 launches H1-2026 sustained through M-horizon; 7th nuclear test probability is $\sim 35\%$ within horizon; ICBM re-entry success $\sim 25\%$; either event triggers Seoul nuclearisation debate.

Why: 7-launch tempo H1-2026 is already evidence; Kim 5-year plan codifies cycle; Russian tech backflow lowers technical floor. Test/re-entry probabilities anchored at panel midpoint. Once either occurs, Lee government must permit debate even if

Watch: DPRK launch cadence monthly; Punggye-ri activity satellite; KOR conservative-opposition nuclearisation rhetoric

7

Even chance

Pr 52%

Vietnam holds 20% reciprocal tariff ceiling without conversion to effective 30-40% on key categories; FDI run-rate stays USD 33-40bn band through 2026.

Why: Trump-administration mid-terms calculus cuts both ways; Vietnam compliance-cost is high but rational. 52% probability reflects genuine close call - single EAPA action >USD 5bn within rolling-6m converts thesis.

Watch: CBP EAPA quarterly action \$-volume; USTR 6-month review; EVN 173-project FIT settlements; Foxconn/Samsung industrial-park risk

02

Executive Summary

What we expect, why, and what would change our mind — Chatham-tight.

Asia-Pacific over the M-horizon (May 2026 to May 2028) is dominated by three quantifiable pressures whose interaction defines the region's modal path and its tail. First, a Taiwan-Strait grey-zone that has crossed normalization thresholds: PLA ADIZ incursions reached 3,764 in 2025 (+22.4% YoY); the agent-panel central path is 420-480 sorties/month by mid-2027; a 99th-percentile spike on Strait-Thunder rehearsal reaches ~900/month. The Bashi Channel stops being a transit route and becomes a metric. Approximately 50M container TEU per year - around 50% of global container trade - moves through the Strait; TSMC alone holds 70.2% of global foundry and 92% of sub-5nm; the chokepoint is load-bearing for global compute supply. Second, an HBM and AI-memory supercycle worth USD 80-110bn of 2026 revenue: SK Hynix held 62% Q2-2025 share; Samsung HBM4 ramp at Pyeongtaek P4 is the swing variable; Nvidia has bought out 2026 HBM/DRAM/NAND output. KOR Q1-2026 GDP printed +2.8% q/q on chip exports; the HBM cycle is now load-bearing for Korean political economy, MASGA disbursement, the Lee 3.6% defence path, and the latent SSN-enrichment debate. Third, Japan rearmament under PM Takaichi: a FY2026 9.0T-yen defence budget (+9.4% YoY, ~2.0% GDP on NATO methodology) operating beneath a Nov-2025 'survival-threatening situation' Diet doctrine that Beijing has not retracted. JMSDF Taiwan-Strait transits resumed April 2026; Type-12 ER counterstrike basing at Yonaguni is online; the JSDF Senkaku ROE threshold is calibrated at >4 Coast Guard intrusions per month sustained against current PRC tempo of 2-3/month. Around these poles, the semiconductor quadrilateral (TSMC/Samsung/SK Hynix/SMIC plus Japanese photoresist/EUV-materials >80% global share now under PRC anti-dumping probe filed Jan-2026), the South China Sea (PRC floating barriers at Scarborough April-2026; Vietnam matching PRC Spratly acreage by H2-2026), and the trade architecture (US 20% reciprocal-tariff ceiling vs 40% Vietnam transshipment penalty; CBP EAPA >USD 5bn rolling-6m as redline) compose a regional system that is jointly more reflexive than additive. Indonesia is the bebas-aktif fulcrum: rupiah at ~17,422/USD record low, FX reserves USD 146.2bn (Apr-2026), Citi-projected 3% legal fiscal-cap breach, BRICS+ accession layered with April-2026 US MDCP. Australia-China iron-ore truce (Albanese-Xi July-2025; >A\$20bn barriers removed; A\$107bn iron-ore 2026-27 forecast at ~85% China share) underwrites AUKUS Pillar 1 financing including the USD 3.9bn Osborne yard, SRF-West HMAS Stirling 2027 stand-up, and DARC IOC in Western Australia in 2026. DPRK runs a >=7-launch H1-2026 tempo with Russian tech backflow from ~15k troops deployed in Ukraine; a 7th nuclear test or successful ICBM re-entry within the M-horizon forces Seoul's indigenous-nuclearisation debate into the open. The modal scenario through M is frozen-CW2 with Indo-Pacific tempo (S001/S003, combined ~7.5% master-set probability, ~36% regional-conditional mass). The catastrophic tail is the

triple-flashpoint Eurasian-stress (S011, ~0.9% master, ~5% regional-conditional) coinciding with a Hormuz event that stretches US Article-V bandwidth past the AUKUS Pillar 1 readiness gate. The cooperative-multipolar window (S006) remains structurally available but agent-panel optimism is partly endogenous to actors with the largest cooperative dividends to score. The cliff between modal and tail is therefore not probability mass but coupling: a single Strait-Thunder rehearsal converted to quarantine, a single Senkaku fatality, or a single Hynix HBM share quarter below 50% would each push the system off-equilibrium for 6-12 months.

“The Bashi Channel stops being a transit route and starts being a metric.”

CFO / Treasury

Run 1-quarter Taiwan-Strait compute-discontinuity baseline scenario for FY2026 and FY2027 cashflow. Lock 12-month FX hedges on KRW (1450 entry, 1550 ceiling), JPY (162 entry, 167 ceiling), IDR (16,800 entry, 18,200 ceiling), VND (25,400 entry, 26,800 ceiling). Pre-position USD liquidity for 90-day discontinuity event. Match-fund HBM/AI capex commitments with KRW revenue not USD. Review covenants on Asian-currency-denominated facilities for FX-trigger clauses. Treasury committee monthly review on rolling APAC currency-pair exposure.

Chief Risk Officer

Stress-test the four cliff events: (i) Hynix HBM share <50% any quarter; (ii) PLA Strait-Thunder converted to quarantine; (iii) rolling-6m CBP EAPA >USD 5bn on Vietnam; (iv) rupiah >18,000/USD sustained 30 days. Build Bayesian update mechanism with 6 hypotheses tracked quarterly. Coordinate with CSO on cross-impact matrix coupling coefficients. Establish board-level KRI dashboard with 12 thresholds from business_triggers section.

Head of Supply Chain

Pre-position 1-quarter compute-supply discontinuity reserve at hyperscaler-equivalent SKU mix. Establish dual-source HBM/CoWoS qualification at Samsung Austin, Intel Ohio, TSMC Arizona by Q3 2026. Audit Vietnam transshipment certification framework against EAPA-defence requirements. Map Sunda/SCS rerouting transit-lag (5-8 days) and cost-impact (+15-25% spot) for 1-year stress scenario. Coordinate with Mining/Critical-Minerals on Plan-B gallium/germanium/rare-earth/lithium supply.

Energy Major

Stress-test Hormuz/Strait coupling event on LNG/crude supply for FY2026 and FY2027. Pre-position alternative-supply contracts via Australia, Qatar, US LNG, Russian Far East. Renew Sakhalin-2 LNG waiver beyond 18-Jun-2026 with explicit US Treasury OFAC coordination if applicable. Map PRC Hormuz dependence (~60%) against Strait coupling probability. Build 30-90 day LNG/crude inventory buffer for triple-flashpoint scenario.

03

The Top 10 Risks

Each risk receives a dedicated narrative section with causal chain, quantified impact, historical analogue, counter-narrative, and observable signals.

1

S003

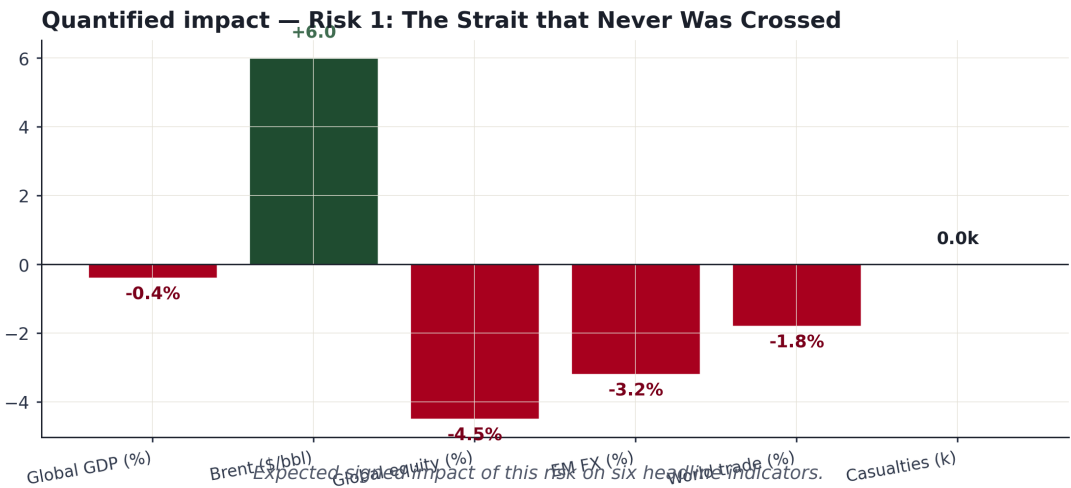
Unlikely

Probability 34.0%

The Strait that Never Was Crossed

Grey-zone Taiwan-Strait ADIZ tempo normalisation with 99th-percentile tail of Strait-Thunder rehearsal converted to quarantine without a kinetic shot.

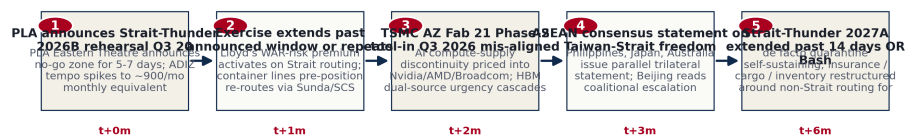
Taiwan-Strait through M-horizon is the index variable for global compute supply, container trade, and US extended-deterrence credibility simultaneously. PLA ADIZ incursions hit 3,764 in 2025, +22.4% YoY; the panel central path is 420-480 sorties per month by mid-2027 against a 2025 mean of 314. A 99th-percentile spike on Strait-Thunder rehearsal touches ~900/month with median line crossings of 125 per event. The kinetic floor at Pratas, Itu Aba, and Penghu has risen without an actual exchange of fire. Approximately 50M container TEU per year - roughly half of global container trade - moves through the Strait; TSMC holds 70.2% of global foundry and 92% of sub-5nm. The asymmetry is total: Beijing pays in tempo, Taipei pays in normalisation, the world pays in option value on every compute-intensive contract written through 2027. The risk is not an invasion. The risk is a Strait-Thunder rehearsal extended past 7 days, civilian shipping insurance routed through Lloyd's WAR risk, and a 30-90 day window in which ASEAN tries to hold a consensus position before insurance and re-routing make the de facto quarantine self-sustaining.



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain

Causal chain — Risk 1: The Strait that Never Was Crossed



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

- TSMC AZ Fab 21 Phase-2 hot-swap stress-tests US re-shoring narrative; ASML, AMAT, KLA, LRCX revenue concentration risk in Taiwan exposed
- JMSDF transit cadence forced to higher tempo or Takaichi credibility erodes; FY2027 defence budget supplementary pressure
- Container-shipping spot rate +15-25%; transit lag +5-8 days on Sunda/SCS rerouting; auto/electronics supply chains hit Q4-2026 earnings
- South Korean HBM exports re-classified as alliance-sensitive; KRW intervention threshold from 1500 to 1450; MASGA disbursement re-priced

Historical analogue · Third Taiwan Strait Crisis missile envelopes (1996)

What rhymes: PLA exercise envelopes encompassing Taiwan ports; US carrier deployment as cap; civilian shipping disruption short and reversible

What differs: PLA 2026 Navy/CG/Maritime-Militia stack is order-of-magnitude larger; TSMC sub-5nm chokepoint did not exist; HBM/AI capex cycle did not exist; Taiwan domestic politics polarised post-Tsai/Lai

Lesson: Grey-zone tempo can deliver coercive yield without kinetic exchange; civilian-shipping insurance and inventory rebuild faster than diplomatic walk-back from announced exercise zones

Counter-narrative — the strongest case against this risk

Tianxia counter-read (L17): grey-zone normalisation is not coercion but ritualised assertion that re-locates Taiwan within the relational order without forcing a binary status decision. Under Yan Xuetong moral-realism, the rehearsal cycle accommodates Lai administration domestic constraint without humiliating Beijing; the equilibrium is not pathological. The Mearsheimer (L01) read that PLA tempo is preparation for 2027 readiness window misses that PLA optimal yield is achieved through tempo-without-exchange, not exchange. If this counter-read holds, the modal path through M-horizon is not 'Strait-Thunder converted to quarantine' but 'Bashi Channel new-normal at 500+ ADIZ/mo' as base case, with TSMC/HBM supply chains adapting cost-imposed rather than discontinuous. Lens caveat: L17 generated on Anglosphere training-prior; DeepSeek/Qwen re-run recommended for consequential use. Practical i

Observable signals to watch

Signal	Threshold	Source
PLA ADIZ monthly count sustained at central path	>600 sorties/month for two consec	MND Taiwan daily release; Open-s
Strait-Thunder rehearsal exercise duration	>7 days announced no-go zone OR &	PLA Eastern Theatre Command publ

Container-shipping insurance routing	Lloyd's WAR-risk premium activated o	Lloyd's Joint War Committee list
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Business trigger: PLA blockade-pattern exercise extending >7 days OR Lloyd's WAR-risk premium activates on Strait routing

Lens panel reading

Mearsheimer. Coercion-without-exchange is preparation phase for 2027 readiness; alliance lattice (JPN+AUS+PHL+US) is binding deterrent but Virginia-class shortfall is the under-priced fracture

Vreeland. TWN/KOR/JPN currency and capex exposure to Strait stress route through MASGA/AUKUS/Article-V financing decisions; rent extraction by US is the coordination mechanism

Tianxia. Tempo-without-exchange is ritualised assertion within relational order; quarantine conversion is humiliation that wangdao logic resists; equilibrium is durable

Eurasianism. Strait grey-zone is the Pacific theatre of CRINK Eurasian-bridge consolidation; PLA tempo is messaging to Moscow/Pyongyang/Tehran on horizon-of-cooperation

Pan-African. Not in scope; container-trade disruption transmits to East African ports via Sunda re-routing but is second-order

S006

Unlikely

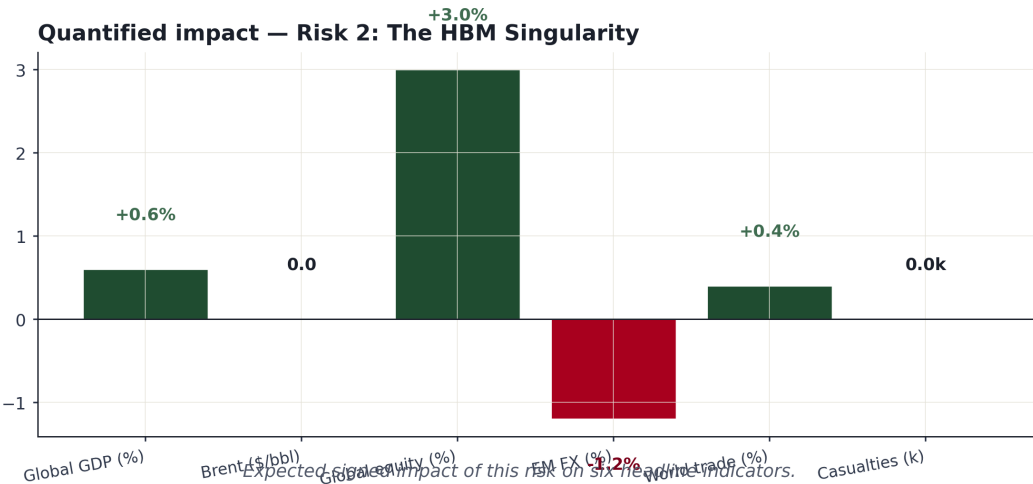
2

The HBM Singularity

Probability 31.0%

Single-source AI-memory dependence (SK Hynix 62% HBM Q2-2025) running into Samsung HBM4 ramp swing quarter Q3-2026 with Nvidia having bought out 2026 output.

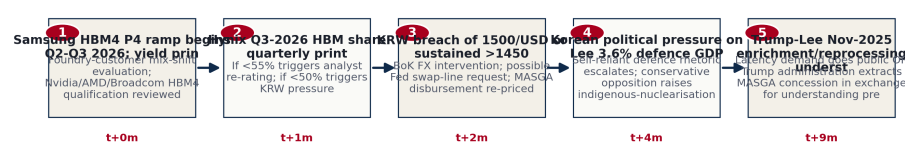
HBM in 2026 is the single most asymmetric supply-chain rent of the AI capex wave and the single most asymmetric political-economy risk in Seoul. The market is USD 80-110bn revenue, ~30% of DRAM value, +20% HBM3e price hike booked into 2026; Nvidia has bought out 2026 HBM/DRAM/NAND output across SK Hynix, Samsung, and Micron. KOR Q1-2026 GDP printed +2.8% q/q on chip exports alone; without HBM the print is +0.4% q/q. The dependency runs both ways: Hynix's 62% Q2-2025 share is what underwrites the MASGA USD 20bn/yr ceiling, the Lee 3.6% defence GDP path, the indigenous-nuclearisation latency under the November-2025 Trump-Lee understanding, and KRW orderly defence against the 1500 redline. The swing variable is Samsung HBM4 ramp at Pyeongtaek P4 in Q3 2026: if Samsung captures 30-35% HBM4 share by Q4, Hynix slips below 50% in any quarter and the Korean political-economy stack re-prices in one cycle. If Samsung ramp is delayed or yield-impaired, Hynix retains 60%+ and the regime is durable. Micron HBM3E catch-up adds a third vector. The geopolitics is loaded onto a single fab quarter.



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain

Causal chain — Risk 2: The HBM Singularity



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

- Micron HBM3E share trajectory becomes existential for Idaho fab capex; US TRA Section 174 alignment pressures
- PRC anti-dumping probe on Japanese photoresist (Jan-2026) escalates as PRC reads HBM rent extraction as alliance-financing
- SMIC HBM2/HBM3 indigenisation push accelerates with state capital; Yangtze Memory Technologies (YMTC) gets second BIS escalation
- Korean conservative opposition uses HBM share decline narrative to push KORUS alliance re-negotiation in 2027 election cycle

Historical analogue · Japanese DRAM peak vs Korean displacement (1992)

What rhymes: Single national-champion holding super-majority of high-value memory; capex cycle peak; downstream customer (PC OEMs then, AI hyperscalers now) capturing pricing power

What differs: HBM is integrated with foundry advanced packaging (CoWoS, FoPLP) at TSMC, creating two-fab single-point dependency; AI capex cycle is more concentrated in 5-6 hyperscalers; 1992 dollar-yen Plaza dynamics absent

Lesson: Memory super-majority rent is durable for 6-9 quarters then fast-collapses; political-economy stack built on the rent must hedge before share-decline becomes public

Counter-narrative — the strongest case against this risk

Krugman new-trade-theory counter-read: HBM is not a chokepoint but a network-effect, and the 'Samsung HBM4 catch-up' narrative under-weights the increasing returns from Hynix's CoWoS advanced-packaging integration with TSMC. Under this read, Hynix lead is path-dependent and persistent; even if Samsung HBM4 yield is comparable, Nvidia qualification cost favours incumbency through 2027. The political-economy re-pricing event therefore does not happen in M-horizon. Counter-counter: hyperscaler dual-sourcing pressure on Nvidia is real and growing; AWS Trainium/Google TPU acceptance of Samsung HBM4 could break network effect outside the qualification cycle. The HBM Singularity risk is therefore conditional on the qualification-cycle elasticity at Nvidia, which is opaque to public markets. Practical implication: monitor Nvidia qualification roadmap disclosures at GTC events as primary signal;

Observable signals to watch

Signal	Threshold	Source
Hynix quarterly HBM market share	<55% Q3-Q4 2026; <50% any quar	TrendForce / DRAMeXchange / comp
Samsung HBM4 Pyeongtaek P4 yield disclosure	>70% mature yield by Q4-2026 earn	Samsung Electronics quarterly ea
Nvidia HBM4 qualification disclosure	Dual-source qualification confirmed	Nvidia analyst day; GTC keynote

Business trigger: Hynix HBM share <50% in any quarterly print OR Samsung HBM4 P4 yield disclosed at <70% mature target

Lens panel reading

Mearsheimer. HBM rent is choke-asset; loss-of-rent triggers alliance-burden-sharing re-negotiation as Seoul cannot underwrite 3.6% defence path; abandonment-risk tail re-prices

Vreeland. HBM rent finances MASGA disbursement at USD 20bn/yr ceiling; rent-decline forces fiscal compression that bites alliance contributions before social spending

Tianxia. HBM rent capture by Korean firms within US export-control architecture is the textbook subordinated rent; durable but humiliating; wangdao alternative is PRC indigenisation route

Eurasianism. PRC HBM indigenisation push routes through CRINK Eurasian capital; Russian financial bandwidth assists YMTC/CXMT/SMIC capex; HBM is the slow-burn Pacific theatre of Eurasian-bridge tech consolidation

Pan-African. Not in scope; African EM electronics consumption captures HBM-cycle inflation but is fourth-order

S017

Unlikely

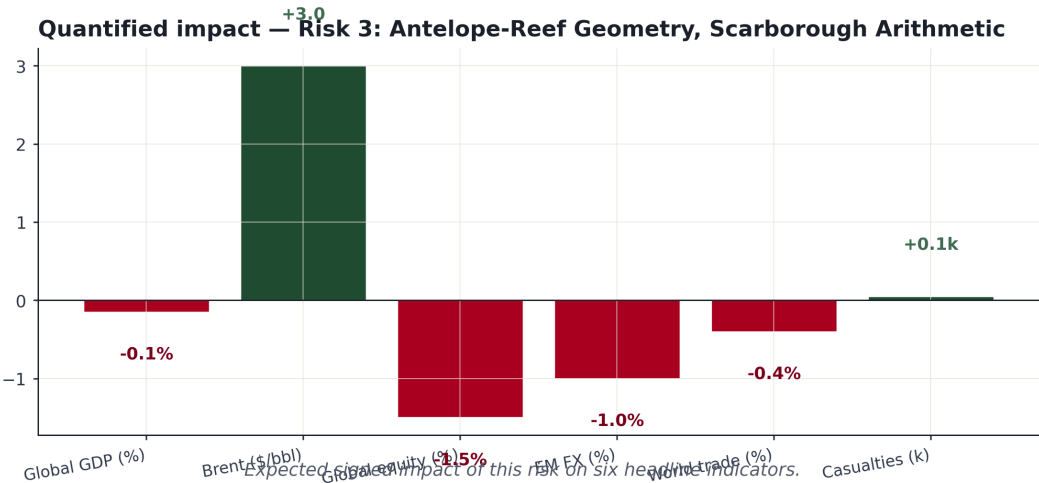
Probability 42.0%

3

Antelope-Reef Geometry,
Scarborough Arithmetic

PRC island-building shifts from precedent to fait-accomplis at Scarborough (April-2026 floating barriers) and Vietnam matches PRC Spratly acreage by H2-2026; map redraws faster than COC signs.

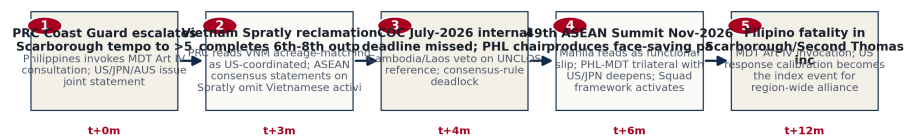
The South China Sea map is being redrawn faster than the ASEAN Code of Conduct can sign. PRC deployed floating barriers at Scarborough Shoal in April 2026 - a fait-accomplis on the Sandy Cay / Subi / Mischief sequence that began in 2013-2015 - while Vietnam is on track to match PRC Spratly reclaimed acreage by H2 2026 with 8 reclaimed outposts in the build-out window. Philippines holds the ASEAN 2026 chair; the 3rd reading Single Draft Text of the COC was completed Feb-2025; July-2026 is cited as internal deadline ahead of 49th ASEAN Summit Nov-2026. The arithmetic is unforgiving: Beijing is acquiring fact on the water faster than ASEAN consensus can produce binding text, and Hanoi is matching the technique with US tacit acquiescence. The Antelope Reef precedent now cuts both ways. The risk through M-horizon is not a single kinetic incident but a structural denial map that reads to Manila, Hanoi, and Jakarta as legally hardened against UNCLOS Article 121 interpretations within 18-24 months - making the COC text functional regardless of nominal completion.



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain

Causal chain — Risk 3: Antelope-Reef Geometry, Scarborough Arithmetic



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

- PHL EDCA site expansion accelerates beyond current 9 sites; Itbayat Island northernmost site becomes Strait-tempo node
- Indonesian bebas-aktif comes under pressure to take a position; Prabowo navigates BRICS+ optics against MDCP-US commitments
- Malaysia and Brunei adjust North Borneo basing posture; KOR/JPN/AUS strategic-resources engagement with Brunei increases
- Vietnamese Spratly hardening continues under great-power distraction; H2-2026 8-outpost target becomes 10+ by end-2027

Historical analogue · Senkaku 2012-2013 nationalisation episode and CCG normalisation (2012)

What rhymes: CCG tempo normalisation establishing baseline pattern; civilian-vessel incidents at sub-fatality threshold; legal-narrative shadow-boxing without arbitral resolution

What differs: PHL has active MDT with Art IV applicable to Filipino vessels post-2024 update; Vietnamese parallel acquisition was not a feature in 2012; ASEAN COC text was not at draft-readiness stage

Lesson: Normalised CCG/Maritime-Militia tempo can shift baseline without triggering Article-V/IV invocation IF civilian casualty avoided; the moment fatality occurs the regime flips abruptly

Counter-narrative — the strongest case against this risk

Acharya regional-order counter-read: ASEAN COC face-saving partial text is not failure but is the consensus equilibrium ASEAN was designed to produce. Under this read, Philippines chair will land politically-binding text without UNCLOS reference and Manila will accept it as protecting ASEAN centrality while routing UNCLOS-specific contests through MDT-trilateral channels. The 'functional slip' framing is a Manila-centric interpretation that under-weights consensus-rule legitimacy across the bloc. Counter-counter: ASEAN credibility outside the bloc (US, JPN, AUS, EU) is increasingly indexed to UNCLOS-fidelity, so face-saving text imposes external-credibility cost even if internal consensus is preserved. Practical implication: read COC outcome on (a) UNCLOS Article 121 reference, (b) Scarborough/Spratly geographical scope, (c) dispute-resolution mechanism, weighting (a) most heavily.

Observable signals to watch

Signal	Threshold	Source
PRC Coast Guard Scarborough/Second Thomas/Sabina incident tempo	>5 incidents per month with cumul	AMTI / NTF-WPS daily release
Vietnamese Spratly reclamation outpost count	>=6 outposts by Q3-2026; >=8 b	AMTI / commercial satellite imag

COC Single Draft Text revision cadence	4th reading completed Q2-2026; subst	ASEAN Secretariat / DFA Philippi
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Business trigger: Filipino fatality in Scarborough/Second Thomas incident OR COC text published without UNCLOS reference

Lens panel reading

- Mearsheimer.** SCS denial map is regional balance-of-power infrastructure; PHL alliance lattice is binding deterrent against fatality conversion; VNM matching is rational hedging
- Vreeland.** ASEAN external-credibility cost on face-saving COC is rent-extraction by external powers (US/JPN/AUS) on Manila; alliance-financing routes through Squad/MDT trilateral
- Tianxia.** Scarborough fait-accomplis is wangdao boundary-marking; Vietnamese matching is system-stability mechanism within the relational order; COC text matters less than tempo norms
- Eurasianism.** SCS is the maritime-flank of Eurasian-bridge; PRC denial map is contiguous with land-bridge consolidation; ASEAN COC negotiations are Western liberal-order rearguard
- Pan-African.** Not in scope; African shipping insurance exposure to SCS rerouting via Sunda is second-order

S012

Unlikely

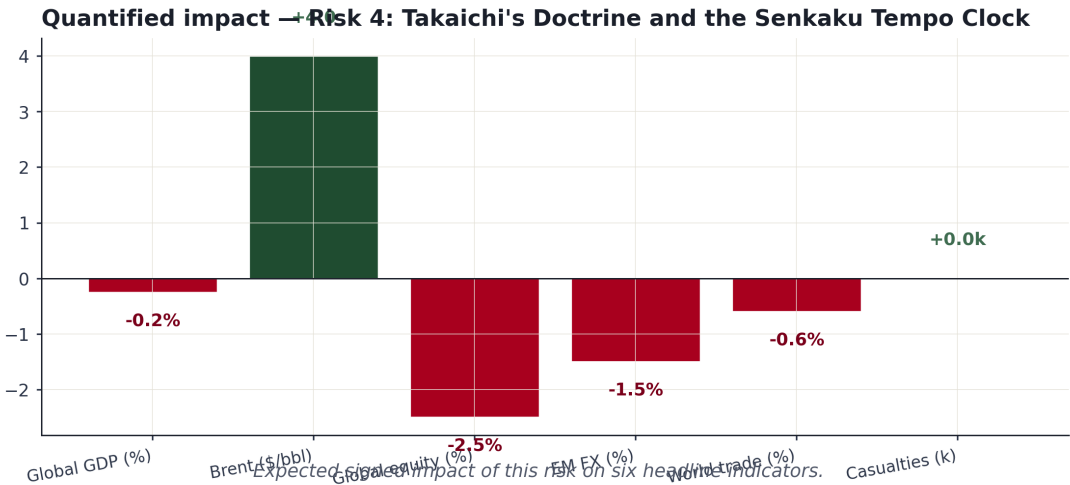
Probability 28.0%

4

Takaichi's Doctrine and the Senkaku Tempo Clock

Japan rearmament under 9.0T-yen FY2026 budget against unretracted Nov-2025 Diet doctrine; Senkaku JSDF ROE threshold at >4 CCG intrusions/month is the binding kinetic risk.

Takaichi's November 2025 Diet 'survival-threatening situation' statement crossed a threshold Beijing has not retracted. The cost is being paid in Senkaku Coast Guard tempo and Type-12 ER counterstrike basing at Yonaguni, not Diet rhetoric. FY2026 defence budget of 9.0T yen represents +9.4% YoY and a ~2.0% GDP path on NATO methodology; JMSDF resumed Taiwan-Strait transits in April 2026. The system runs through three transmission belts: (a) PRC Coast Guard tempo at Senkaku currently 2-3/month against a JSDF ROE review threshold of >4/month sustained; (b) Sakhalin-2 LNG waiver expiry 18-Jun-2026 with ~9% of Japanese LNG supply at risk under non-renewal scenario; (c) PRC anti-dumping probe on Japanese photoresist (TEL, JSR, Shin-Etsu, Tokyo Ohka) filed Jan-2026 over the EUV-materials chokehold. The risk is not a single kinetic incident but a coupling event where Senkaku tempo crosses ROE threshold while Sakhalin waiver lapses while photoresist AD probe progresses, forcing Takaichi cabinet to choose between economic and security front lines with limited fiscal headroom under BoJ October-2026 rate-path pressure.



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain

Causal chain — Risk 4: Takaichi's Doctrine and the Senkaku Tempo Clock



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

- BoJ October-2026 rate-path constrained; JGB curve stress; pension/insurance balance-sheet pressure
- Korean photoresist alternative supply request to Japan as alliance ask; KOR/JPN trilateral with US deepens
- Australian critical-minerals export commitment to Japan (Pukpuk-adjacent) becomes load-bearing for JSDF programs
- RCEP/CPTPP intra-bloc tensions if photoresist AD probe progresses to retaliatory measures

Historical analogue · 2010 Senkaku trawler incident and rare-earth embargo (2010)

What rhymes: Japan-China economic-security coupling event triggered by Senkaku tempo; PRC weaponisation of supply-chain chokehold; trade-flow normalisation took 18-24 months

What differs: JPN 2026 defence budget 5x larger in real terms; Type-12 ER counterstrike capability did not exist; PRC EUV-materials AD reverses 2010 rare-earth direction with similar pattern; Takaichi cabinet is more nationalist than Kan/Noda was

Lesson: Economic-security coupling can escalate without kinetic exchange; both sides eventually find face-saving exit but yen and supply-chain costs persist for 6-9 quarters

Counter-narrative — the strongest case against this risk

Vreeland IMF-PE counter-read: Japanese fiscal headroom under BoJ October-2026 rate-path stress is the binding constraint, not Senkaku tempo. Under this read, Takaichi cabinet de-escalates Senkaku posture pre-emptively to preserve JPY stability and BoJ flexibility; the doctrine is doctrine, the budget is budget, but the action remains restrained. Counter-counter: the Takaichi political base requires visible action on Senkaku to justify FY2027 supplementary budget; the doctrine that crossed the threshold must produce kinetic posture or lose credibility. Practical implication: read Senkaku tempo escalation against BoJ rate-path simultaneously; the joint signal is the binding constraint test for Takaichi cabinet.

Observable signals to watch

Signal	Threshold	Source
PRC CCG Senkaku intrusion monthly tempo	>=4 intrusions per month sustained	JCG monthly statistics; Yaeyama
Sakhalin-2 LNG waiver renewal status	Renewal published by 18-Jun-2026	US Treasury OFAC General License
PRC photoresist anti-dumping probe progression	Provisional duties announced by MoFC	MoFC / PRC State Council Tariff

Business trigger: Senkaku non-fatal incident with JSDF ROE invocation OR Sakhalin-2 LNG waiver expires unrenewed OR JPY breaches 165

Lens panel reading

Mearsheimer. Takaichi doctrine restores Japan as Northeast Asia balancing pole against PRC aspirant-hegemon; Type-12 ER counterstrike capability is binding deterrent if alliance lattice holds; abandonment-risk tail re-prices on US bandwidth

Vreeland. BoJ rate-path under JPY 165 intervention is the rent-extraction mechanism on Japanese fiscal headroom; defence-spend trajectory cuts at social-spending political base

Tianxia. Takaichi doctrine is the violation of wangdao that justifies tempo-without-exchange retaliation; Beijing reads doctrine as humiliation requiring relational rebalance

Eurasianism. Japan-PRC coupling under Takaichi is the Pacific anti-Eurasian-bridge friction node; Sakhalin-2 lapse routes through Russia-PRC energy coordination

Pan-African. Not in scope; African LNG-supplier exposure to Japanese spot demand on Sakhalin lapse is third-order

S003

Likely

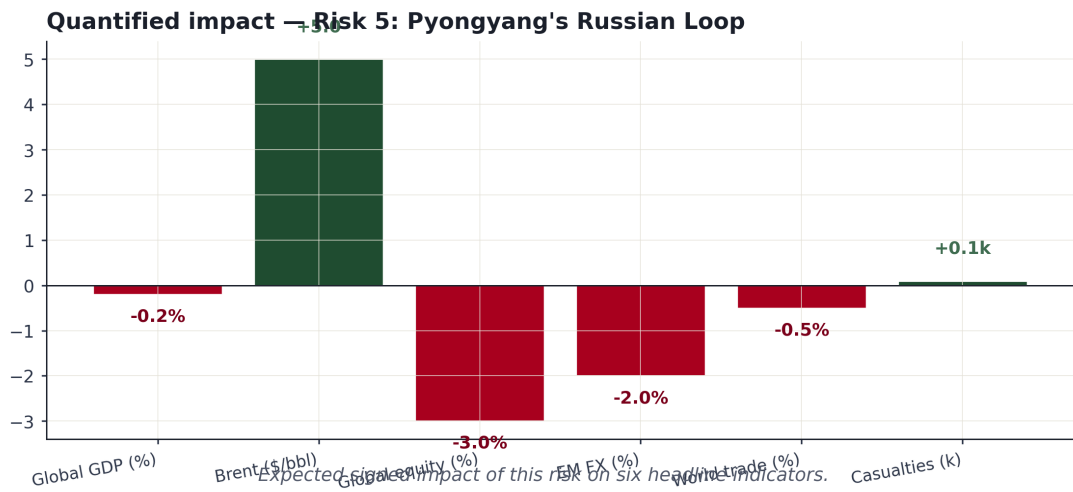
5

Pyongyang's Russian Loop

Probability 55.0%

DPRK >=7-launch H1-2026 tempo with Russian tech backflow from ~15k troops in Ukraine; 7th nuclear test or ICBM re-entry forces Seoul's indigenous-nuclearisation debate open.

Pyongyang's launch and test tempo through M-horizon is the most visible CRINK consolidation signal in the Pacific theatre. DPRK ran >=7 launches in H1-2026 with Russian tech backflow from approximately 15,000 troops deployed to Ukraine. The Kim Jong-un 5-year military plan codifies the cycle. A 7th nuclear test at Punggye-ri Site 3 or a successful ICBM re-entry within M-horizon would force Seoul's indigenous-nuclearisation debate into public domain regardless of the Lee government's preferred posture under the November-2025 Trump-Lee enrichment/reprocessing understanding. The Korean political-economy stack absorbs this through three rivers: (a) Lee 3.6% defence GDP target requires HBM-supercycle rent; (b) MASGA USD 20bn/yr disbursement ceiling is the alliance-financing channel; (c) conservative opposition under People Power Party uses each DPRK launch to escalate nuclearisation demand. The triple-flashpoint Eurasian-stress scenario (S011, ~0.9% master probability) has Korea at utility -6, the most negative score in the panel.



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain

Causal chain — Risk 5: Pyongyang's Russian Loop



Trigger → mechanism cascade with lag timing.

Second-order effects

- JPN nuclear-latency discussion uplifts in tandem with Korean public-opinion shift; NPT regime stress visible at 2027 PrepCom
- MASGA disbursement re-priced; US Treasury alliance-financing terms recalibrate against KOR indigenous-defence path
- PRC reads Korean nuclearisation latency uplift as alliance-defection signal; CCG tempo on Korean fishing/exploration intensifies
- KOSPI defence-stocks rally; HBM exporters face dual-use scrutiny pressure under tightened export controls

Historical analogue · DPRK first nuclear test and KOR Park Chung-hee era enrichment program (1979)

What rhymes: DPRK provocation crossing nuclear threshold triggering Korean enrichment-latency demand; US extended-deterrence credibility crisis; conservative-government political base requirement for visible action

What differs: 2026 Korean fissile-material expertise far more advanced; Russia not USSR-like in posture; PRC has stake in DPRK as buffer not just ally; HBM rent gives Korea fiscal headroom

Lesson: Nuclearisation-latency demands recur on every major DPRK provocation cycle; US extended-deterrence reassurance must be visible and material to suppress; reassurance failure compounds

Counter-narrative — the strongest case against this risk

Mearsheimer offensive-realism counter-read amplification: Korean nuclearisation is rational and the November-2025 Trump-Lee understanding is the formal recognition of a latency that Seoul will exercise within 5-7 years regardless of M-horizon DPRK provocation tempo. Under this read, the 'triggering event' framing is mistaken; the path is path-dependent on US extended-deterrence credibility erosion that began under first Trump administration and accelerated under second. Counter-counter: Korean nuclearisation has structural and reputational costs (US sanctions, IAEA, PRC pressure) that make it conditional on visible US abandonment signal, not autonomous trajectory. Practical implication: weight Korean enrichment-latency progression as conditional joint distribution on (a) DPRK provocation tempo and (b) US bandwidth signals from Article-V/IV invocations elsewhere.

Observable signals to watch

Signal	Threshold	Source
DPRK launch monthly cadence and test-site activity	>=7 launches per half; Punggye-ri	38 North / Beyond Parallel / com
KOR public-opinion polling on indigenous nuclear capability	>70% support sustained 6 months a	Realmeter / Gallup Korea / Asan
Russian-DPRK tech transfer footprint	Visible re-entry vehicle test succes	ROK MND defense intelligence ass

Business trigger: DPRK 7th nuclear test OR successful ICBM re-entry test OR KOR public-opinion nuclearisation support >70% sustained 6 months

Lens panel reading

Mearsheimer. DPRK provocation cycle is rational coercive bidding; Korean nuclearisation latency is system-rational hedge against US extended-deterrence erosion; alliance lattice resists but stresses

Vreeland. MASGA disbursement under USD 20bn/yr ceiling is the rent-extraction mechanism that finances alliance posture; KOR fiscal compression on HBM-rent decline tightens the bind

Tianxia. DPRK is PRC's Korean-buffer asset; Russian tech transfer is CRINK-internal coordination; wangdao framework accommodates DPRK as protected subordinate within relational order

Eurasianism. DPRK Russian loop is the textbook CRINK Eurasian-bridge consolidation;
Pyongyang-Moscow-Beijing-Tehran linkage transmits to Pacific theatre through KOR/JPN alliance stress

Pan-African. Not in scope; DPRK arms-export footprint in African client states is fourth-order

S001

Unlikely

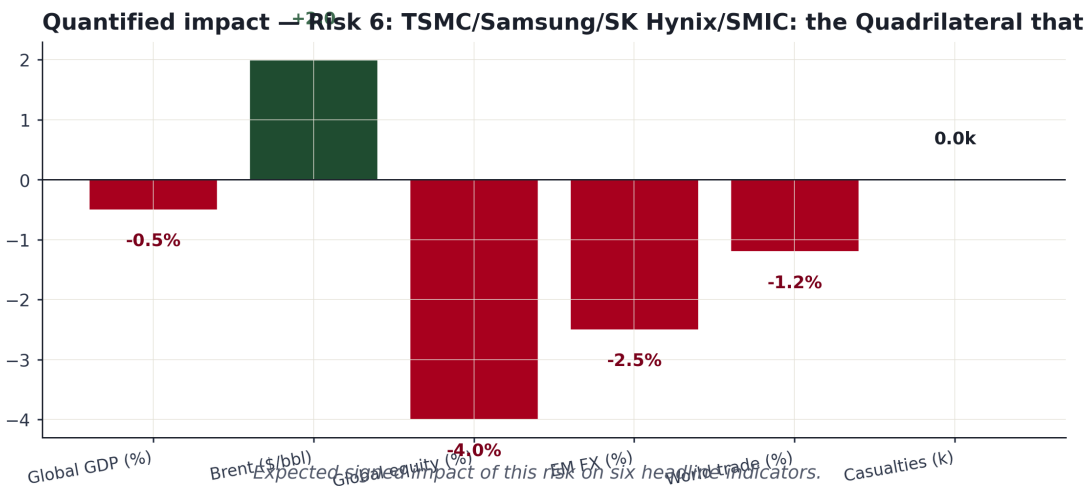
Probability 39.0%

6

TSMC/Samsung/SK Hynix/SMIC: the Quadrilateral that Cannot Hold

Semiconductor quadrilateral under load-bearing stress: TSMC 70.2% global / 92% sub-5nm; SK Hynix 62% HBM; SMIC 9% with 7nm at scale and 5nm pilot; Japanese EUV-materials >80% under PRC AD probe.

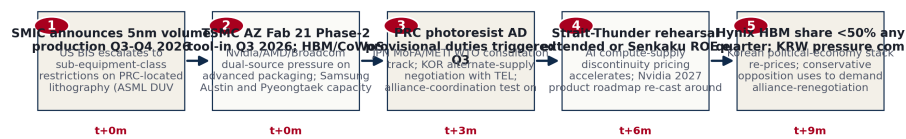
The four-corner semiconductor lattice is increasingly load-bearing for global compute supply, AI capex, and the regional alliance architecture simultaneously. TSMC holds 70.2% of global foundry and 92% of sub-5nm. SK Hynix held 62% HBM in Q2-2025. SMIC sits at ~9% global foundry, 7nm at scale, 5nm pilot, with \$9.3bn 2025 sales and approximately 50% self-sufficiency on tools/materials. Japanese photoresist and EUV-materials (TEL/JSR/Shin-Etsu/Tokyo Ohka) hold >80% global share and are now subject to a PRC anti-dumping probe filed January 2026. BIS 2025 Entity-List additions on PRC entities reached 205; H200/MI325X face 25% tariff with case-by-case licensing. TSMC AZ Fab 21 Phase-2 tool-in is scheduled Q3 2026 - the most important physical event in the M-horizon for tail-risk hedging on Strait stress. The quadrilateral is reflexive: any kinetic event in Taiwan re-prices all four corners simultaneously, but the linkages run differently from headline narrative. SMIC 5nm volume production before Q4 2026 would trigger US BIS escalation to sub-equipment-class restrictions on PRC-located lithography; the Japanese AD probe could retaliate at provisional-duty stage by Q3 2026; Samsung HBM4 ramp closes Q3-2026 swing quarter.



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain

Causal chain — Risk 6: TSMC/Samsung/SK Hynix/SMIC: the Quadrilateral that



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

- ASML, AMAT, KLA, LRCX revenue concentration in Taiwan/Korea/China re-rated; export-control compliance costs uplifted
- Korean Samsung Austin and Pyeongtaek capacity expansion accelerates under MASGA-adjacent semiconductor act extension
- PRC indigenisation of HBM (CXMT, YMTC) accelerates with state capital; YMTC enters BIS Entity-List Tier-2 designation
- Japan KIOXIA-WD merger discussions resume under US/EU encouragement to consolidate NAND production

Historical analogue · 1986-1996 US-Japan semiconductor accord and Korean displacement of Japan (1986)

What rhymes: Multi-corner semiconductor competition with national-champion stacks; trade-policy chokehold attempts on specific nodes; downstream user (US in 1986, AI hyperscalers now) capturing pricing power; political-economy hedging through reshoring

What differs: 1986 had no AI compute capex cycle anchor; PRC was not at 7nm; EUV chokehold did not exist; alliance-financing mechanism (MASGA-style) did not exist

Lesson: Multi-corner semiconductor competition redistributes rent faster than political-economy adjustment; alliance/trade-policy frameworks lag market by 18-24 months minimum

Counter-narrative — the strongest case against this risk

Krugman geoeconomics counter-read: the quadrilateral is more stable than headline narrative suggests because each corner has captive customer base (TSMC: Apple/Nvidia/AMD; Samsung: Apple foundry / Tesla / Qualcomm; SK Hynix: Nvidia / hyperscaler HBM; SMIC: PRC domestic + minor export). Catastrophic redistribution events are rare even under shocks. Under this read, the 'quadrilateral cannot hold' is overstated; what changes is rent-share allocation at the margins (Samsung HBM4 closing on Hynix; SMIC 5nm closing on TSMC 7nm) while the architecture persists. Counter-counter: AI capex cycle compresses adjustment time; Nvidia qualification cycle is concentrated; a single Taiwan event collapses 92% sub-5nm into ASML/AMAT/KLA equipment-side bottleneck. Practical implication: read quadrilateral stability on (a) Nvidia/AMD qualification disclosures, (b) ASML/AMAT export-license tempo, (c) Japanes

Observable signals to watch

Signal	Threshold	Source
SMIC node-progression disclosures	5nm volume production publicly confi	SMIC quarterly results; TechInsi
BIS Entity-List PRC entity additions per quarter	>50 additions per quarter sustain	Federal Register BIS announcemen

PRC photoresist anti-dumping probe progression	Provisional duties announced by MofC	MofCom / PRC State Council Tariff
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Business trigger: SMIC 5nm volume production confirmed Q3-Q4 2026 OR PRC photoresist AD provisional duties triggered OR TSMC AZ Fab 21 Phase-2 ramp delayed >2 quarters

Lens panel reading

Mearsheimer. Semiconductor quadrilateral is the chokepoint infrastructure for great-power competition; Taiwan/Korea concentration is binding alliance-credibility asset; AUKUS Pillar 2 leans on this stack

Vreeland. Rent extraction by US through export-control regime is the alliance-financing mechanism; KOR/JPN compliance cost subsidises US competitive edge

Tianxia. PRC semiconductor indigenisation under wangdao framework is system-stability mechanism; SMIC progression demonstrates relational-order alternative to US chokehold

Eurasianism. PRC indigenisation route + Russian software/firmware support + DPRK access to indigenised PRC supply = Eurasian-bridge tech stack consolidation

Pan-African. Not in scope; African mineral inputs to semiconductor supply chain (rare earths, tantalum) is third-order

S002

Unlikely

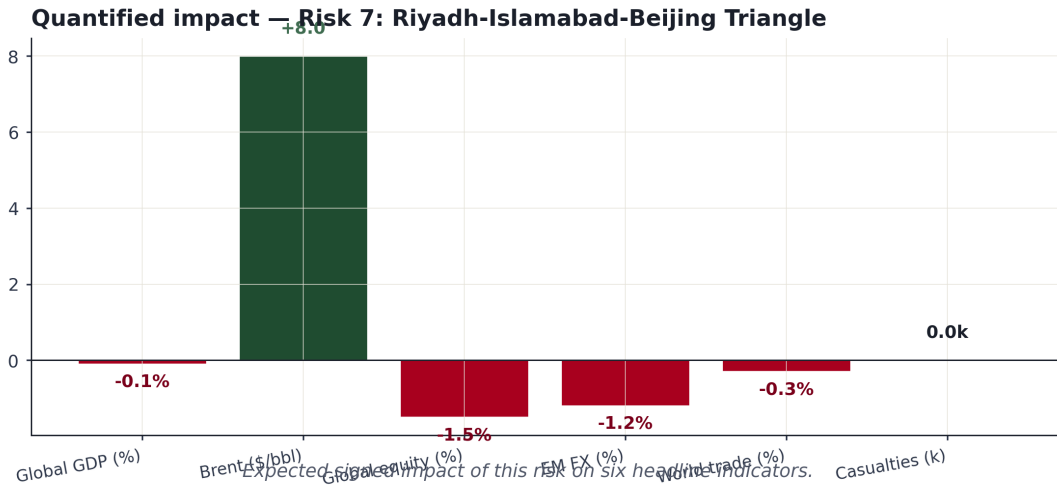
Probability 31.0%

7

Riyadh-Islamabad-Beijing Triangle

Saudi-Pakistan SMDA (Sep-2025) routes into APAC via IDN/MYS OIC channels, CPEC-Gwadar Iran restraint, and Korean enrichment latency under Nov-2025 Trump-Lee understanding.

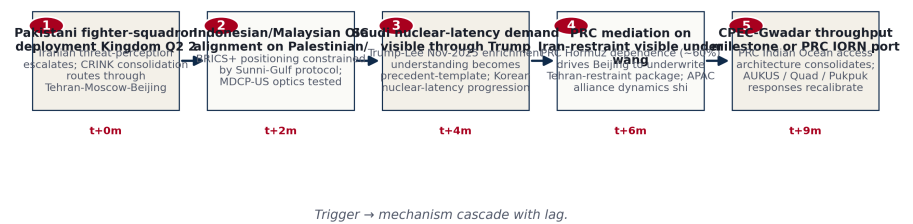
The September 2025 Saudi-Pakistan Mutual Defence Agreement (SMDA), deepened November 2025 with formal-defence-cooperation protocols and operationalised April 2026 with first Pakistani fighter-squadron deployment to the Kingdom, is not a Gulf-contained event. It routes into APAC through three under-priced channels: (a) Indonesian and Malaysian OIC diplomacy and Saudi labour-export economy ties create domestic-political pressure on Prabowo and Anwar to track SMDA optics in BRICS+/MDCP positioning; (b) CPEC and Gwadar port form PRC's Indian Ocean access calculation alongside Iran-restraint negotiation; (c) Korean enrichment/reprocessing latency under the November 2025 Trump-Lee understanding becomes a benchmark for Saudi nuclear-latency demands if Pakistan's posture under SMDA shifts toward formal extended-deterrence. PRC oil import dependence on Hormuz transit (~60%) and the resulting CRINK consolidation pull on Tehran are the binding constraints. Saudi-Iran rapprochement under PRC mediation depends on SMDA tempo not creating extended-deterrence demonstration effects in Tehran.



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain

Causal chain — Risk 7: Riyadh-Islamabad-Beijing Triangle



Trigger → mechanism cascade with lag timing.

Second-order effects

- Indonesian BRICS+ optics constrained by OIC alignment; Prabowo positioning becomes more hedged
- Korean conservative opposition uses SMDA precedent to push enrichment-latency normalization explicitly
- Japanese MoFA Middle East diplomacy expands; Sakhalin-2 LNG waiver context adjusted
- Australian Defence Department evaluates Quad expansion against AUKUS Pillar 1 bandwidth

Historical analogue · 1979 Pakistan-Saudi defence cooperation and Korean nuclear program (1979)

What rhymes: Sunni-Gulf defence pact with nuclear-state-power partner; Korean enrichment activity in parallel; US extended-deterrence credibility crisis catalysing both

What differs: 2026 Korean fissile-material expertise far more advanced; Saudi-Iran rapprochement under PRC mediation is novel architecture; CPEC-Gwadar consolidation is post-2013 phenomenon

Lesson: Nuclear-latency demands propagate across regional Sunni and East-Asian alliance partners on similar timelines; US/IAEA management requires explicit institutional response per partner

Counter-narrative — the strongest case against this risk

Tianxia counter-read: PRC mediation on Saudi-Iran (post-2023 normalization) combined with CPEC-Gwadar architecture creates wangdao-grounded regional security architecture that displaces US/UK alliance lattice. Under this read, SMDA is contained within the relational order rather than escalatory; Iran-restraint package matures by Q3-Q4 2026; Korean enrichment-latency normalisation does not progress materially because US extended-deterrence credibility is reinforced by SMDA stabilisation. Counter-counter: SMDA optics in Tehran are inherently destabilising regardless of PRC mediation; tactical-nuclear-precedent effect on Saudi/Korean/Japanese latency demands cannot be contained by relational framing. Practical implication: read SMDA progression on (a) basing/exercise tempo, (b) PRC Hormuz-dependence diplomatic activity, (c) Trump-MBS Q3-Q4 2026 dialogue as joint signal.

Observable signals to watch

Signal	Threshold	Source
Pakistani fighter-squadron Kingdom deployment tempo	Permanent rotational basing confirmed	PAF / RSAF press releases; comme
Indonesian/Malaysian OIC alignment signals	Joint statements on Yemen/Palestina	Kemlu Indonesia / Wisma Putra Ma
Trump-Lee Nov-2025 enrichment status	Public reaffirmation OR public exten	ROK Cheong Wa Dae / US State Dep

Business trigger: Pakistani-Saudi formal extended-deterrence declaration OR Korean public enrichment-latency exercise OR PRC IORN port commitment expansion

Lens panel reading

Mearsheimer. SMDA is Sunni-Gulf balancing against Iran; Korean enrichment-latency under Trump-Lee understanding is rational hedging; US Article-V/IV bandwidth stress propagates across both theatres

Vreeland. SMDA / Trump-Lee / Trump-MBS form rent-extraction architecture on alliance-financing terms; oil dependence makes PRC subsidise Iran-restraint package

Tianxia. PRC mediation between Saudi-Iran under wangdao is the institutional template; SMDA is contained within relational order; Korean latency normalisation is constrained by PRC engagement

Eurasianism. Saudi-Iran-Pakistan triangle under PRC mediation is the textbook Eurasian-bridge consolidation in the Western Asian theatre; CPEC-Gwadar is the maritime extension

Pan-African. Not in scope; Saudi labour-export and OIC alignment with North African states is second-order

S004

Unlikely

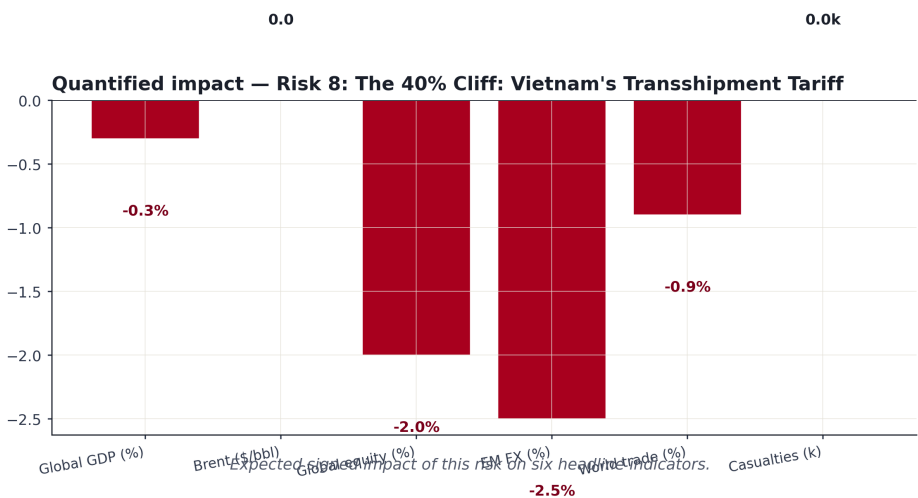
8

The 40% Cliff: Vietnam's Transshipment Tariff

Probability 36.0%

US 20% reciprocal-tariff ceiling vs 40% transshipment penalty on Chinese-origin; CBP EAPA action >USD 5bn rolling-6m as China+1 thesis re-pricing event.

Vietnam holds the most concrete tariff cliff in the region: US 20% reciprocal-tariff ceiling versus 40% transshipment penalty on goods of Chinese origin routed through Vietnamese facilities. CBP EAPA (Enforce and Protect Act) action volume exceeding USD 5bn in a rolling 6-month window through end-2026 is the panel-designated redline that re-prices the entire China+1 thesis. VNM FDI run-rate sits at USD 33-40bn annually; ASEAN-China trade reached USD 984bn in 2025. The EVN 173-project FIT (feed-in tariff) dispute, unresolved past Q3 2026, raises Samsung and Foxconn industrial-park blackout risk that would compound the trade-policy cliff. Vietnam's posture combines technical compliance acceleration with Spratly hardening under great-power distraction cover. The risk through M-horizon is not a sustained tariff escalation but a single CBP EAPA action - hot-rolled steel, photovoltaic cells, or rare-earth processed inputs - exceeding USD 5bn that catalyses ASEAN-bloc-wide compliance-cost escalation and re-routes FDI to Indonesia, Mexico, or India.



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain

Causal chain — Risk 8: The 40% Cliff: Vietnam's Transshipment Tariff



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

- Indonesia FDI re-routing benefits but stresses rupiah and fiscal-cap politics
- India PLI scheme captures meaningful share but supply-chain qualification time is 12-18 months minimum
- Mexico USMCA-shelter re-priced; Sheinbaum administration response tested
- Vietnamese SBV intervention threshold tested; VND-USD pressure

Historical analogue · 2018-2019 US-China Section 301 tariff escalation and China+1 origination (2018)

What rhymes: Trade-policy cliff catalysing supply-chain re-routing; FDI reallocation across ASEAN; tariff-evasion enforcement tempo

What differs: 2026 Vietnam already at maximum bandwidth absorption; alternative routes (Indonesia, India, Mexico) more mature; AI-capex-cycle creates different incentives for advanced manufacturing

Lesson: Tariff-cliff events catalyse rapid FDI reallocation but supply-chain qualification cycles lag 18-24 months; political-economy adjustment is longer

Counter-narrative — the strongest case against this risk

Krugman trade-macro counter-read: the 20%/40% Vietnam tariff structure is a Pareto-stable equilibrium because Vietnamese compliance investment is high enough to disincentivise material transshipment, and CBP enforcement bandwidth is bounded. Under this read, rolling-6m cumulative EAPA actions stay under USD 3bn through 2026 and the cliff remains theoretical; China+1 thesis is durable. Counter-counter:

Trump-administration midterm calculus and specific enforcement priorities (steel, PV, rare earths) create non-stationary enforcement intensity; any single politically-motivated EAPA action could exceed USD 1bn unilaterally. Practical implication: weight Vietnam tariff-cliff event as conditional on (a) USTR 6-month review tone, (b) CBP enforcement budget allocation, (c) midterm-cycle pressure points around steel/PV/EV/rare-earth categories.

Observable signals to watch

Signal	Threshold	Source
CBP EAPA quarterly action volume on Vietnam	>USD 1bn any single action OR USD	CBP EAPA case-decision database;
EVN 173-project FIT settlement status	Settlement framework published by Q3	EVN / MoIT Vietnam press release
Vietnam FDI run-rate quarterly	Drop below USD 30bn annualised	MPI Vietnam / MoF / GSO statisti

Business trigger: Rolling-6m CBP EAPA cumulative >USD 5bn OR EVN 173-project FIT dispute unresolved past Q3-2026 OR USTR escalation signal Q3 2026

Lens panel reading

Mearsheimer. Vietnam holds China+1 hedging position via compliance acceleration; Spratly hardening under great-power distraction cover is rational; alliance-adjacency to US is binding without formal commitment

Vreeland. EAPA-cliff risk routes through SBV / fiscal-cap politics; FDI displacement to alternative destinations is rent-redistribution within ASEAN

Tianxia. Vietnamese hedging is recognized within wangdao framework as legitimate small-state navigation; PRC tolerance for compliance acceleration is calibrated against Spratly hardening pace

Eurasianism. Vietnam-PRC trade architecture is Eurasian-bridge node despite hedging; rerouting through Mexico/India weakens land-bridge consolidation

Pan-African. Not in scope; African textile/light-manufacturing FDI competition with Vietnam is third-order

S017

Even chance

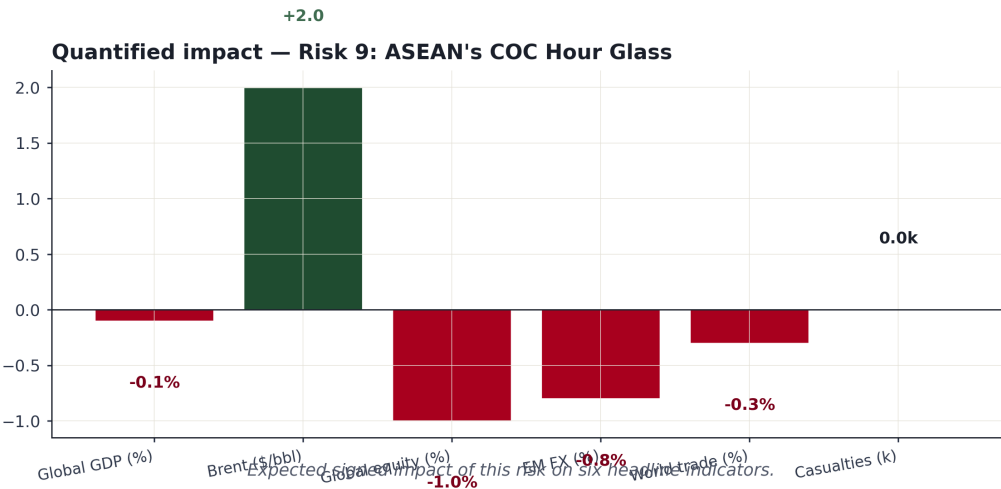
9

ASEAN's COC Hour Glass

Philippines 2026 ASEAN chair, July-2026 internal COC deadline, 3rd reading Single Draft Text complete Feb-2025; substantive UNCLOS text vs face-saving partial deal is the binding outcome.

Probability 45.0%

The ASEAN Code of Conduct under Philippines 2026 chair sits at an hour-glass moment: 3rd reading Single Draft Text completed February 2025, July 2026 cited as internal deadline by ASEAN/VNM/IDN/AUS observers, 49th ASEAN Summit November 2026 as binding deadline. The substantive question is not whether COC concludes but what it says on UNCLOS Article 121 reference, Scarborough/Spratly geographical scope, and dispute-resolution mechanism. Under Acharya regional-order lens and consensus-rule veto dynamics inside ASEAN with Cambodia and Laos as PRC-aligned vetoes, the modal outcome is politically-binding face-saving text with diluted UNCLOS language - functionally a slip from Manila or Hanoi perspective. The cooperative-multipolar scenario S006 with substantive UNCLOS-referencing COC carries roughly 2.4% master-set probability; the face-saving partial-deal outcome under modal scenarios carries the bulk of regional probability mass.



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain

Causal chain — Risk 9: ASEAN's COC Hour Glass



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

- PHL-MDT trilateral with US/JPN deepens; Squad framework (US/JPN/AUS/PHL) activates
- ASEAN external partners (EU CSP, JPN AOIP, AUS SEA Strategy) re-rate ASEAN-centric architecture
- Indonesia BRICS+ positioning vs MDCP-US optics tested by ASEAN consensus politics
- Vietnamese Spratly reclamation continues without COC restraint; H2-2026 outpost target accelerates

Historical analogue · ASEAN 2012 Cambodia chair COC failure (2012)

What rhymes: Consensus-rule veto from PRC-aligned chair preventing substantive text; UNCLOS-Article-121 disputes shadowing process; PHL frustration mounting

What differs: 2026 PHL chair faces compatibility with own preferences and bloc constraints; Scarborough fait-accomplis is post-2012 fact; AUKUS / Squad / Pukpuk frameworks did not exist as alternative architectures

Lesson: ASEAN consensus-rule under PRC-aligned veto produces face-saving outcomes regardless of chair preferences; alternative architectures absorb credibility cost

Counter-narrative — the strongest case against this risk
Acharya regional-order counter-read amplification: face-saving partial COC is not failure but consensus equilibrium; ASEAN centrality is preserved by avoiding internal rupture; external partners can read substantive content into the text's specific deferrals. Under this read, the M-horizon outcome is stable and the cooperative-multipolar window remains partially-open through 49th Summit success metric. Counter-counter: external partners (US/JPN/AUS/EU) increasingly index credibility on UNCLOS-fidelity; face-saving text imposes external-credibility cost that propagates to ASEAN bargaining power vis-a-vis PRC. Practical implication: read COC outcome on (a) UNCLOS Article 121 reference, (b) Scarborough/Spratly geographical scope, (c) dispute-resolution mechanism; weight (a) most heavily as external-credibility signal.

Observable signals to watch

Signal	Threshold	Source
COC Single Draft Text revision cadence	4th reading completed Q2-2026; subst	ASEAN Secretariat / DFA Philippi
Cambodia/Laos consensus-rule veto activity	Visible blocking statements on UNCLOS	ASEAN Foreign Ministers' Retreat
PHL chair drafting cadence and 49th Summit preparation	PHL DFA statements on UNCLOS-fidelit	DFA Philippines / ASEAN-PH press

Business trigger: 49th ASEAN Summit Nov-2026 COC outcome - substantive UNCLOS text vs face-saving partial deal

Lens panel reading

Mearsheimer. ASEAN COC is regional-public-good asset under consensus constraint; face-saving outcome forces alliance-lattice (Squad/MDT) to absorb credibility cost

Vreeland. External partners' credibility-pricing of COC outcome routes through trade and financing relationships; ASEAN-EU CSP and AOIP investments are conditional

Tianxia. Face-saving partial COC is wangdao-consistent; relational-order respect for consensus and non-interference is the institutional template

Eurasianism. ASEAN COC under Cambodia/Laos veto routes through PRC-aligned land-bridge architecture; Eurasian-consolidation narrative

Pan-African. Not in scope; African Union ASEAN-Way emulation patterns are fourth-order

S004

10

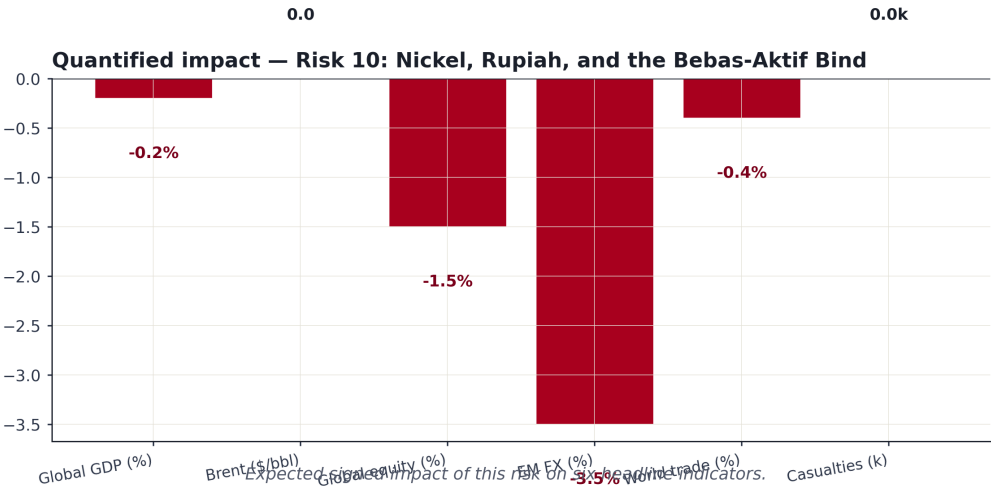
Nickel, Rupiah, and the Bebas-Aktif Bind

Unlikely

Probability 33.0%

Indonesia under fiscal stress: rupiah ~17,422/USD record low, FX reserves USD 146.2bn, Citi-projected 3% legal fiscal-cap breach; BRICS+ accession layered with April-2026 US MDCP.

Indonesia under President Prabowo's bebas-aktif posture operates under acute fiscal stress that conditions every other regional positioning move. The rupiah hit ~17,422/USD record low; FX reserves stood at USD 146.2bn April 2026; Citi-projected breach of the 3% legal fiscal cap is on the calendar; Danantara-led nickel downstreaming is the strategic-resource lever; BRICS+ accession (January 2025) is layered with April 2026 US MDCP. Indonesia's hedge is at the edge of credibility. The nickel RKAB quota policy is the regional commodity signal: any cut greater than 15% YoY signals fiscal stress severe enough to monetise strategic resources. OECD technical review milestones by July 2026 with a 'no-go' interim finding would compound bebas-aktif credibility erosion. The risk through M-horizon is not a single discrete event but a slow compression: rupiah below 18,000/USD or FX reserves below USD 130bn forces a Vreeland-style adjustment that explicit IMF Stand-By would require conditionality rupturing BRICS+ optics.



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain

Causal chain — Risk 10: Nickel, Rupiah, and the Bebas-Aktif Bind



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

- Korean/Japanese EV battery-grade nickel supply chain re-architected; alternative-supply development accelerates in PNG, Solomon Islands
- PRC Hong-Bin (HKBN) and indirect supply channels expand; PRC-IDN nickel partnership consolidates further
- ASEAN intra-bloc rupiah-VND-MYR pressure dynamics; SBV intervention threshold tested
- BRICS+ political-economy of accession optics challenged; Prabowo positioning vs Trump-MBS-Modi diplomatic backdrop

Historical analogue · 1997-1998 Asian financial crisis Indonesia and Suharto exit (1997)

What rhymes: Rupiah depreciation, FX-reserve compression, IMF program conditionality; political pressure on incumbent leadership; strategic-resource policy as fiscal lever

What differs: 2026 Indonesia is structurally more developed, less foreign-debt-dependent, downstream nickel architecture is post-2020 institutional asset; BRICS+ accession is alternative-financing optionality

Lesson: Currency-fiscal-political stress events compound non-linearly once reserve thresholds are breached; conditionality-bearing rescue mechanisms reshape political economy for 5-10 years

Counter-narrative — the strongest case against this risk

Vreeland IMF-PE counter-read amplification: Indonesia's bebas-aktif posture is structurally unstable when rupiah crosses 18,000/USD or reserves fall below USD 130bn; covert IMF Stand-By would require conditionality that explicitly ruptures BRICS+ optics. Under this read, M-horizon path is conditional on Q2-Q3 2026 rupiah trajectory; Danantara nickel downstreaming is less of a buffer than headline reserves suggest. Counter-counter: PRC alternative-financing options (CIPS, BRICS Contingent Reserve Arrangement) provide partial alternative to IMF Stand-By; Prabowo positioning has more flexibility than 1997 Suharto. Practical implication: read Indonesia stress on (a) rupiah versus 18,000/USD, (b) FX reserves versus USD 130bn, (c) OECD July review tone as joint signal; weight (a) and (b) most heavily.

Observable signals to watch

Signal	Threshold	Source
Rupiah/USD daily print and BI intervention tempo	Sustained breach of 18,000/USD over	Bank Indonesia daily release; ma
Indonesia FX reserves monthly	Drop below USD 130bn	Bank Indonesia monthly reserves
Nickel RKAB quota policy adjustments	Cut >15% YoY in any quarterly adj	ESDM Ministry; LME nickel pricin

Business trigger: Rupiah breach of 18,000/USD sustained 30 days OR FX reserves <USD 130bn OR OECD July-2026 'no-go' interim signal

Lens panel reading

Mearsheimer. Indonesian bebas-aktif under fiscal stress is rational hedging but structurally vulnerable; nickel downstreaming is strategic-resource leverage but limited to Asian-market substitution

Vreeland. Indonesia's IMF-PE exposure is the binding constraint; rupiah trajectory is the rent-extraction signal; conditionality-bearing rescue mechanism would reshape political economy

Tianxia. Indonesian bebas-aktif within wangdao framework is recognized small-state navigation; PRC alternative financing is the system-stability mechanism

Eurasianism. Indonesia BRICS+ accession + nickel partnership with PRC + alternative financing routes (CIPS, BRICS CRA) consolidates Eurasian-bridge architecture in Southeast Asia

Pan-African. Not in scope; Indonesian developmental-state model export to African nickel/cobalt producers is third-order

04

Tail Risks — Snow Leopards & Wild Cards

Less likely but high-impact scenarios. Each priced with a probability band, magnitude, early-warning indicators, an if-it-materialises cascade, and a historical parallel.

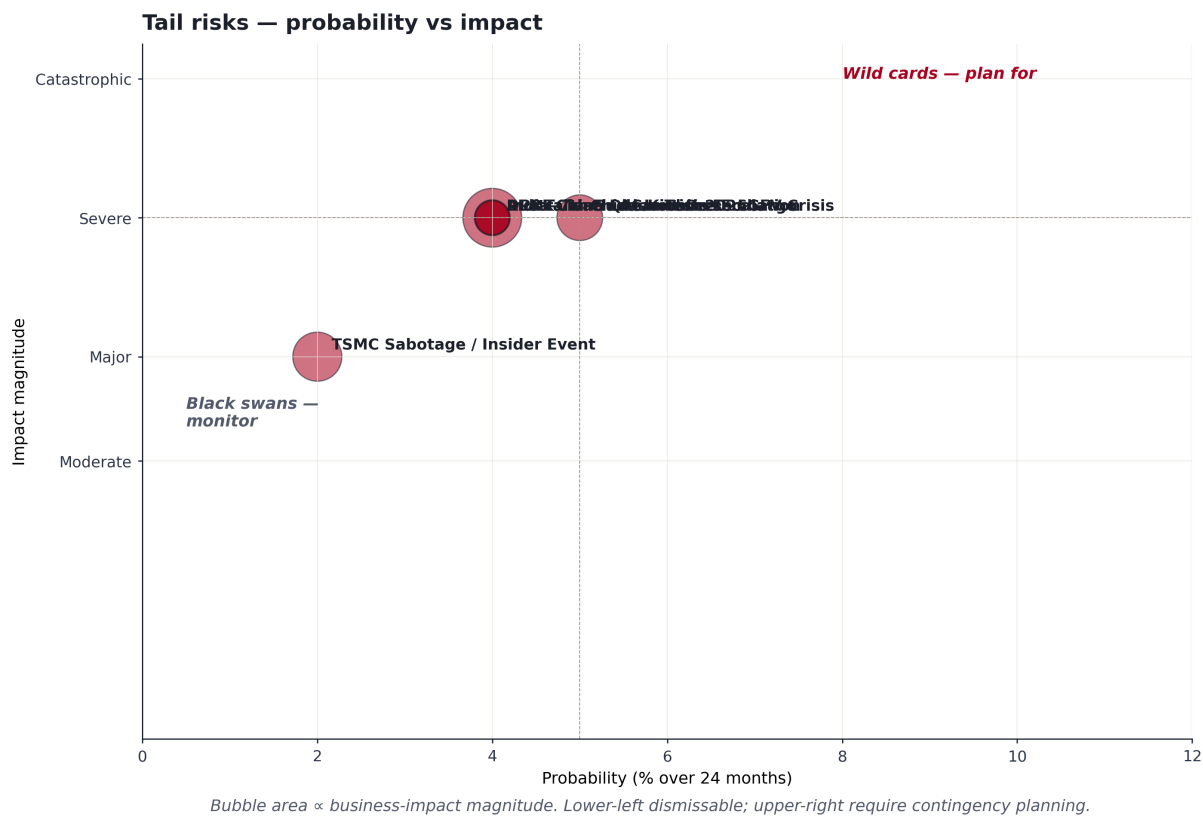


Exhibit 4.0 — Tail-risk panel: probability vs impact-magnitude. Bubble area ∝ business impact.

Source: GIPRE synthesis (v4).

PLA Taiwan Quarantine

WILD CARD	Pr 3-5%	SEVERE
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PLA Eastern Theatre Command converts a Strait-Thunder rehearsal to an active maritime customs-inspection regime around Taiwan, declaring all incoming/outgoing shipping subject to PRC Maritime Safety Administration inspection. The action stops short of military blockade per international law but functionally interdicts 50M TEU/year container trade and TSMC sub-5nm export. Lloyd's WAR-risk premium activates within hours; Wall Street, Tokyo, and Seoul indices open down 8-12% on Day 1; Nvidia, AMD, Broadcom revenue exposure to Taiwan-routed product becomes acute discontinuity event. Through M-horizon the probability of this is low but the conditional payoff to PRC is asymmetric: 30-90 day window before kinetic shot is fired in which Beijing can extract trillions in equity-market re-rating and explicit Western concessions on chip-export controls.

Early-warning indicators

- PLA Eastern Theatre extraordinary exercise announcement with maritime safety zone surrounding 4+ Taiwan port approaches

- PRC Maritime Safety Administration inspection-tempo at Bashi Channel rises from 0 to >5 incidents per week
- PRC CCG vessels coordinate with PLAN to declare temporary fishing/safety zones overlapping with Strait container lanes
- Lloyd's Joint War Committee adds Taiwan Strait to Listed Areas
- TSMC and UMC suspend export shipments citing 'logistics review'

If it materialises — 30/90/180-day cascade
If PLA declares maritime-customs inspection regime over Taiwan-port approaches sustained beyond 48 hours, then: (i) Lloyd's WAR-risk premium activates; container-shipping spot rates spike 50-100% on Sunda/SCS rerouting; (ii) Nvidia and hyperscalers announce dual-source pivot to Samsung Austin / TSMC Arizona / Intel Ohio with explicit AI-product roadmap revisions; (iii) Tokyo NIKKEI and KOSPI open down 10-15% Day 2; KRW spikes to 1550-1600/USD; (iv) US 7th Fleet INDOPACOM activates Strait FONOPS with allied JMSDF/RAN/PHL Navy escort; PRC must choose between climb-down and kinetic escalation; (v) Beijing extracts concession on chip-export controls and AUKUS Pillar 2 cooperation in exchange for inspection-regime relaxation; (vi) global AI capex cycle compressed by 6-9 quarters; Korean political-economy stack re-prices around HBM rent and alliance-financing terms; (vii) Australian AUKUS Pillar 1 financing under stress as PRC iron-ore signalling tightens.

Historical parallel: 1962 Cuban Missile Crisis quarantine declaration with naval interdiction without kinetic exchange
Quantified impact: gdp_global_pct: -3.5, oil_usd_bbl_delta: 18

DPRK 7th Nuclear Test 2026

WILD CARD

Pr 3-5%

SEVERE

DPRK conducts 7th nuclear test at Punggye-ri Site 3 by Q4 2026, demonstrating either tactical-yield variant for Hwasan-1/Hwasan-31 warheads or boosted-fission/early-thermonuclear variant on Hwasong-19/20 ICBM payload. The test follows Russian tech-transfer signatures from 15k DPRK troops deployed in Ukraine. UNSC PR5+ response is deadlocked at China/Russia veto. Korean public-opinion nuclearisation support breaches 70% sustained over 6 months. The November 2025 Trump-Lee enrichment/reprocessing understanding becomes explicit posture-change rather than latent option; Japanese latency debate uplifts in parallel. The KOR/JPN/US trilateral architecture absorbs the stress through MASGA disbursement acceleration but the political-economy of alliance-financing fragments.

Early-warning indicators

- Punggye-ri Site 3 tunnel preparation visible in commercial satellite imagery
- DPRK Hwasong-19/20 launch failures or successes with re-entry vehicle activity
- Russian-DPRK senior-officials visit tempo on technical/scientific cooperation
- KOR public-opinion polling on nuclearisation support crossing 60% then 70%
- Conservative-PPP opposition tabling formal alliance-renegotiation demand

If it materialises — 30/90/180-day cascade

If DPRK detonates 7th nuclear test by Q4 2026 with tactical-yield or boosted-fission variant, then: (i) UNSC PR5+ statement deadlocked at China/Russia veto within 72 hours; KOR/JPN/US trilateral coordinates response without UN cover; (ii) Korean public opinion on indigenous-nuclearisation support crosses 70% within 6 weeks across multiple polls; conservative-PPP opposition tables National Assembly motion; (iii) Trump-Lee Nov-2025 enrichment understanding stress-tested; either reaffirmed publicly with implicit posture change OR withdrawn in exchange for MASGA disbursement acceleration; (iv) Japanese nuclear-latency debate uplifts in parallel; LDP-Takaichi cabinet faces internal pressure on Article-9 reinterpretation; (v) PRC reads Korean/Japanese latency uplift as alliance-defection signal; CCG tempo on Korean fishing/exploration intensifies; PLA tempo on Taiwan ADIZ sustains 500+/mo; (vi) Russian-DPRK tech transfer accelerates regardless of UNSC; CRINK consolidation visible in Eurasian-bridge architecture; (vii) NPT regime stress at 2027 PrepCom; Saudi-Pakistan SMDA nuclear-latency precedent effect compounds.

Historical parallel: 1962-1968 Chinese first nuclear test and NPT pre-establishment Asian latency cascade

Quantified impact: gdp_global_pct: -0.8, oil_usd_bbl_delta: 7

Sudden Chinese LGFV Crisis

WILD CARD

Pr 4-6%

SEVERE

PRC Local Government Financing Vehicle (LGFV) refinancing crisis materialises through Q3-Q4 2026 as the off-balance-sheet ~USD 11-13tn LGFV debt stack collides with property-developer continuing distress, regional bank balance-sheet stress, and reduced central-government bandwidth under fiscal-policy stimulus exhaustion. The trigger is a Tier-2 city LGFV default with cross-default cascade to >5 provincial governments. PBOC emergency liquidity operations are inadequate to stem the contagion within initial 2-week window. The cascade routes through CNY managed-band breach beyond 7.30/USD, capital-control tightening, and commodity-imports compression that ripples through Australian iron-ore, Indonesian nickel, Saudi crude, and Russian LNG. APAC trade-policy and alliance dynamics re-price under PRC distress-mode posturing.

Early-warning indicators

- Tier-2 city LGFV bond default headline ticker
- PBOC reverse-repo operations spiking with 7-day rate visible volatility
- PRC property-developer pre-sale receipts dropping >20% YoY at major-city level
- CNY pressure on 7.30/USD managed-band ceiling
- Regional bank capital-adequacy ratios published below regulatory floor

If it materialises — 30/90/180-day cascade

If a Tier-2 city LGFV default cascades to >5 provincial governments and PBOC liquidity response is inadequate within 2-week window, then: (i) CNY breaches managed-band 7.30/USD ceiling; PBOC capital-controls tighten; (ii) Australian iron-ore demand drops 20-30% in single quarter; A\$107bn 2026-27 forecast revised down materially; AUKUS Pillar 1 financing comes under stress; (iii) Indonesian nickel/copper export revenue compresses; rupiah pressure compounds bebas-aktif bind; (iv) Russian-PRC energy partnership tested as PRC LNG/crude import demand drops; CRINK Eurasian-bridge consolidation slows; (v) Taiwan-Strait grey-zone tempo recalibrates - PRC may either reduce ADIZ tempo to focus on internal stabilisation OR escalate to distract from internal stress; outcome is highly leadership-dependent; (vi) ASEAN-CHN USD 984bn trade architecture re-priced; intra-ASEAN supply-chain reorientation accelerates toward Japan, Korea, India; (vii) PRC tech-stack indigenisation pace (SMIC, CXMT, YMTC) slows under capital constraint; quadrilateral semiconductor lattice adjusts.

Historical parallel: 2008 Lehman / 2015-2016 China RMB devaluation episode / 2021 Evergrande initial cascade

Quantified impact: gdp_global_pct: -1.8, oil_usd_bbl_delta: -8

India-China LAC Kinetic Escalation

WILD CARDPr 3-5%SEVERE

PLA Western Theatre Command and Indian Army Northern Command exchange fire at the Line of Actual Control (LAC) at Galwan-2 / Demchok / Pangong Tso or Tawang sector, killing >20 on each side and breaking the post-2020 disengagement framework. The escalation routes through (a) Modi government domestic-political requirement for visible response; (b) Quad framework (US/JPN/AUS/IND) operational coordination test; (c) ASEAN COC negotiations under fundamental shift in PRC bandwidth allocation; (d) Russia-India / Russia-China balancing dynamics. PRC oil/gas import architecture via Bay of Bengal and Indian Ocean routes is exposed; Indian Navy positioning vis-a-vis CPEC-Gwadar and PLA Djibouti basing recalibrates.

Early-warning indicators

- PLA WTC patrol-pattern crossings into disputed LAC sectors with armored escort visible
- Indian Army Northern Command exercise tempo at LAC frontline crossing routine threshold
- Modi-Xi diplomatic deconfliction call frequency dropping post-BRICS+ summit
- Indian opposition mobilising on China-policy narrative pre-2027 state-elections
- Russian arms-deliveries to India under S-400 follow-on contracts disrupted

If it materialises — 30/90/180-day cascade

If PLA-Indian Army kinetic exchange at LAC kills >20 on each side, then: (i) Modi government issues immediate Parliament statement; military mobilisation visible in Eastern Ladakh; Indian Navy positions in Bay of Bengal; (ii) Quad operational coordination test with US-IND 2+2; JPN-IND deepens defence-tech cooperation; AUS reciprocal access arrangements expanded; (iii) PRC reads Quad operational mobilisation as alliance-defection from US-China condominium track; ASEAN COC negotiations stall; (iv) Russia-India / Russia-China balancing dynamics tested; Russian arms deliveries to India under S-400 follow-on contracts re-prioritised; (v) PRC Indian Ocean access (CPEC-Gwadar, Djibouti, Hambantota) tactically pressured; Indian Navy MILAN exercise tempo escalates; (vi) Pakistan under SMDA umbrella positions to deter India on western front; CPEC tempo recalibrated; (vii) ASEAN intra-bloc India-positioning fragments; Indonesia/Malaysia/Vietnam navigate; (viii) Global commodity-supply chain absorption: Indian-origin pharma/electronics inputs face de-risk diversification; ASEAN-India trade benefit captures share.

Historical parallel: 2020 Galwan Valley clash and 2017 Doklam standoff with kinetic intensification

Quantified impact: gdp_global_pct: -0.6, oil_usd_bbl_delta: 9

Australia-China Iron-Ore Embargo

WILD CARD

Pr 3-5%

SEVERE

PRC reads an AUKUS Pillar 2 milestone (e.g., Australia-Japan-US tri-lateral autonomy-systems agreement) or a Taiwan-Strait kinetic uptick as alliance-defection signal sufficient to break the Albanese-Xi July 2025 truce. PRC imposes coercive licensing on Australian iron-ore imports cutting effective volume by 30-50% over 90 days; A\$107bn 2026-27 forecast collapses; AUKUS Pillar 1 financing under acute stress; Australian Treasury moves to emergency-budget. The action ripples through APAC commodity chains: Brazilian iron-ore captures share but cannot bridge volume gap quickly; Korean POSCO and Japanese Nippon Steel face supply uncertainty; PRC indigenous-mining and African (Simandou) ramp accelerate but lag.

Early-warning indicators

- PRC MofCom anti-dumping probe announcement on Australian iron-ore concentrates
- PRC port congestion at Qingdao/Tianjin discharging Australian-flagged vessels
- PRC State Council critical-minerals export-license tempo to AU/JPN/KOR tightening
- BHP / Rio Tinto / FMG quarterly Chinese-customer revenue exposure disclosed under stress
- Albanese-Xi diplomatic communique frequency dropping

If it materialises — 30/90/180-day cascade

If PRC imposes coercive licensing on Australian iron-ore cutting volume 30-50% over 90 days, then: (i) BHP, Rio, FMG quarterly revenue exposure to PRC drops 20-30%; Australian Treasury emergency-budget response; (ii) A\$107bn 2026-27 forecast revised to A\$70-80bn; AUKUS Pillar 1 financing under acute stress; Osborne USD 3.9bn allocation re-evaluated; (iii) Brazilian Vale captures incremental share; Indian and Saudi alternative-supply contracts accelerate; (iv) Korean POSCO and Japanese Nippon Steel face supply uncertainty; pricing power passes to Brazilian and Indian suppliers; (v) PRC indigenous-mining ramp at Simandou-equivalent African sites accelerates; CRINK Eurasian-bridge mining consolidation; (vi) Australian Plan-B critical-minerals strategy activates; rare-earths and lithium investment surge; (vii) Albanese-Xi truce collapses formally; trade-policy bilateral relationship pre-2023 baseline; (viii) Australian internal politics: opposition Coalition pressure on government over AUKUS / iron-ore trade-off; election-cycle calibration.

Historical parallel: 2010 PRC rare-earth embargo on Japan / 2020 PRC coercive trade actions on Australian wine/coal/barley

Quantified impact: gdp_global_pct: -0.7, oil_usd_bbl_delta: -3

TSMC Sabotage / Insider Event

WILD CARDPr 1-3%EXTREME

A coordinated sabotage event at TSMC Fab 14B / Fab 15 / Fab 18 (sub-5nm production locations) or an insider compromise of EUV-lithography calibration data triggers a multi-quarter compute-supply discontinuity. The event could be PRC state-sponsored (low likelihood given disincentive), non-state criminal (organised crime), or insider-disgruntled employee. The downstream effect is a 1-2 quarter sub-5nm output disruption affecting Nvidia, AMD, Apple, Qualcomm, Broadcom simultaneously. AI capex cycle compresses 6-9 quarters; Korean HBM/Samsung foundry alternatives unable to absorb full demand; Intel Ohio and Samsung Austin emergency-ramp programs activated. The event would expose the 92% sub-5nm concentration as fundamental civilian-infrastructure vulnerability.

Early-warning indicators

- TSMC HR / IT-security incident disclosures (subtle disclosure patterns)
- Taiwan MOEA inspection-tempo at Fab 14B / Fab 15 / Fab 18 perimeter security
- ASML field-engineer rotation cycles disrupted in Taiwan
- PRC industrial-espionage prosecutions in Taiwan / US visibility
- Anomalous TSMC operating-utilization disclosures relative to capex run-rate

If it materialises — 30/90/180-day cascade

If coordinated sabotage / insider compromise at TSMC Fab 14B/15/18 disrupts sub-5nm output for 1-2 quarters, then: (i) Nvidia/AMD/Apple/Qualcomm/Broadcom simultaneously announce supply-allocation moratoriums; Nvidia GTC 2027 product roadmap revised; (ii) Hyperscaler AI capex (AWS/Azure/GCP/Meta) compresses 30-40% YoY for affected quarters; data-centre construction cycles delayed; (iii) Korean Samsung foundry emergency-ramp activated; Intel Ohio capex acceleration; TSMC Arizona Fab 21 Phase-2 priority designation; (iv) Compute-supply allocation becomes geopolitical leverage: US, Japan, Korea, Australia tier-1 access vs PRC sub-5nm restriction; (v) KOSPI semiconductor sector spikes 15-25%; SOX/TSM ADR decline 25-35% on disruption news; (vi) PRC reads sub-5nm discontinuity as US-led containment victory; SMIC indigenisation push aggressive capital injection; (vii) Taiwan MOEA emergency-response protocols on civilian-infrastructure security; AIT visit tempo increases; (viii) Allies underwrite Taiwan emergency-defence package with explicit civilian-infrastructure protection scope.

Historical parallel: 2019 Saudi Aramco Abqaiq attack civilian-infrastructure disruption / 2010 Stuxnet centrifuge sabotage

Quantified impact: gdp_global_pct: -2.2, oil_usd_bbl_delta: 4

05

Master Scenario Library

100 scenarios partitioning the outcome space across stress × GP archetype × flashpoint set.

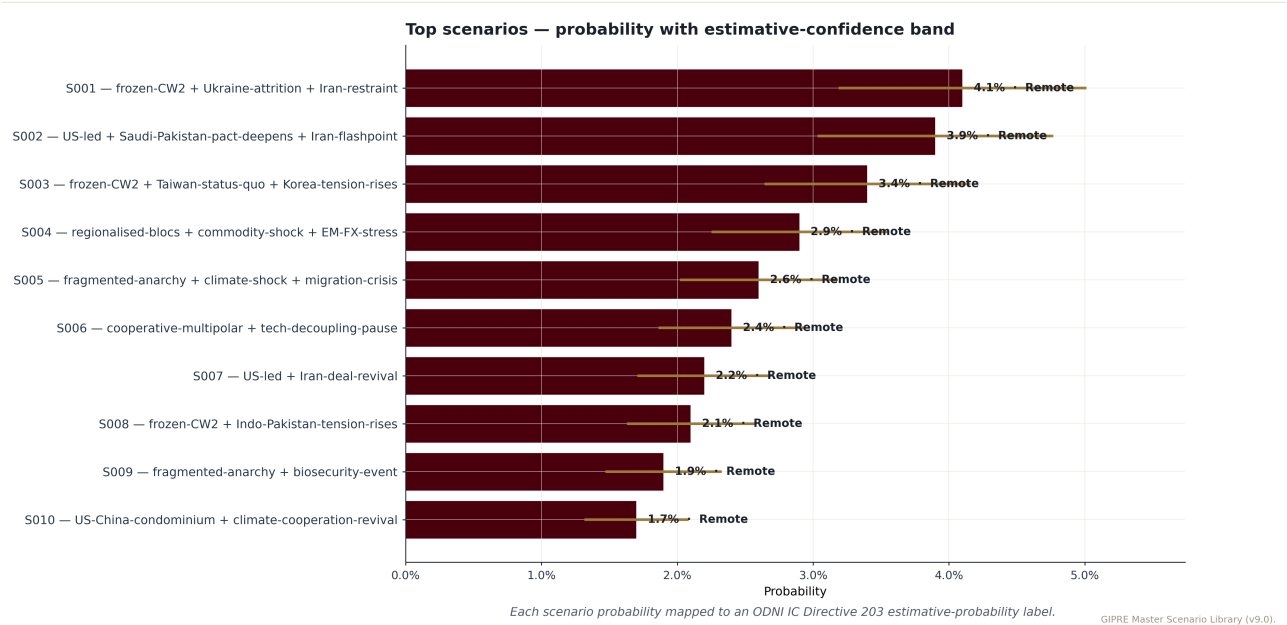


Exhibit 5.1 — Top-10 master scenarios — probability with estimative-confidence band.

Source: GIPRE master library; conformal CI per Vovk-Gammerman-Shafer 2005.

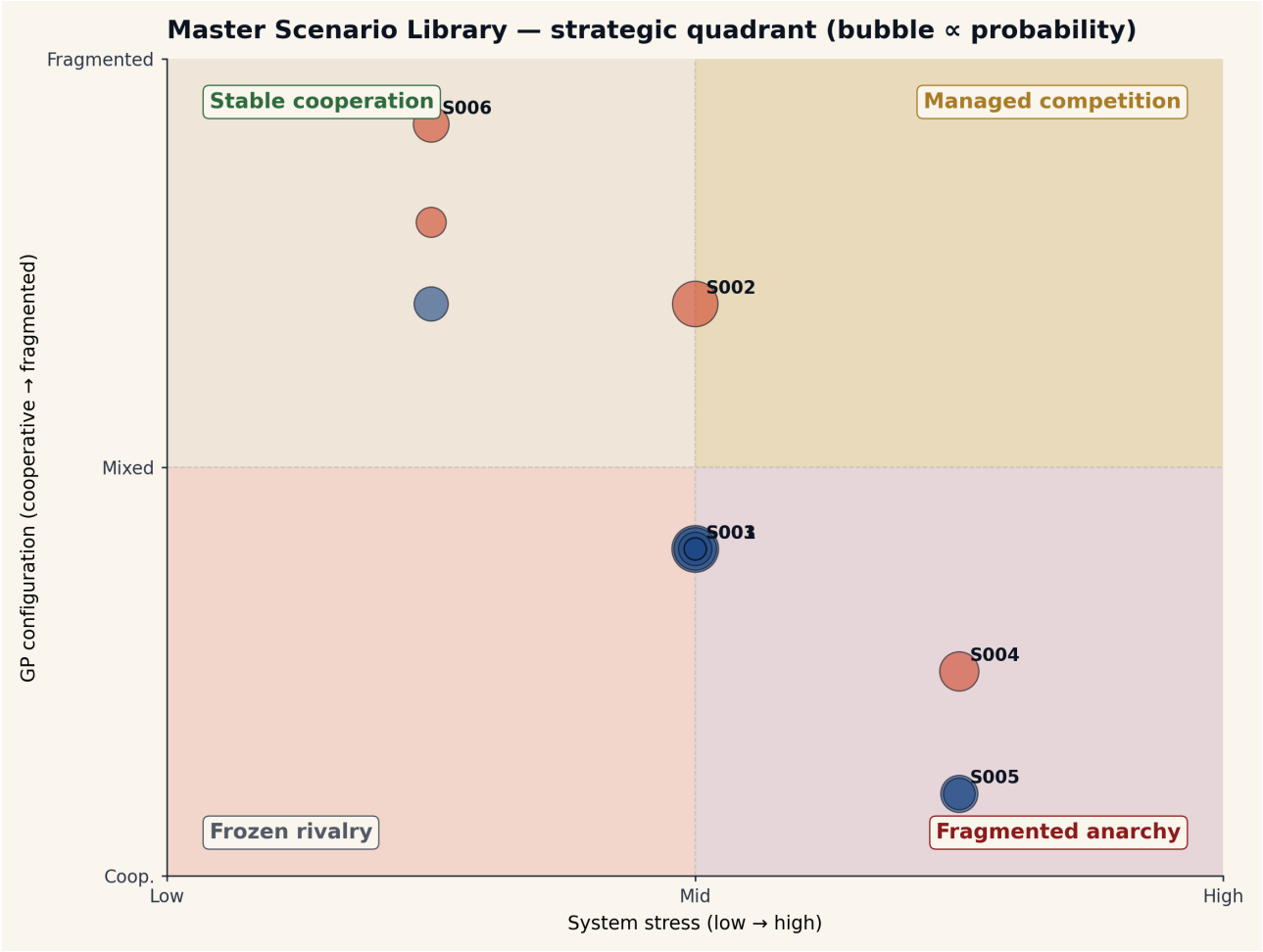


Exhibit 5.2 — Strategic 2×2 quadrant. Bubble area $\propto$ probability.

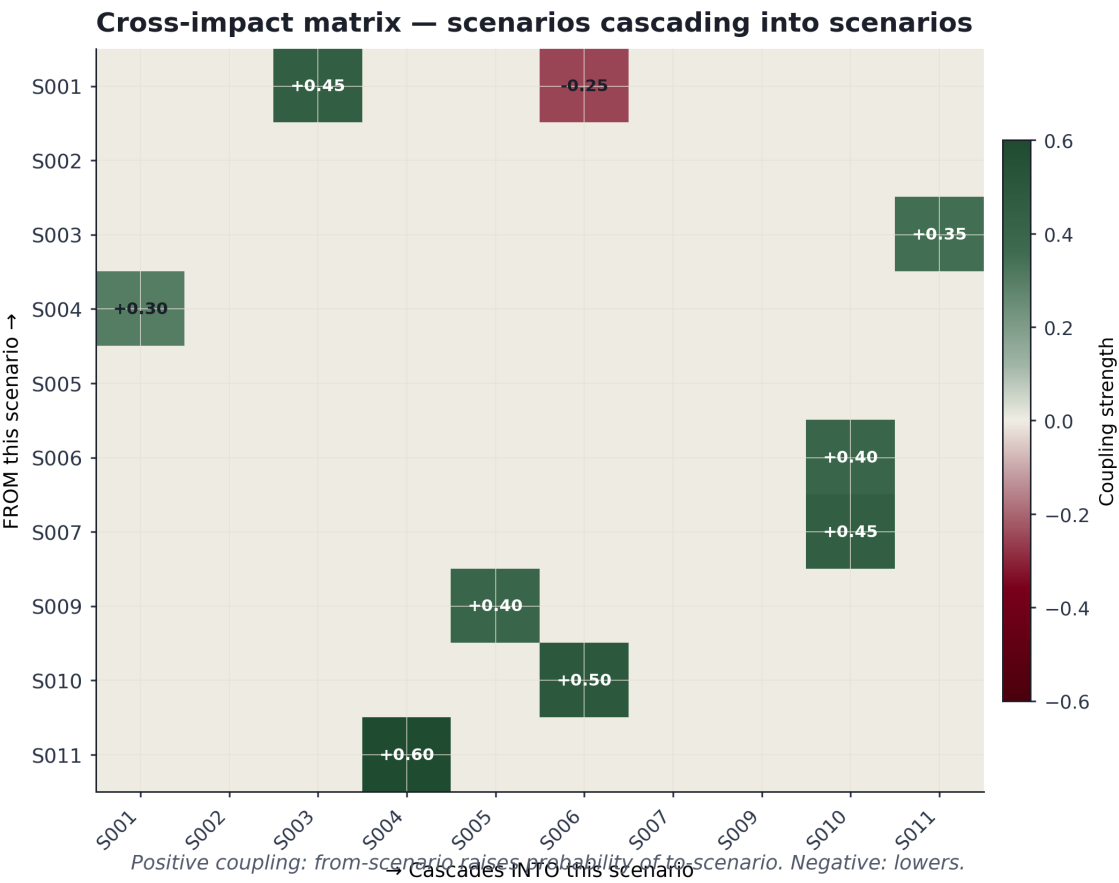


Exhibit 5.3 — Cross-impact matrix. Positive coupling = from-scenario raises probability of to-scenario.

Source: GIPRE synthesis cross-impact estimates.

06

Bayesian Updates

Explicit prior-to-posterior probability shifts for the brief’s load-bearing hypotheses.

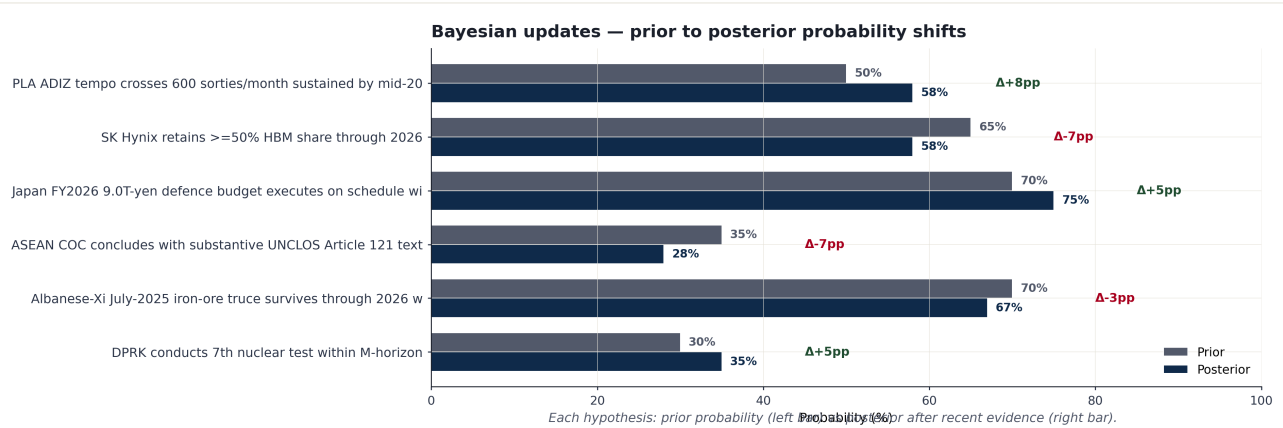


Exhibit 6.1 — Each hypothesis: prior probability vs posterior after recent evidence.

Source: GIPRE synthesis Bayesian updates.

07

Actor Posture

Coalition geometry and Geostrategic Map (foreign-policy autonomy × economic sovereignty).

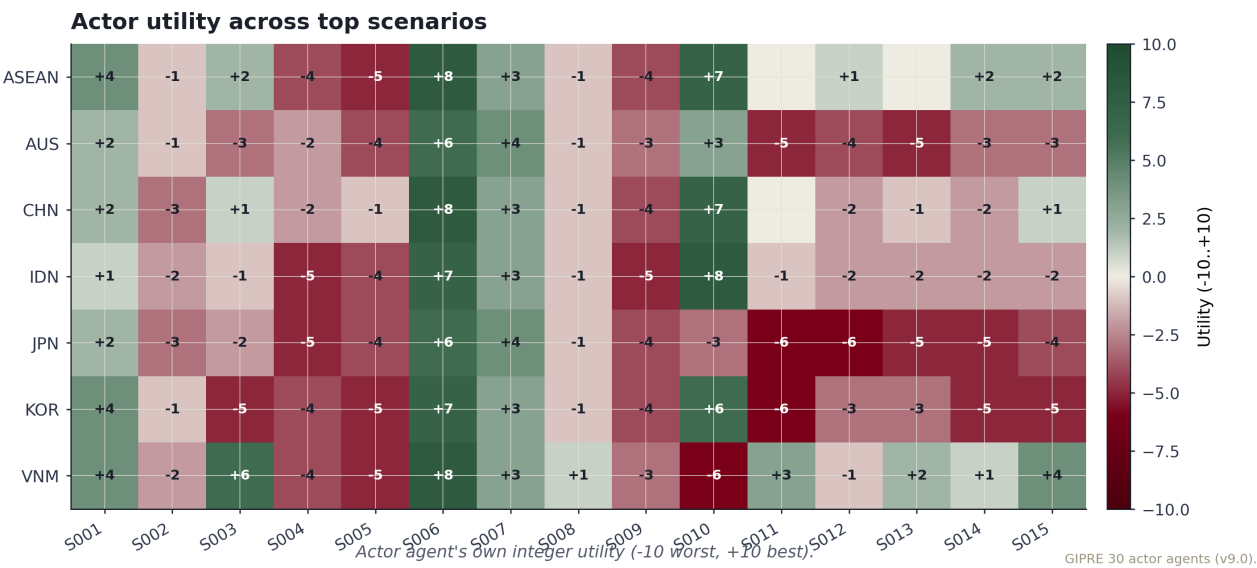


Exhibit 7.1 — Actor utility heatmap (-10 worst, +10 best) under top-15 scenarios.

Source: GIPRE 30 actor agents.

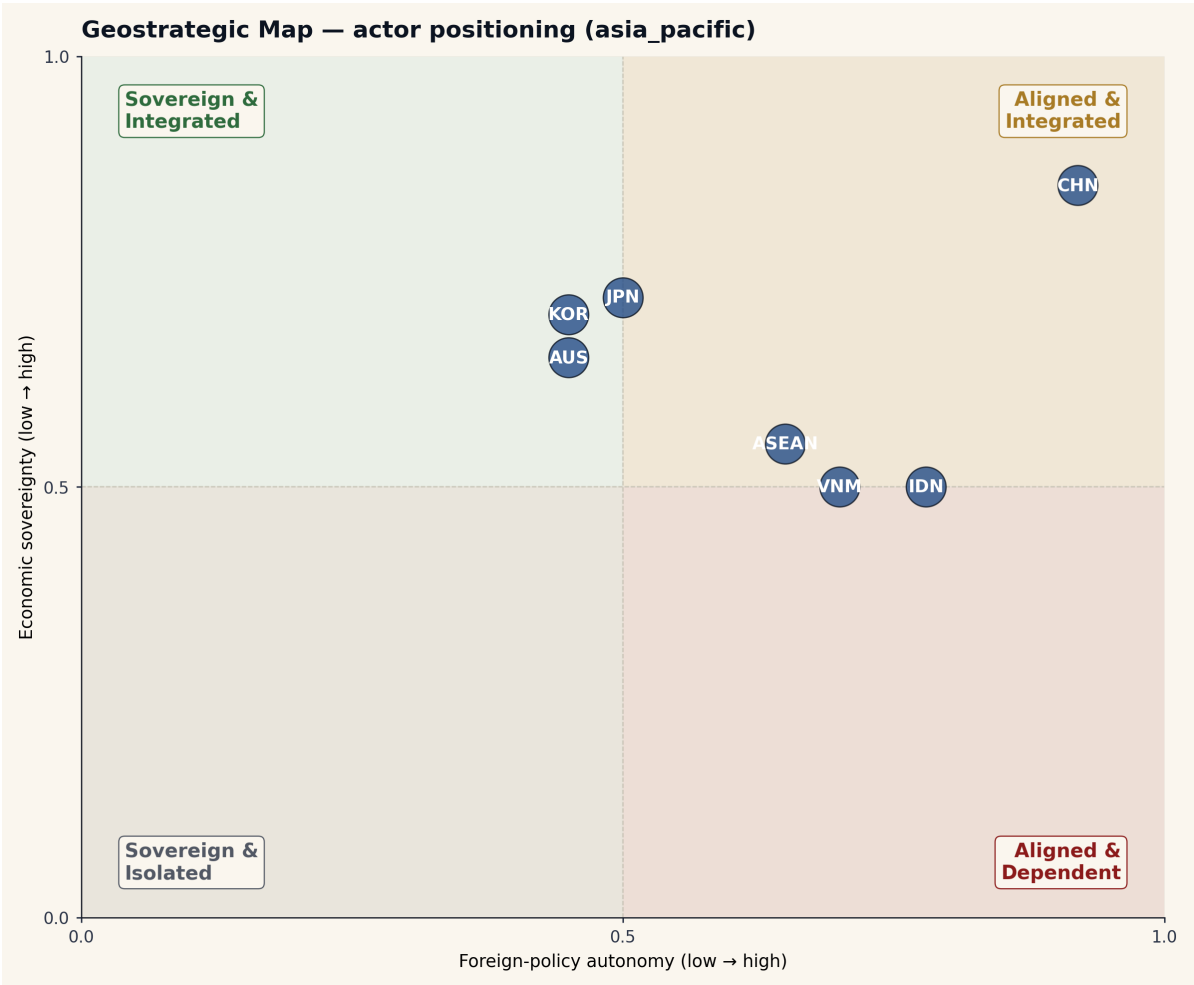


Exhibit 7.2 — Geostrategic Map. Foreign-policy autonomy × economic sovereignty.

08

Country / Actor Deep Dives

One-page profile per regional actor.

CHN

People's Republic of China

Capital Beijing
Pop 1410M (2025)
GDP \$18.60T (2025)
Mil-spend 1.7% GDP

Three dominant uncertainties for the 6-24m horizon: (1) US trade and tech policy trajectory under second Trump administration — whether the Jan-2026 H200 conditional re-export and Nov-2025 mineral truce represent stabilisation or pre-escalation pause; (2) Property-sector endogenous stabilisation timing — Morningstar and CF40 see late-2026/early-2027, but consumer-sentiment downside is severe; (3) Taiwan election cycle and DPP behaviour combined with PLA confidence — whether grey-zone pressure can be sustained without triggering a Pelosi-2022-style escalation cycle.

Core interests

1. Preserve CCP regime security and Xi's political program through the 15th Five-Year Plan (2026-30) — Party authority is the prerequisite for all other goals [source: english.www.gov.cn 'CPC leadership holds meeting on 2026 economic work' 2025-12-08, retrieved 2026-05-10]
2. Sustain GDP growth near 5% target through demand-side, urban-renewal and tech-industrial measures to absorb 12.22M+ annual graduates and prevent youth-unemployment unrest (16.9% Mar 2026) [source: scmp.com/economy/china-economy/article/3336857 retrieved 2026-05-10; china-briefing.com 'China's Economy in 2025 GDP 5%' retrieved 2026-05-10]
3. Achieve semiconductor and AI self-sufficiency — SMIC 7nm at scale, 5nm pilot, ~50% self-sufficiency in 2025 — to neutralise US export controls before they become irreversible [source: financialcontent.com 'Silicon Sovereignty SMIC' 2026-01-28, retrieved 2026-05-10]
4. Keep Taiwan reunification trajectory on track via grey-zone pressure (3,764 ADIZ incursions in 2025, +22.4% YoY) while avoiding kinetic war that risks PLA exposure and US-Japan-Australia coalition trigger [source: chinapower.csis.org 'China Increased Military Activities Indo-Pacific 2025' retrieved 2026-05-10]
5. Stabilise property sector and local-government debt — supply-control, inventory reduction, RRR/rate cuts under PBoC 'moderately loose' stance — to prevent balance-sheet recession [source: cgtn.com 'China outlines measures to stabilize property market in 2026' 2025-12-23, retrieved 2026-05-10]

Key drivers

- US-China systemic rivalry (tech, finance, Taiwan) — the binding structural variable
- Domestic property-debt-demography triple drag on growth — caps adventurism budget
- PLA modernisation pace vs US/allied counter-build — window-of-opportunity calculus
- RMB internationalisation vs. capital-account convertibility tradeoff (SWIFT share fell to 2.74% Feb 2026 from 4.33% peak) [source: negotiuminfinitem.com 'Reality and Limits of RMB' retrieved 2026-05-10]

Near-term observable signals

Signal	Threshold
Monthly PLA ADIZ incursion count around Taiwan	>400/month sustained for 3 months signals dec
SMIC monthly 7nm wafer output and 5nm pilot yield announcements	>15K WPM at 7nm OR any 5nm volume-production
70-city new-home price index MoM change	Three consecutive months of MoM >0 in Tier-1/
CIPS monthly volume and direct-participant additions	>USD 30T annualised + >15 new direct parti

Critical-mineral export licence approval rate to US/Japan/EU end-users	<30% approval rate on REE Mg-Heavy licences s
Youth (16-24 ex-students) urban unemployment rate	>18% triggers policy-emergency response; >

JPN

Japan

Capital Tokyo
Pop 124M (2025)
GDP \$4.11T (2025)
Mil-spend 1.6% GDP

Dominant uncertainty (1) is US extended-deterrence credibility under a transactional Washington — if Article V coverage of Senkaku frays, Takaichi's buildup is undersized; if it holds, Japan rides the alliance into 2% sustainably. Uncertainty (2) is yen/BoJ path: a 300bp Fed-BoJ gap with rates stuck at 0.75% risks disorderly yen weakness that erodes the real defence budget. Uncertainty (3) is China escalation tempo — the Nov-2025 Takaichi Taiwan statement crossed a Chinese threshold; whether Beijing settles on grey-zone Coast Guard pressure or accelerates kinetic options around Yonaguni/Senkak

Core interests

1. Preserve US extended deterrence and Article-5 credibility on Senkaku/Yonaguni; lock-in trilateral with ROK and 'Squad' (US-JPN-PHL-AUS) before any US retrenchment [source: CNAS U.S.-Japan-Philippines Trilateral Cooperation; <https://ipdefenseforum.com/2026/04/japanese-ground-troops-join-rapidly-growing-balikatan-exercise-in-philippines/> retrieved 2026-05-10]
2. Deter Chinese coercion of Taiwan as sea-lane existential (Takaichi 'survival-threatening situation' doctrine, Nov 2025) [https://thedi diplomat.com/2026/05/china-and-japan-are-entering-a-more-dangerous-phase-of-rivalry/ retrieved 2026-05-10]
3. Execute NSS-2022 defence buildup: hit 2% GDP target (FY2025 effectively achieved; FY2026 budget approx 9.0T yen, +9.4% YoY) [https://www.aljazeera.com/news/2025/12/26/japan-govt-greenlights-record-58bn-defence-budget amid-regional-tension retrieved 2026-05-10]
4. Stabilise yen and complete BoJ normalisation toward ~1.0% terminal without destabilising JGB market [https://www.bloomberg.com/news/articles/2026-04-26/boj-seen-holding-rates-in-messaging-risk-for-ueda-as-yen-teeters retrieved 2026-05-10]
5. Energy security: preserve Sakhalin-2 LNG (~9% of imports) under US waiver while diversifying post-Hormuz shock [https://www.japantimes.co.jp/news/2025/12/18/japan-japan-us-extension-sakhalin-permit/ retrieved 2026-05-10]

Redlines

- PLA amphibious/blockade operations against Taiwan or PLA-Navy interdiction of SLOCs through Bashi/Miyako straits (invokes collective self-defence per Takaichi Nov-2025 Diet statement) [https://thedi diplomat.com/2026/05/china-and-japan-are-entering-a-more-dangerous-phase-of-rivalry/ retrieved 2026-05-10]
- Armed PLA Coast Guard landing on Senkaku/Diaoyu or seizure of fishing boats inside 12nm (intrusions on 11 Feb, 27 Apr, 8 May 2026 already at >threshold tempo) [https://www.japantimes.co.jp/news/2026/05/08/japan/senkaku-chinese-ships/ retrieved 2026-05-10]
- DPRK nuclear or MRBM strike on Japanese territory, US bases in Japan, or maritime targets in JEEZ [https://www.congress.gov/crs_external_products/IF/HTML/IF10472.html retrieved 2026-05-10]
- Russian seizure or sabotage of Sakhalin-2 LNG facilities or Mitsui/Mitsubishi equity expropriation [https://asiatimes.com/2026/05/crunch-time-for-japan-russia-as-energy-and-security-collapse/ retrieved 2026-05-10]
- China weaponising rare-earth/gallium/germanium with full embargo against Japanese firms or anti-dumping cascade beyond Jan-2026 photoresist probe [https://www.bloomberg.com/news/articles/2026-01-06/japan-protests-china-s-new-export-controls-on-dual-use-goods retrieved 2026-05-10]

Key drivers

- Takaichi government durability post-Feb-2026 landslide (LDP 316/465 seats) and ability to push constitutional/security legislation [https://en.wikipedia.org/wiki/Takaichi_Cabinet retrieved 2026-05-10]
- China-Japan rivalry intensification cycle (Takaichi Taiwan remarks Nov 2025 -> PLA pressure -> JMSDF Taiwan Strait transits Apr 2026) [<https://thediomat.com/2026/05/china-and-japan-are-entering-a-more-dangerous-phase-of-rivalry/> retrieved 2026-05-10]
- BoJ-Fed rate differential (BoJ 0.75% vs Fed 3.50-3.75%; ~300bp carry-trade pressure on yen) [<https://www.cnbc.com/2026/04/28/bank-of-japan-keeps-policy-rate-steady-cpi-iran-war-gdp.html> retrieved 2026-05-10]
- US strategic reliability under second-term US administration (Mearsheimer lens: alliance abandonment risk) [uncited-judgement]

Near-term observable signals

Signal	Threshold
PLA Coast Guard intrusions into Senkaku 12nm territorial waters per month	>4 intrusions/month sustained for 2 consecuti
USD/JPY exchange rate	>160 triggers MoF intervention; >165 susta
BoJ policy rate	Hike to 1.0% by July or October 2026 meeting (Ox
DPRK ballistic launches into Sea of Japan	>12 launches in calendar 2026 (already 7+ by
FY2026 defence budget execution as % of GDP	Reach 2.0% nominal by March 2027 (Takaichi pledg
Sakhalin-2 LNG US waiver renewal beyond 18 Jun 2026	Non-renewal forces ~9% LNG-supply scramble withi

KOR

Republic of Korea

Capital Seoul

Pop 52M (2025)

GDP \$1.85T (2025)

Mil-spend 2.7% GDP

Dominant uncertainties for the M horizon are (i) the durability of the Trump-Lee bargain - whether MASGA disbursement strain or USFK ground-force cuts break the current equilibrium; (ii) the HBM4 share split between SK Hynix and a resurgent Samsung, which determines whether Korea retains its single-firm AI-memory rent; and (iii) DPRK escalation tempo, where the central question is whether a 7th nuclear test or an ICBM re-entry success forces Seoul to publicly entertain indigenous nuclearisation. Secondary uncertainty: depth of Chinese rare-earth retaliation against Korean firms cooperating wit

Core interests

1. Preserve credible extended deterrence against the DPRK (US nuclear umbrella + KMPR/Kill Chain) while Kim Jong Un publicly pursues 'limitless expansion' of nuclear forces and conducts >=7 missile tests in first four months of 2026 [source: <https://thedi diplomat.com/2026/03/north-korea-launches-massive-ballistic-missile-barrage-amid-south-korea-us-drills/> retr. 2026-05-10; <https://news.un.org/en/story/2026/04/1167415> retr. 2026-05-10]

2. Lock in the HBM-led AI memory supercycle as the principal national rent: SK Hynix held 62% HBM share Q2 2025 and Nvidia has bought out 2026 HBM/DRAM/NAND output, sustaining >2.8% Q1-2026 q/q GDP growth driven by chip exports [source: <https://www.astutegroup.com/news/general/sk-hynix-holds-62-of-hbm-micron-overtakes-samsung-2026-battle-pivots-to-hbm4/> retr. 2026-05-10; <https://think.ing.com/snaps/korean-gdp-surged-with-an-expected-slow-down-2026-growth-outlook-is-now-higher/> retr. 2026-05-10]

3. Convert the \$350bn US investment package and MASGA shipbuilding pact into a tariff hedge (15% vs Section 232 25%) and a structural alliance asset that survives Trump's transactionalism [source: <https://www.jurist.org/news/2026/03/south-korea-commits-350-billion-to-u-s-strategic-industries-following-trump-tariff-pressure/> retr. 2026-05-10; <https://keia.org/the-peninsula/u-s-south-korea-move-to-lock-in-lower-tariff-rate-with-350-billion-deal/> retr. 2026-05-10]

4. Acquire SSN propulsion + uranium-enrichment/reprocessing latency under the November-2025 Trump-Lee understanding, locking in technological hedge against a future US retrenchment [source: <https://www.armscontrol.org/act/2025-12/news/us-supports-south-korean-enrichment-reprocessing> retr. 2026-05-10; <https://www.aljazeera.com/news/2025/11/14/u-s-south-korea-to-move-forward-on-building-nuclear-powered-submarines> retr. 2026-05-10]

5. Diversify away from China dependence (22% of imports, ~80% rare-earth dependence, China rare-earth pressure on KOR firms to halt exports to US defence in 2025) without inviting overt coercion [source: <https://www.upi.com/Voices/2026/02/25/perspective-china-rare-earth-leverage/5941772043256/> retr. 2026-05-10; <https://www.newsweek.com/china-south-korea-us-trade-rare-earths-trump-tariffs-2063134> retr. 2026-05-10]

Key drivers

- DPRK accelerating nuclear/missile programme under a 5-year military development plan with Russian technology backflow from the Ukraine deployment (~15k troops, ~2k killed) [source: <https://www.cnn.com/2026/04/30/asia/north-korea-soldier-suicides-intl-hnk> retr. 2026-05-10; <https://news.un.org/en/story/2026/04/1167415> retr. 2026-05-10]

Redlines

- DPRK nuclear-weapon use against ROK territory, USFK, or Japan
- DPRK conventional invasion across the DMZ or seizure of NW Islands (Yeonpyeong/Baengnyeong)
- DPRK 7th nuclear test or successful ICBM re-entry test demonstrating CONUS strike (would force tactical-nuclear-redeployment debate per Lee government posture) [source: <https://thedi diplomat.com/2026/01/us-defense-strategy-signals-shift-in-korea-defense-pushing-seoul-to-lead/> retr. 2026-05-10]
- US unilateral USFK ground-force drawdown below ~20k or removal of nuclear-umbrella declaratory language
- Chinese formal blockade/quarantine of Taiwan that severs Hormuz-equivalent SLOCs through which ~30% of Korean trade transits [uncited-judgement]

- AI-driven HBM/DRAM supercycle in which SK Hynix and Samsung jointly anchor ~85% of HBM revenue (Mearsheimer power-resource + Romer ideas-rent logic) [source: <https://www.astutegroup.com/news/general/sk-hynix-holds-62-of-hbm-micron-overtakes-samsung-2026-battle-pivots-to-hbm4/> retr. 2026-05-10]
- Trump-era transactional alliance management: \$350bn investment-for-tariff-relief, MASGA shipbuilding, SSN approval, enrichment/reprocessing nod [source: <https://www.jurist.org/news/2026/03/south-korea-commits-350-billion-to-u-s-strategic-industries-following-trump-tariff-pressure/> retr. 2026-05-10; <https://www.armscontrol.org/act/2025-12/news/us-supports-south-korean-enrichment-reprocessing> retr. 2026-05-10]
- Lee Jae-myung's 'self-reliant defence' doctrine targeting 3.6% GDP defence spending and OPCON transfer by 2030 [source: https://www.stripes.com/theaters/asia_pacific/2025-12-04/south-korea-defense-budget-increase-19977457.html retr. 2026-05-10]

Near-term observable signals

Signal	Threshold
DPRK 7th nuclear test or successful ICBM re-entry test demonstrating CONUS strike capabi	Any single confirmed underground nuclear detonat
SK Hynix HBM share erosion as Samsung HBM4 ramps at Pyeongtaek P4	SK Hynix HBM revenue share drops below 50% in an
Korean won stress level	USD/KRW closes above 1500 for 10 consecutive ses
USFK posture change	Any announcement of USFK ground-force reduction
Chinese rare-earth coercion intensification	China issues formal export-licence denial or san
Defence export run-rate vs \$37bn target	Quarterly Korean defence-export bookings track b

IDN

Republic of Indonesia

Capital Jakarta
Pop 277M (2025)
GDP \$1.46T (2025)
Mil-spend 0.7% GDP

The dominant uncertainty is whether Prabowo's oversized-coalition patronage model can absorb a simultaneous fiscal squeeze (deficit cap breach probability moderate-to-high per Citi), a record-low rupiah, and a Natuna escalation without forcing a binary US-China alignment choice that would shatter bebas-aktif. Secondary uncertainty is the credibility of Danantara's USD 1T AUM and 5% dividend mandate, which under-delivery would unwind the entire downstreaming-as-growth narrative. Tertiary uncertainty is whether the July 2026 ASEAN COC deadline produces a substantive text, a face-saving partial d

Core interests

1. Preserve bebas-aktif equidistance: extract maximum concessions from both US (MDCP signed Apr-2026) and China (largest FDI partner) without binding alignment that would forfeit hedging optionality
2. Defend nickel downstreaming rents and Danantara-led industrial policy as the central engine of growth and patronage finance (FDI in base metals USD 14.6B in 2025, largest sector)
3. Stabilise the rupiah and fiscal position: rupiah hit record low ~17,422/USD on 5-May-2026; Citi projects deficit breach of 3% legal cap; protect Bank Indonesia FX reserves (USD 146.2B Apr-2026)
4. Manage Prabowo's coalition through patronage co-optation of NU, Muhammadiyah, PKS, Gerindra, PDI-P; absorb the fifth cabinet reshuffle (27-Apr-2026) without elite fracture
5. Defend Natuna EEZ and North Natuna Sea gas fields (Pertamina D-Alpha) against China Coast Guard incursions without rupturing the China economic relationship

Key drivers

- Nickel-downstreaming political economy: Acemoglu-Robinson 'extractive vs inclusive institutions' tension; rents accrue to a narrow Prabowo-aligned coalition (Bahlil ESDM, Danantara, Bakrie/Salim/Salim-linked SOEs) creating a fragile rent-distribution equilibrium
- Coalitional patronage management: five cabinet reshuffles in 18 months show Prabowo running an oversized coalition (NU+Muhammadiyah+PKS+Gerindra+PDI-P+Golkar) as Indonesia's modal stability mechanism, Krugman-style political-economy slack

Redlines

- China Coast Guard sustained occupation of Natuna D-Alpha gas block forcing Pertamina to halt operations, or armed boarding of Indonesian fishing vessels with casualties
- Forced choice ultimatum from Washington or Beijing demanding base access, military alignment, or exclusion from the other power's trade/finance corridor
- Rupiah breach of 18,500/USD with disorderly FX-reserve drawdown below USD 130B triggering capital flight and SBI rollover stress
- Domestic Islamist mobilisation (PA 212-style) or HTI-successor terror attack with mass casualties reviving 1998-style street politics against the Prabowo cabinet
- Hard EU/US Forced Labor Regulation or CBAM-equivalent block on Indonesian nickel-derived battery exports, collapsing the downstreaming rationale

- China-US strategic hedging window: MDCP signed April 2026 with US + USD 26B Danantara downstream pipeline largely Chinese, mechanical bebas-aktif
- Fiscal-monetary squeeze: IDR 335T free-meals program, IDR ~6.3T IKN allocation, rupiah at record low, BI rate held at 4.75%; Krugman-style trilemma between currency, growth, and fiscal headroom

Near-term observable signals

Signal	Threshold
Rupiah spot rate breach of 17,500/USD or FX reserves fall below USD 140B	USD/IDR $\geq$ 17,500 close, or BI FX reserves $\leq$
Fiscal deficit breach of legal 3% of GDP cap or revision to State Finance Law	Realized deficit $\geq$ 3.0% of GDP in 2026 outturn
China Coast Guard persistent presence at Natuna D-Alpha / Pertamina survey vessel withdr	AIS-confirmed CCG dwell time $\geq$ 30 days continu
Sixth cabinet reshuffle within Prabowo's first 24 months	Any reshuffle after the 27-Apr-2026 fifth reshuf
ASEAN Code of Conduct outcome at 2026 ASEAN Summit (Philippines chair)	Either (a) substantive COC signed, or (b) explic
Nickel RKAB production quota and price impact	Bahlil/ESDM announces 2026 quota cut $\geq$ 15% YoY

VNM

Socialist Republic of Vietnam

Capital Hanoi

Pop 100M (2025)

GDP \$0.43T (2025)

Mil-spend 2.3% GDP

Dominant uncertainty is whether the US 20% framework tariff holds through the 2026 mid-terms or escalates via transshipment-enforcement to effective 30-40% on key categories, which would force a binary choice we have so far avoided. Second-order uncertainty is the PRC SCS posture in the COC end-game window (July 2026 deadline, Philippines chair): a mass-casualty incident or oil-rig redeployment to Vanguard Bank could trip our redline. Third uncertainty is the EVN-renewables solvency knot — if unresolved by H2 2026, power-shortage risk to FDI-anchor industrial parks becomes the binding constrai

Core interests

1. Preserve the 20% reciprocal tariff ceiling with the US and avoid escalation to the 46% threatened rate; the US is our single largest export market and the binding constraint on the 8-10% GDP-growth target the 14th Congress just locked in [source: USTR Oct 2025 framework <https://ustr.gov/about/policy-offices/press-office/fact-sheets/2025/october/fact-sheet-united-states-and-viet-nam-reach-framework-agreement-reciprocal-fair-and-balanced-trade> retrieved 2026-05-10; CNBC <https://www.cnbc.com/2025/04/12/vietnam-reciprocal-tariffs-reflect-trade-deficit-and-ties-to-china.html> retrieved 2026-05-10]
2. Defend SCS sovereignty in the Spratlys/Paracels through quiet militarisation rather than confrontation: complete the eight new reclamation features and the runway/radar build-out we started in 2025, matching PRC island acreage by H2 2026 [source: Defense News 2025-12-17 <https://www.defensenews.com/global/asia-pacific/2025/12/17/vietnam-nears-completion-of-militarized-south-china-sea-outposts/> retrieved 2026-05-10]
3. Sustain FDI throughput at >USD 33-40bn/yr registered capital, with manufacturing share >55%, to feed the post-Congress 10% growth ambition without breaching the IMF's tariff-shock baseline of 6.5% [source: VietnamPlus FDI 11M2025 <https://en.vietnamplus.vn/fdi-inflows-manufacturing-remains-the-dominant-sector-post334226.vnp> retrieved 2026-05-10; IMF 2025 Article IV <https://www.imf.org/en/news/articles/2025/09/15/pr-25296-vietnam-imf-executive-board-concludes-2025-article-iv-consultation> retrieved 2026-05-10]
4. Resolve the EVN solvency-and-FIT-dispute knot before it blows out the renewables pipeline: 173 stranded solar/wind projects worth ~USD 13bn must be unstuck or Samsung/Foxconn-scale loads risk power-rationing by 2027 [source: Diplomat 2025-06 <https://thediplomat.com/2025/06/why-vietnam-is-cutting-down-payments-to-renewable-energy-developers> retrieved 2026-05-10; Fulcrum <https://fulcrum.sg/time-for-vietnam-to-resolve-its-renewable-energy-legal-quagmire/> retrieved 2026-05-10]
5. Consolidate To Lam's 19-member Politburo + Le Minh Hung PM cabinet through the first post-Congress year: lock in succession plan, neutralise residual Trong-era factions via the blazing-furnace channel without scaring off Korean/Japanese capital [source: VnExpress 14th Politburo <https://e.vnexpress.net/news/news/politics/vietnam-unveils-19-member-politburo-for-new-party-term-5009187.html> retrieved 2026-05-10; Vietnamese Magazine 2026-04 <https://thevietnamese.org/2026/04/the-blazing-furnace-under-to-lam-protection-purge-and-power/> retrieved 2026-05-10]

Redlines

- Chinese coast-guard or PLAN seizure, blockade, or live-fire interdiction of a Vietnamese-occupied Spratly feature (Vanguard Bank, Spratly Island, Sand Cay) or sustained PRC oil-rig deployment inside our EEZ in the Tu Chinh / Vanguard Bank block (HD-981 2014 redux but persistent)
- US escalation of the reciprocal tariff above the 20% framework ceiling, or activation of the 40% transshipment penalty on a category covering >USD 20bn of our annual electronics/footwear exports, after we have already conceded on origin-certification [source: USTR Oct 2025 framework; Snell & Wilmer <https://www.swlaw.com/publication/new-reciprocal-tariff-rates-announced-but-the-real-risk-is-hidden-transshipment-enforcement-now-comes-with-an-additional-40-tariff/> retrieved 2026-05-10]
- Washington or Beijing presenting a binding 'choose-a-side' ultimatum (e.g., expel PRC telecoms, host US base, sever BRI rail link, or join a US-led tech-export-control regime as condition of MFN)
- Mass-casualty incident at sea against Vietnamese fishermen by PRC maritime forces (>10 fatalities) of the kind escalated from the October 2024 Paracels beating [source: USNI 2024-10-07 <https://news.usni.org/2024/10/07/chinese-maritime-safety-officers-beat-vietnamese-fishermen-during-south-china-sea-interdiction-say-officials> retrieved 2026-05-10]
- EVN cash-flow collapse triggering rolling blackouts on northern industrial parks (Bac Ninh, Thai Nguyen, Hai Phong) of >48h that force a Samsung/Foxconn production halt and headline-level FDI reputational damage

Key drivers

- US tariff posture (20% framework ceiling vs 46% threat vs 40% transshipment penalty) — Krugman lens: real-exchange-rate and trade-elasticity exposure to the single largest export market is the binding constraint on the 10% growth target
- PRC SCS coercion gradient (coast-guard incidents, militia, baseline declarations, oil-rig deployments) — Mearsheimer offensive-realism lens: PRC as regional hegemon-aspirant; we must build local-balance-of-power leverage while avoiding entrapment
- FDI flows (Korea, Japan, Singapore, Taiwan, China itself) and the supply-chain-diversification dividend — Krugman/agglomeration lens: cluster effects in Bac Ninh, Thai Nguyen, Binh Duong are self-reinforcing if power and ports keep up
- EVN financial health and the 173-project FIT dispute — Acemoglu-Robinson lens: institutional credibility for foreign capital depends on resolving a state-owned-enterprise that is simultaneously regulator, monopsony-buyer, and creditor of stranded renewable assets

Near-term observable signals

Signal	Threshold
US Section 232 / CBP escalation of transshipment enforcement against named Vietnamese el	>USD 5bn of annualised export value flagged i
PRC coast-guard or maritime-militia kinetic incident near Vietnamese-claimed Spratly fea	>3 incidents involving water cannons, ramming
FDI registered-capital inflow trend	Monthly FDI registered capital below USD 2.5bn f
EVN payables crisis or northern-grid stress event	Any rolling blackout >24h affecting Bac Ninh,
Dong exchange rate vs USD	VND/USD breaks above 26,500 (SBV intervention pa
Politburo-level reshuffle or anti-corruption purge of newly elected 14th-term member	Any of the 19 14th-term Politburo members remove

AUS

Commonwealth of Australia

Capital Canberra

Pop 27M (2025)

GDP \$1.79T (2025)

Mil-spend 2.0% GDP

Two dominant uncertainties drive Australian strategy on the M-horizon. First, the reliability of the US under Trump-Hegseth-Colby on AUKUS Pillar 1: the October-2025 review survival is reassuring but conditional, and a future Virginia-class production shortfall or politicised SECNAV certification could force a sudden hedge toward the UK/France/Japan and an interim diesel-electric bridge. Second, whether the Albanese-Xi July-2025 thaw survives a Taiwan-contingency uptick — iron-ore earnings (~A\$107B forecast 2026-27, ~85% to China) finance the entire defence ramp, so any PRC economic-coercion r

Core interests

- 1. Secure the AUKUS Pillar 1 pipeline through the M-horizon: lock in US Virginia-class transfer cadence (first delivery early-2030s) and finance UK long-lead items (A\$310m payment Feb-2026) while standing up the Osborne yard (USD 3.9B announced Feb-2026) and Submarine Rotational Force-West at HMAS Stirling (2027). Mearsheimerian logic: only a survivable nuclear-attack-submarine force allows a middle power to impose costs on a regional hegemon.
- 2. Preserve the China economic relationship as a shock absorber while hardening against coercion. Iron-ore rent (~A\$107B forecast 2026-27; China takes ~85% of Australian iron-ore exports) underwrites the defence ramp; the Albanese-Xi July-2025 thaw removed >A\$20B in trade barriers and must be defended even as strategic posture sharpens.
- 3. Operationalise AUKUS Pillar 2 advanced-capability workstreams (quantum PNT, AI/autonomy, hypersonics, undersea, deep-space radar). First DARC radar site in Western Australia is planned operational in 2026 — this is the M-horizon deliverable that proves Pillar 2 is not vaporware.
- 4. Consolidate the Pacific security architecture: ratify Pukpuk Treaty with PNG (signed 2025), close the Vanuatu Nakamal Agreement (A\$500m, initialled Aug-2025), keep Solomons inside Australian-led policing/cyber lane, and pre-empt any PRC dual-use port or security-services foothold. Ikenberry liberal-order logic: dense institutional binding is cheaper than rearmament alone.
- 5. Build sovereign critical-minerals processing capacity (rare earths, lithium, nickel, gallium) to capture risk-premium from US/Japan/EU de-Chinafication. Lynas DoW Lol (~USD 96m, Mar-2026) and JARE long-term NdPr offtake to 2038 with US\$110/kg floor signal the M-horizon revenue model.

Key drivers

- US extended-deterrence credibility under Trump 2.0 (Colby-led OSD-Policy posture toward AUKUS)
- PRC peak-power window and Taiwan-contingency risk in 2027-2032
- Iron-ore rent durability vs China peak-steel demand decline (Simandou November-2025 launch)
- AUKUS industrial-base execution: Osborne yard, Stirling SRF-W, US Virginia production rate

Near-term observable signals

Signal	Threshold
First Virginia-class SSN delivery to RAN milestone (US SECNAV annual certification that	By 2027 SECNAV certification submitted to Congre
Osborne SSN-AUKUS construction yard capital execution	USD 3.9B announced Feb-2026; >USD 1B obligate

Redlines

- Any PRC security-services deployment, naval logistics hub, or dual-use port arrangement in Solomon Islands, Vanuatu, PNG, Fiji, Kiribati, or Tonga (operationalises the 'Chinese strategic basing in immediate region' redline; triggers maximum Pacific Step-Up spending and possible co-basing with US).
- Coercive PRC blockade, kinetic action against, or seizure of Taiwan that drags US into combat — Australia would activate ANZUS consultation, almost certainly grant US/UK basing for combat sortie generation from northern Australia and Stirling, and likely contribute ISR/SSN-AUKUS partner platforms even short of formal combat commitment.
- PRC grey-zone interdiction of Australian-flagged or Australian-bound shipping in SCS/East China Sea, or repeat of unsafe PLA-N/PLA-AF intercepts (e.g. sonar/flare incidents) escalating to loss of ADF life.
- US unilateral abrogation or material downgrading of AUKUS Pillar 1 Virginia transfer (e.g. SECNAV-certification denial post-2027) — would force Canberra into a Plan B with UK/France/Japan and a sovereign-capability hedge.
- Cyber or sabotage attack against AUKUS-related industrial base (Osborne, Henderson, Stirling) attributable to PRC or proxies.

Submarine Rotational Force-West stand-up at HMAS Stirling	Up to 4 US Virginia + 1 UK Astute/SSN-AUKUS rota
Deep Space Advanced Radar (DARC) site 1 in Western Australia operational	Initial operating capability declared 2026
Defence spending share of GDP	>=2.33% by FY2028 on traditional measurement;
Pukpuk Treaty (PNG) and Nakamal Agreement (Vanuatu) ratification status	Pukpuk in force by end-2026; Nakamal signed (not

ASEAN

Association of Southeast Asian Nations

The dominant uncertainty is whether the South China Sea Code of Conduct can be substantively concluded under the Philippine 2026 chair without a kinetic incident at Scarborough or Second Thomas Shoal that forces a fracture between Manila's MDT-anchored hardening and Hun Manet's all-weather alignment with Beijing. A second-order uncertainty is the durability of the Thailand-Cambodia ceasefire (which has already broken once between July and December 2025) and whether a renewed flare-up would expose ASEAN's mediation tools as inferior to Chinese 'quiet diplomacy'. A third is whether US tariff pol

Core interests

1. Preserve ASEAN centrality and the consensus-rule convening role against erosion by AUKUS, Quad, and bilateral US/China minilaterals - the single non-negotiable identity asset of the bloc [uncited-judgement: structural realism / Mearsheimer-centrality logic]
2. Maximise China+1 / friend-shoring trade-and-FDI diversion rents from US-China rivalry (ASEAN FDI at a record ~USD 230bn in 2023 and projected ~USD 235bn in 2024; Vietnam GDP +8.02% in 2025; Singapore-Vietnam bilateral trade +28.5% H1 2025 to SGD 19.5bn) - Krugman new-trade-theory logic on agglomeration in Southeast Asian electronics/semis hubs
3. Deliver a politically-binding (not necessarily legally-binding) South China Sea Code of Conduct by end-2026 under Philippine chair, while preventing a kinetic escalation at Scarborough Shoal / Second Thomas Shoal that would force a member-vs-China choice (3rd reading of Single Draft Text completed Feb 2025; April 2026 Chinese floating barrier installation at Scarborough Shoal)
4. Contain the Myanmar crisis below the threshold of unity-collapse: keep junta downgraded, refuse to recognise the 2025 sham elections, maintain the special-envoy track, and protect humanitarian access without forcing China-aligned members (KHM, LAO, THA) to defect (47th Summit Oct 2025 reaffirmed lack of progress on 5PC)
5. Defuse the Thailand-Cambodia border crisis and prevent a second hot phase: July 2025 fighting killed ~48 and displaced 300k+, December 2025 flare-up displaced 500k+; ceasefire holding as of March 2026 but fragile - an intra-ASEAN war is an existential reputational shock

Redlines

- A kinetic exchange between Chinese forces and a member's military (e.g. PLA Navy fires on a Philippine Coast Guard or AFP vessel at Scarborough Shoal / Second Thomas Shoal / Sabina Shoal) with confirmed Filipino fatalities - triggers MDT activation and forces ASEAN to choose, fracturing the consensus rule
- Resumption of full-scale armed combat across the Thailand-Cambodia border (>50 KIA in a 14-day window or air strikes targeting cities) - an intra-ASEAN war that the bloc's mediation architecture provably could not prevent
- Junta-led genocidal escalation in Myanmar (>5,000 civilian deaths in a 6-month window, or chemical-weapons use) that makes the Cambodia/Laos/Thailand 'engagement track' politically untenable for IDN/MYS/PHL/SGP and breaks consensus
- A US extraterritorial sanctions or secondary-sanctions package on ASEAN financial centres (SGP, MYS) over Russia/Iran/China transactions that forces a binary alignment with Washington
- Imposition of US tariffs >35% reciprocal on three or more ASEAN members simultaneously, or a Trump-administration declaration that any ASEAN member is a 'currency manipulator' or 'transshipment haven' triggering >25% additional duties - collapses the China+1 economic dividend

Key drivers

- US-China systemic rivalry intensity (Mearsheimer offensive-realism logic): when rivalry hardens, ASEAN centrality erodes via AUKUS/Quad/minilaterals; when it softens, ASEAN's convening role rebounds
- Member heterogeneity / consensus-rule binding constraint: Cambodia-Laos China-aligned bloc vs Philippines-Singapore US-aligned bloc vs Indonesia-Malaysia-Vietnam-Thailand-Brunei hedgers - any 'unanimity-minus-one' formula remains procedurally taboo
- China+1 / friend-shoring FDI rents (Krugman new-trade-theory): supply-chain reconfiguration into VNM/THA/MYS/IDN drives the ASEAN economic dividend; tariff policy and US 'transshipment' enforcement determine its half-life
- South China Sea operational tempo: Chinese coast guard / maritime militia / PLA Navy intensity at Scarborough / Second Thomas / Sabina / Vanguard Bank shoals - the kinetic floor under the COC negotiation ceiling

Near-term observable signals

Signal	Threshold
Conclusion (signing or initialling) of the ASEAN-China South China Sea Code of Conduct u	Signed/initialled text by 31 December 2026; or f
Kinetic incident at Scarborough Shoal / Second Thomas Shoal involving live fire or fatal	Any confirmed PLA-Navy or CCG use of lethal forc
Thailand-Cambodia border ceasefire status	Any cross-border armed exchange resulting in >
Myanmar 5PC implementation - special envoy access	ASEAN special envoy granted in-person meetings w
US reciprocal tariff escalation on ASEAN members	Any US Section 232 / IEEPA / executive order rai
Vietnam GDP growth and FDI inflow momentum	VNM real GDP growth falls below 5.5% YoY for two

09

Theme Cross-Cuts

Ten active themes — indicators, key triggers, and near-term outlook.

T01 — Over the M-horizon (6-24 months, base date 2026-05-10), US-C

Near-term outlook. Over the M-horizon (6-24 months, base date 2026-05-10), US-China systemic competition is structurally entrenched but tactically modulated by the Geneva-Korea tariff truce framework. Mearsheimer's offensive-realism prior and Allison's Thucydides-trap logic both predict that the underlying balance-of-power trajectory continues to dominate any cyclical de-escalation: PLA monthly ADIZ activity remains in the 300-500 sortie range with episodic 600+ exercise spikes; BIS Entity List growth continues at ~80-100 PRC adds/year as the 'small yard' enlarges into legacy chips, biotech and quantum; and the COINS Act sectoral expansion in 2026-27 progressively constrains US capital flows to PRC tech. The bilateral trade YoY arithmetic recovers toward zero in months 6-12 (off the depressed 2025 base) but re-decouples in months 18-24 as Section 301 statutory four-year reviews bind and any post-2027-anniversary PLA exercise risk premium reprioritises supply chains. From a Tianxia / Yan-Xuetong vantage point, Beijing's near-term strategy is to manage tactical climbdown while preserving long-game industrial-policy buffers; from a Krugman geo-economic lens, both sides are paying meaningful welfare costs to acquire bargaining positions. The single highest-impact negative-tail trigger remains a Taiwan-strait declared quarantine (TR7), low-probability but binary; the single highest-impact positive-tail trigger is an S006/S010-style leader-level communique (TR8) codifying both tariff and export-control de-escalation rails, which would flatten three of the six indicators within one quarter.

Trigger	Threshold
Average US effective tariff on Chinese imports re-escalates above 50% (sustained 30d)	effective_rate >= 50.0% for >= 30 consecutive trad
PLA ADIZ 30d sortie count exceeds 600	monthly_sorties >= 600
BIS Entity List adds >= 50 PRC entities in any single tranche	single_action_PRC_adds >= 50
US bilateral goods trade with China declines >35% YoY over a single rolling 12-month windo	YoY <= -35.0%
Presidential CFIUS divestiture order against a PRC investor on critical infrastructure or	any new EO-level forced divestiture >= 1 within ho

T02 — The composite EM debt-cascade headline (sovereign CDS 5y bp,

Near-term outlook. The composite EM debt-cascade headline (sovereign CDS 5y bp, weighted across 12 constituents) is currently in a moderate-stress regime ~480 bp, materially below the 2022-23 peak but well above pre-COVID norms; underneath this aggregate, the dispersion is large — Turkey, Ecuador, Argentina, Pakistan, Egypt, Ghana, Zambia, and Sri Lanka have all benefited from IMF programmes and have improving CDS trajectories, while Tunisia, Lebanon, and (more contingently) Nigeria and Kenya carry idiosyncratic stress. The most probable 6-24 month trajectory is sideways with a widening tail: composite CDS drifts 480-540 bp baseline but stress paths (Brent shock, Indo-Pak escalation, biosecurity event, or fresh climate-driven shock to a vulnerable importer) push the high-tail to 900+ bp by month 24. The single most binding mechanism is the Vreeland IMF-political-economy channel: 8 of 12 constituents currently depend on active Fund programmes for market access, and the calendar of programme reviews + the end of the Zambia ECF (Jan 2026) and approaching ends of others creates concentrated review-risk windows. The Eichengreen reserves-adequacy frontier is breached or close-to-breached for Tunisia (104 days, declining post-Jul-2026 Eurobond) and Lebanon (depleted), and is vulnerable in Pakistan (3.6 months) and Argentina (usable reserves only ~USD 10 bn). Diamond-Dybvig fragility is highest at the rollover-concentration cluster (EGY USD 26-30 bn, ARG > USD 20 bn, Turkey > USD 200 bn bank+sovereign), where confidence shocks can rapidly transit to runs. The defining 24-month question is whether the post-2023 EM upgrade cycle (Ghana, Zambia, Ecuador, Sri Lanka all post-restructuring; S&P took positive actions in 2026) is reversed by the geopolitical risk channel S&P flagged in March 2026 — our base case (~55% probability) is partial reversal concentrated in 1-3 names rather than a synchronised cascade.

Trigger	Threshold
Tunisia EUR 750 mn final Eurobond payment July 2026 — if reserves below 3 months imports a	reserves_months_imports < 3.0 OR FX reserves < USD
Pakistan IMF EFF programme review failure or delay — would crystallise USD-funding shortfa	any review miss; PKR depreciation > 10% in 30 days
Argentina FX-band breach with reserves drawdown — Milei monetary scheme launched Jan 2 202	BCRA gross reserves drop > USD 5 bn in single quar
Oil price spike from Middle East escalation — propagates to EGY, PAK, TUN, LKA, KEN curren	Brent > USD 100/bbl sustained > 3 months
S&P/Moody's/Fitch downgrade cycle restart — S&P warned March 2026 that Middle East war ris	3+ EM sovereign downgrades in a single quarter fro

T03 — Over the M horizon (6-24 months), the semiconductor supply c

Near-term outlook. Over the M horizon (6-24 months), the semiconductor supply chain remains the most concentrated and most politicised strategic-industrial system in the global economy: Taiwan retains ~90% of sub-5nm foundry revenue, while China's indigenisation, costly under any Krugman cluster-economics frame, is being subsidised through state capex (SMIC FY2025 \$8.1bn, Hua Hong, CXMT) and legitimated through a Tianxia/sovereignty narrative that frames BIS/NL/JP controls as illegitimate hierarchical coercion. Expect HBM3e contract prices to rise ~20% through mid-2026 before HBM4 mix-dilution softens the index in 2H26-2027; ASML's China revenue share to compress to ~20% in 2026 from 33% in 2025 as Dutch national authorisation expansion bites; and BIS to add at least one further major tranche of PRC entities tied to HBM, EDA, or advanced packaging. The Taiwan-strait status indicator will deteriorate gradually — PLA blockade-pattern normalisation inside the contiguous zone is the dominant offensive-realist signal — but kinetic conflict over the M horizon remains low-probability (modal: amber-elevated, not crisis). The dominant tail risk is the MOFCOM rare-earth regime reactivating after its November 2026 suspension expiry combined with BIS HBM-controls, producing a reciprocal critical-minerals/critical-tools shock that bifurcates the global AI hardware supply curve. Watch for tool-in timing at TSMC Arizona Fab 21 Phase 2, Samsung 2nm Texas customer wins, SMIC 5nm yield disclosure, and any return of PLA exercises to inside-12nm presence.

Trigger	Threshold
PLA blockade-pattern exercise crosses Taiwan's 12nm contiguous zone or holds inside-contig	≥1 sustained intrusion event (current baseline: ep
BIS adds HBM3e/HBM4 to controlled-items list with extraterritorial Foreign Direct Product	Single Federal Register addition citing HBM by nam
MOFCOM lifts Nov 2025 suspension of rare-earth/gallium/germanium export-control regime	Reactivation of Notice 2025/61 before Nov 10, 2026
SMIC achieves credible 5nm volume yield (>50%) for Huawei Kirin/Ascend	Independent reverse-engineering (TechInsights) of
TSMC Arizona Fab 21 Phase 2 tool-in completes ahead of plan and N3 yield parity with TWN a	Tool-in confirmed 3Q26; pilot N3 wafers >70% yield

T04 — The 6-24 month window is dominated by a Hormuz-closure risk

Near-term outlook. The 6-24 month window is dominated by a Hormuz-closure risk premium that has lifted Brent to ~\$101/bbl on 8-May-2026 (down from a \$117/bbl April peak after the 28-Feb-2026 US-Israel war on Iran and Khamenei assassination triggered Iran's Hormuz closure), with EIA STEO Apr-2026 projecting a Q2-2026 Brent peak near \$115/bbl easing to <\$90/bbl by Q4-2026 conditional on reopening - we widen the band given the ~191-vessel April 2026 traffic floor. The UAE OPEC exit effective 1-May-2026 collapses Layer-2 voluntary-cut cohesion (1.6 Mb/d of UAE spare capacity now unconstrained), implying OPEC+ compliance falls from ~88% today toward ~70% by end-2027 and an over-supplied 2027 market unless Saudi defends fiscal breakeven (~\$96/bbl IMF, up to \$108/bbl PIF-augmented) by deeper cuts that risk further defections (Mearsheimer balancing). On the minerals side, the China REE index sits at a near-two-year high (288.7 on 10-Feb-2026), dysprosium +105% Q1-2026 to \$930.70/kg, and MoFCOM's heavy-REE license suspension through 10-Nov-2026 sets up a binary trigger: reinstated controls plus the 0.1%/50% extraterritorial rule would spike samarium and dysprosium and validate the USGS OFR 2025-1047 finding that samarium disruption

alone risks \$4.5bn US GDP. Lithium-carbonate has rebounded to ~\$24,150/t on Chinese restocking and Yichun supply curtailment, but Codelco-SQM's Salar de Atacama JV (Nova Andino Lito, Dec-2025) and Indonesian RKAB nickel cuts (330->250 Mt) tilt the broader battery-metal complex toward a structural deficit in H2-2026 even as BNEF projects pack prices fall to \$105/kWh. The structural sleeper is AI data-centre demand: IEA Electricity 2026 puts global DC at 485 TWh in 2025 rising toward 950 TWh by 2030, with US +240 TWh (130%) and China +175 TWh (170%) by 2030; this underwrites a Henry Hub trajectory rising from \$2.76/MMBtu today toward \$4.50-4.80/MMBtu by month-24 as LNG-export and gas-peaker demand stack. The dominant tail risks are (i) Hormuz remaining closed past August 2026, (ii) Beijing reactivating REE licensing on 10-Nov-2026, and (iii) a second OPEC defection (KAZ or IRQ) - all three are detectable from public sources (Kpler vessel transits, MoFCOM gazette, OPEC MOMR) and should be the priority monitoring nodes.

Trigger	Threshold
Strait of Hormuz remains closed >90 days from May-2026 baseline (i.e. through August 2026)	Brent > \$130/bbl sustained 30 days; Kpler-tracked
MoFCOM reinstates heavy-REE export licensing on 10-Nov-2026 review date (after current sus	REE oxide index > 340; samarium spot > \$500/kg; li
UAE OPEC exit cascades: second member (KAZ or IRQ) follows by Q4-2026; effective Layer-2 v	OPEC+ compliance < 70%; UAE liftings > 4.0 Mb/d su
DRC tightens cobalt quotas further or cuts 2027 allocation below 90kt; CMOC over-stockpile	Cobalt spot > \$40k/t; Glencore-CMOC public dispute
AI hyperscaler capex underwriting a >900 TWh global DC trajectory by 2030 forces 50+ GW of	DC capex 2026 > \$700bn; new gas-fired build > 30 G

T05 — Over the M horizon (6-24 months from May-2026), the central

Near-term outlook. Over the M horizon (6-24 months from May-2026), the central expectation is that the global internal-displacement stock rises from 83.4m (IDMC GRID 2025) toward roughly 96m by mid-2028, a 16% increase whose mean trajectory is driven about 60% by conflict (Sudan, DRC, Myanmar, Sahel) and 40% by disaster + slow-onset climate forcing. The constituent country with the highest probability of dominating headlines remains Sudan (9.6m IDPs, 4.3m cross-border per DTM Sep-2025) - it has displaced Syria as the world's largest forced-displacement situation and risks a tipping point if Al-Fasher falls and RSF consolidates Darfur, plausibly pushing the IDP stock above 10m and outflows beyond 5m. Second-tier accelerators are Sahel food insecurity (FAO West Africa projection 52.8m IPC-3+ in the 2026 lean season, vs. 41.8m in 2025), the Philippines/Vietnam typhoon corridor (post-Kalmaegi/Fung-wong baseline of ~2m displaced in Q4-2025), and Bangladesh's monsoon flooding (>700k/yr decadal mean, with 2025 already breaching that within the first floods of the season). Reasoning from Acemoglu-Robinson, the proximate driver in nearly every case is not the climate hazard per se but the extractive-institutional inability to absorb it (Sudan's centralised rentier state, Iraq's neopatrimonial water management, Egypt's hydro-hegemonic vulnerability to GERD, Bangladesh's coastal-poor governance gaps); from a Pan-African lens this is the post-colonial state-formation failure becoming a climate-multiplier. From Krugman economic geography, expect continued labour reallocation toward Dhaka/Lagos/Cairo/Mexico-City mega-cities that simultaneously concentrate exposure to heat-island and water-stress hazards - a dis-equilibrium that resolves only via either adaptation finance scale-up or destabilising outmigration. From Hubbert depletion logic, the Tigris-Euphrates 25-50% flow loss already realised (Carnegie 2024) and Iraq's reservoir collapse to 10 bcm (lowest since 1933, Chatham House 2025) are not cyclical - they are stepwise descents on a non-renewable hydrological budget, with no upside surprise plausible in the M-window. Coupling intensity to T02 (EM-debt) and T08 (Middle-East) is highest; under polycrisis scenario S005 (Pr=2.6%) the headline 24-month fan-chart upper bound (104.9m) becomes the central case rather than a tail, while S010 climate-cooperation-revival (Pr=1.7%) is the only meaningful downward forcing identified.

Trigger	Threshold
Sudan IDP stock breaches 10 million OR cross-border refugee outflow exceeds 5 million, sig	10,000,000 IDPs OR 5,000,000 cross-border (current)
FAO Food Price Index returns above 140 for two consecutive months, breaking 2025-2026 plat	FFPI >= 140.0 (April-2026 = 130.7)

South Asia wet-bulb event exceeds 33C sustained >6 hours in populated zone (Dhaka, Karachi	Tw >= 33C, t >= 6h, population-weighted >5M expose
Iraq water reserves fall below 8 bcm (vs 10 bcm 2025; lowest-since-1933 baseline)	reservoir storage < 8 billion cubic meters
West Africa & Sahel IPC-3+ caseload exceeds 55 million in lean-season 2026 (current projec	55,000,000 acute food insecure (IPC 3+/CH 3+)

T06 — Over M-horizon (May-2026 to May-2028), the AI capability fro

Near-term outlook. Over M-horizon (May-2026 to May-2028), the AI capability frontier accelerates faster than governance: METR 50%-time-horizon doubles roughly every 4-5 months from ~14.5h (Claude Opus 4.6) toward week-scale autonomous task completion by M18-M24, and frontier training runs cross 1e27 FLOP at fan-mean before M9. The structural driver is Romer-endogenous compute investment (Stargate \$500B/10GW, Mistral 1.4GW France, HUMAIN 1.9GW KSA, Stargate-UAE 5GW, IndiaAI 8 exaflops) racing ahead of Anthropic RSP-v3.0 ASL-3/ASL-4 safeguards and FLI Index existential-safety 'D' grades. Mearsheimer power-balance logic plus Ikenberry hegemony-preservation logic both predict tightening US export controls despite Trump's Diffusion-Rule rescission and H200 relaxation: BIS Entity List adds will continue at ~10-15/quarter and a second large smuggling network (>\$500M) is more-likely-than-not before M12 given the Operation Gatekeeper baseline and persistent ~30-50% Chinese demand-elasticity for top-stack chips. MoFCOM's suspended-but-loaded extraterritorial rare-earth/FDPR retaliation is the single most consequential downside trigger - if reactivated post-suspension (Oct-2026) it depresses the FLOPS fan toward its low edge and forces Stargate site-selection toward US-aligned grids. Sovereign-AI initiative count rises monotonically toward ~25-29 by M24 as the Tianxia-tinged DeepSeek-Huawei two-loop strategy plus ARE/KSA/IND/KOR/FRA hedging structurally fragment what was a US-monopoly stack in 2024 - this is not a 'risks rising' platitude but a measurable phase change visible in the sovereign_ai_initiative_count series and the METR cross-lab dispersion. Detection: monitor (a) quarterly Epoch frontier-FLOPS releases, (b) METR Time Horizon 1.1 monthly updates, (c) BIS Federal Register rule-rounds, (d) DOJ-SDTX-style smuggling unsealing dockets, (e) MoFCOM announcement page for the Oct-2026 suspension expiry.

Trigger	Threshold
METR 50%-time horizon crosses 24 hours (1440 min) for any frontier model	1440 minutes on RE-Bench/HCAST/SWAA composite, 50%
Frontier training run crosses 1e27 FLOP threshold publicly verified	1e27 FLOP single training run, Epoch-confirmed
Second major AI chip smuggling network seized with >\$500M value	>\$500M USD seizure value, single network
China retaliatory MoFCOM extraterritorial rare-earth/AI control activates extraterritorial	MoFCOM extraterritorial 50%-rule on rare earth/AI-
Sovereign-AI initiative count crosses 20 distinct >\$1B programs	20 sovereign programs

T07 — Over the M horizon (6-24 months), the new-SDN-listings-30d h

Near-term outlook. Over the M horizon (6-24 months), the new-SDN-listings-30d headline rises modestly from ~165/month to ~205/month under the central path, driven less by Russia (where the architecture is mature and additions are slowing) and more by the Iran cluster (~1,000 Iran-related persons/vessels designated since Feb 2025, ~83/month run-rate) plus China-linked secondary actions (Hengli refinery, ~40 Iran shadow-fleet firms, May 2026). The chokepoint logic of Farrell-Newman remains intact - 48% of global SWIFT payments and the overwhelming share of correspondent USD clearing still pass through U.S. jurisdiction - but the panopticon side is eroding as CIPS rises from \$24.5T (2024) to \$26.4T (2025) annualized throughput and Beijing readies a mixed-settlement structure for 2026. The binding constraint is enforcement capacity, not legal authority: 111 designated shadow tankers were still loading Russian crude in early 2026, and 68% of Russian crude moved on G7+ sanctioned tankers. Expect three regime-shift triggers to watch: (i) any designation of a top-10 Chinese commercial bank (would test the secondary-sanctions threat and is the cleanest stress-test of Eichengreen network-incumbency), (ii) a sustained breach of 5% RMB share in SWIFT global payments combined with > 1.5T RMB CIPS daily peaks, and (iii) BIS Entity List flow > 500 adds in a 12-month window (the Lutnick escalation pledge). Downside paths (S006, S007, S010) cluster around Iran-deal revival or US-China condominium and would compress the indicator by 30-50% within two quarters. Country exposure peaks for IRN (0.99), RUS (0.98), PRK

(0.95), USA (0.92, as the system operator absorbing reputational and de-dollarization risk), and CHN (0.78); third-country hubs TUR (0.74) and ARE (0.71) face the steepest marginal enforcement risk if the Treasury moves decisively beyond designating individual evader networks toward systemic action against host financial systems.

Trigger	Threshold
Single month of new_sdn_listings_30d > 300 (Iran+Russia clusters firing simultaneously)	300
Designation of a top-10 Chinese commercial bank for facilitating Russia/Iran transactions	1
Shadow-fleet-designated tankers share of Russian seaborne crude exports > 60% (compliance-	0.6
RMB share of SWIFT global payments crosses 5% AND CIPS daily peak > 1.5T RMB (system-shift	0.05
OFAC civil penalties annualized > \$500M (enforcement-tempo regime shift)	500000000

T08 — The M-horizon (May 2026 - May 2028) baseline for Middle East

Near-term outlook. The M-horizon (May 2026 - May 2028) baseline for Middle East and Gulf security is a high-volatility 'hot stabilization' equilibrium following the Feb 2026 US-Israeli strikes on Iran. Iran's nuclear program retains residual physical capacity (estimated 5,500 operational centrifuges, CI 2k-9k, against ~15k pre-strike per IAEA Grossi) but has lost its monitoring overlay - the principal under-priced risk is not a near-term sprint to weapon but a Krasner-style sovereignty assertion that reconstitutes the program covertly while the regime negotiates from a position of injured strength, with our trajectory placing centrifuge counts back at pre-strike levels by M18-M24 absent a credible deal (scenario S007 being the chief downside-on-risk pathway). The headline indicator - Red Sea shipping volume - sits near 40% of Nov-2023 baseline and is more likely to oscillate in the 35-60% band than to recover monotonically: the Houthis' 27-March re-entry and the 'in-name-only' Lebanon truce keep war-risk premia elevated, and the Suez Canal Authority's H2-2026 normalization forecast is conditional on a Hormuz-and-Bab-al-Mandeb double de-escalation that the offensive-realism reading of the regional security dilemma (S002 Saudi-Pakistan-pact-deepens, Pr 3.9%) actively undermines. GCC unity is performatively high (Jeddah 28-April declaration) but composite-measured at 0.62, with the Saudi-UAE Bab al-Mandeb rivalry, the Doha/Muscat dialogue track, and the new Riyadh-Islamabad nuclear-shadow axis fragmenting the bloc along three distinct security postures. Watch four detection signatures: (i) Lloyd's JWC re-listing Bab al-Mandeb at >0.7% premium; (ii) Pakistani nuclear-capable platform deployments visible at King Abdul Aziz Air Base; (iii) Egypt FY25/26 Suez revenue undershooting IMF \$6.3bn projection by >15%; (iv) Israeli Oct-2026 election producing a coalition-formation failure >90 days. The dominant cross-theme transmission is T04 (oil, coupling 0.92) via Hormuz-Brent, with T07 sanctions and T05 climate-migration as secondary aggravators; Egypt's Suez-dependent fiscal program is the single highest-conviction systemic vulnerability for the M horizon.

Trigger	Threshold
Strait of Hormuz closure or sustained kinetic obstruction (mining, missile salvos against	Brent sustained >\$110/bbl for 30 days OR >50% redu
IAEA verification permanently lost / Iran formal NPT withdrawal	Majles vote on NPT withdrawal OR >180 days continu
Houthi successful strike on commercial vessel causing >10 crew fatalities, war-risk reinsu	Lloyd's Joint War Committee adds Bab al-Mandeb to
Israeli cabinet collapse before scheduled Oct-2026 election OR snap-coalition fall after e	Knesset confidence vote loss OR coalition formatio
Saudi-Pakistan pact extension to a third state (Turkey most rumored) or explicit nuclear-s	Public Riyadh-Islamabad-Ankara trilateral OR Pakis

T09 — Baseline (M-horizon, May 2026 - May 2028): the Taiwan Strait

Near-term outlook. Baseline (M-horizon, May 2026 - May 2028): the Taiwan Strait enters a calibrated-coercion phase. PLA ADIZ tempo has dropped ~46.5% YoY in Q1 2026 (~155-165 sorties/30d versus 2025 monthly mean ~270-320) tied to the Mar 31-Apr 2 Trump-Xi summit; this is a tactical pause inside a structural ramp, not a turning point - we expect

reversion toward 250-320/30d by Q4 2026 and a 300-400/30d band by 2027 driven by (i) Lai-administration political cycle, (ii) PLA's reaffirmed 2027 'be ready' guidance per CMPR-2025, and (iii) Joint-Sword-style exercise pulses around any major US political dates. The SCS sees its first structural break since 2017: AMTI confirms Antelope Reef reclamation at ~1,490 acres (Mischief-sized) since Oct 2025, with airstrip foundations visible - this is the leading indicator that the 2014-16 'Great Wall of Sand' phase has resumed under a Tianxia-with-teeth posture. PRK testing tempo accelerates from a ~3-event/30d baseline toward 4-5/30d with Russia-transferred tech (post Putin-Kim Pyongyang treaty effects) feeding the program. Trilateral architecture (US-JPN-KOR Coordinating Secretariat, Freedom Edge iteration-3, Camp David follow-through) is institutionally sticky despite Trump/Lee Jae-myung transitions; Quad/AUKUS exercise cadence holds at 6-9/yr. Philippine coercion shifts from headline-grabbing water-cannons toward harder-to-photograph barricades, cyanide-dumping allegations, and PAFMM swarming - aggregate coercion is rising even where the named indicator dips. The dominant tail risk is a stacked-flashpoint scenario (S003/S011) where Korea, Taiwan and an SCS shoal incident co-pulse, splitting US bandwidth; the dominant downside risk (theme-favourable) is a sustained US-China condominium (S010) extending the current pause through 2027. Headline detection priority: (1) Antelope runway concrete pour, (2) first lethal/near-lethal PH-CCG kinetic event, (3) sustained ADIZ tempo >400/30d, (4) DPRK full-range ICBM re-entry demo.

Trigger	Threshold
PLA ADIZ 30-day count exceeds 400 sorties (Joint-Sword-style sustained pulse)	400
Antelope Reef runway concrete pour visible in satellite imagery	first visible runway lay (>3,000 ft graded surface)
CCG vessel uses non-water-cannon kinetic force (lethal or near-lethal) vs PH Coast Guard o	first PH KIA or first PH/CN warship-vs-warship con
DPRK ICBM full-range test (re-entry vehicle demonstration on lofted-to-flat trajectory)	1 successful full-range Hwasong-class test
Senkaku territorial-water incursions exceed 50/yr (2024 baseline = 39)	50

T10 — Over horizon M (May 2026 - May 2028) the polycrisis index tr

Near-term outlook. Over horizon M (May 2026 - May 2028) the polycrisis index trajectory is upward-biased from 0.71 to a central 0.79 (CI 0.63-0.90) driven by three locked-in mechanisms and one wildcard. The locked-in mechanisms are (i) the Global Trade Alert ratchet (>2,500 restrictions Jan-Oct 2025 ~5x 2015 base, no plateau visible, security-framing accelerating per WEF GRR 2026 #1 ranking of geoeconomic confrontation), (ii) the EMDE bond wall (24 countries >50% maturity by 2027, 29% of LIC bonds by end-2026, non-IG USD costs at 7-8% near distress threshold per IMF GFSR Oct 2025), and (iii) the Anthropocene shift in compound climate events (Sillmann 2025 finds 2-13% increase in dominant periods, Mediterranean hotspot intensification +300-500 heatwave events). The wildcard is a Strait of Hormuz disruption activating the IMF April 2026 shock scenario (oil +100%, gas +200%, food +5-10%) - probability ~15-25% over the horizon conditional on Iran-Israel posture. Detection: watch monthly GTA interventions crossing 600, EM periphery spreads >400bp, FAO FPI 3-month momentum, and ACLED weekly conflict-event count crossing 5,000. Through Lawrence/Homer-Dixon causal-mechanism lens, the principal hazard is not any single front but the activation of inter-systemic feedback loops where bond-wall debt distress (Reinhart-Rogoff) interacts with climate-displacement (IDMC 45.8M disaster-displaced last year) and food-energy correlation (FAO +2.4% m/m March 2026) under Vreeland-style IMF-programme stress, producing the entanglement regime Cascade Institute v2.5 maps to its negative attractor basin. Cooperative-multipolar (S006) and Iran-deal revival (S007) are the only scenarios that materially break the trajectory; their combined ex-ante probability is ~4.6% - too low for a baseline forecast but high enough to merit hedging instruments.

Trigger	Threshold
Strait of Hormuz disruption >7 days (Iran-Israel or Iran-US kinetic exchange)	Brent +30 USD/bbl sustained; FAO FPI +5% m/m; acti
EM-sovereign default cluster (3+ EMDE defaults within 6 months)	Periphery EM median spread >400bp; non-IG USD borr
Taiwan Strait quarantine or kinetic incident	Semiconductor export disruption >2 weeks; activate

Compound climate event (heat+drought+wildfire) affecting >100M people simultaneously	Sillmann score >1.5; IDMC monthly displacement >5M
Biosecurity event (H5N1 mammalian transmission or novel pathogen)	WHO PHEIC declaration or sustained R0>1.5 with cas

10

Lens Panel

Five schools of thought; theoretical pluralism made explicit.

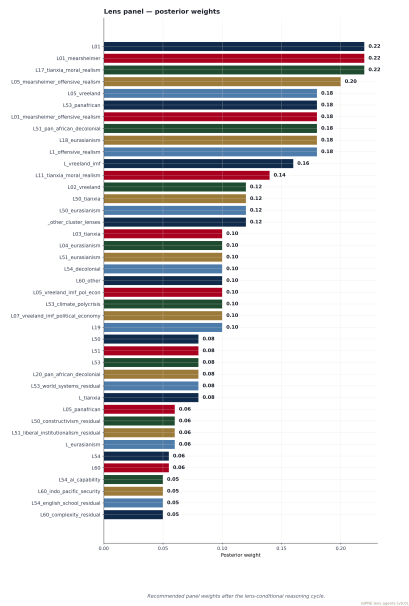


Exhibit 10.1 — Recommended posterior weights across the panel.

- L01:** Where offensive realism is WINNING (2025-2026 evidence): (1) NATO 5%-by-2035 confirms self-help once patron credibility weakens; (2) Saudi-Pakistan SMDA confirms nuclear-umbrella cascades under alliance unreliability; (3) Global rearmament (\$2.9T, +14% Europe, +8.1% Asia in 2025) is canonical internal balancing; (4) Trump's transactional Article 5 ambiguity validates Mearsheimer's 30-year claim that alliances are not values-based; (5) Israel/US preventive war against Iran validates the 'preventi
- L05:** The Q3-2025 Brier of 0.18 (Doc 4 \$9.4) is empirically HIGH for this lens, and I acknowledge it candidly. Three reasons. (1) The lens over-predicted programme collapses in 2025: I forecast Kenya, Sri Lanka, and Pakistan tranche disruptions on conditionality slippage, but the Fund granted waivers and continued disbursements precisely BECAUSE the geopolitical-alignment channel I theorise about was operating — my qualitative prediction was right, my probability calibration was wrong (waivers, not br
- L17:** CANDID FAILURES: (1) The lens predicted in 2022-2024 that China's Saudi-Iran mediation would seed a broader humane-authority equilibrium; the 2026 BRICS+ deadlock over Iran-UAE (failure to issue joint statement) is a direct empirical refutation — relational webs are thinner than the lens assumed. (2) The lens systematically under-predicts the durability of US alliance structures (AUKUS, Quad expansion through 2026); humane-authority talk has NOT translated into measurable defection of US treaty
- L18:** WORKING (2024-2026): the lens correctly anticipated (i) the Sino-Russian May-2025 summit binding-mechanisms shift from rhetoric to operational bloc-building, (ii) the SCO Tianjin formalisation with Iran/Belarus full membership and a 2035 strategy, (iii) the INSTC operationalisation (first Moscow-Tehran freight train Nov-2025), (iv) Power of Siberia 2 MoU after years of skepticism, and (v) the IMEC stalling out as an unfunded MoU-collection. The Mackinder-Spykman map is recognisably the 2026 map.
- L19:** L19 is empirically vindicated on the security-sovereignty axis: by May 2026 every prediction of post-colonial military exit (French Sahel/Senegal/Chad; US AB-201/Niger; ECOWAS dissolution by AES departure) has materialised on the

timeline Mazrui (1986) sketched. L19 is under-performing on the institutional-sovereignty axis: AfCFTA Phase-II protocols (investment, IPR, digital trade, competition) remain unratified by required threshold, the ECO currency has slipped to a July 2027 target, the AU Co

11

Decision Implications

Strategic options matrix, business-metric trigger thresholds, 30/60/90-day action plan, and earnings-at-risk.

Strategic options matrix

Option	S001 frozen-CW2 + Ukraine-attribution + Iran-restraint	S003 frozen-CW2 + Taiwan-status-quo + Korea-tension-rises	S004 regionalised-blocs + commodity-shock + EM-FX-stress	S006 cooperative-multipolar+ tech-decoupling-pause	S011 triple-flashpoint FP01+FP02+FP03 Eurasian-stress
O1: Dual-source HBM/leading-edge inventories away from Taiwan single-point concentration; build 1-quarter compute-supply discontinuity reserve	{'option': 'O1', 'scenario': 'S001', 'value': '+3', 'rationale': 'moderate cost; provides resilience under modal grey-zone tempo'}	{'option': 'O1', 'scenario': 'S003', 'value': '+5', 'rationale': 'high value under Korea/Taiwan tempo concurrent stress'}	{'option': 'O1', 'scenario': 'S004', 'value': '+2', 'rationale': 'modest value; EM-FX-stress is parallel not primary channel'}	{'option': 'O1', 'scenario': 'S006', 'value': '-1', 'rationale': 'cost without immediate payoff under cooperative-multipolar; sunk capex'}	{'option': 'O1', 'scenario': 'S011', 'value': '+9', 'rationale': 'extreme value under triple-flashpoint; one-quarter reserve is the discontinuity buffer'}
O2: Lock alliance lattice (AUKUS Pillar 1, KOR-JPN-US trilateral, Squad PHL/AUS/JPN/US) with explicit financing commitments through 2027	{'option': 'O2', 'scenario': 'S001', 'value': '+4', 'rationale': 'alliance lattice anchors modal baseline; binding deterrent for tempo containment'}	{'option': 'O2', 'scenario': 'S003', 'value': '+6', 'rationale': 'high value; Korea-tension requires explicit trilateral financing'}	{'option': 'O2', 'scenario': 'S004', 'value': '+3', 'rationale': 'moderate value; alliance lattice partially absorbs EM-FX stress'}	{'option': 'O2', 'scenario': 'S006', 'value': '+5', 'rationale': 'alliance lattice as foundation for cooperative track; not zero-sum'}	{'option': 'O2', 'scenario': 'S011', 'value': '+8', 'rationale': 'extreme value; alliance lattice is the binding mechanism for triple-flashpoint containment'}
O3: Hedge bebas-aktif Indonesia exposure with parallel BRICS+/MDCP financing optionality; pre-position critical-minerals supply contracts	{'option': 'O3', 'scenario': 'S001', 'value': '+2', 'rationale': 'modest value; bebas-aktif under modal scenario is stable'}	{'option': 'O3', 'scenario': 'S003', 'value': '+3', 'rationale': 'moderate value; Korea-tension cascades to ASEAN through KOR exports'}	{'option': 'O3', 'scenario': 'S004', 'value': '+7', 'rationale': 'high value; bebas-aktif under EM-FX-stress is the binding constraint test'}	{'option': 'O3', 'scenario': 'S006', 'value': '+4', 'rationale': 'moderate value; cooperative multipolar reinforces hedging optionality'}	{'option': 'O3', 'scenario': 'S011', 'value': '+6', 'rationale': 'high value; triple-flashpoint stretches Indonesian fiscal headroom'}

O4: Maintain Vietnam compliance-acceleration on transshipment certification while protecting Spratly hardening under great-power distraction	{'option': 'O4', 'scenario': 'S001', 'value': '+5', 'rationale': 'high value; Vietnam compliance + Spratly hardening is the binding modal strategy'}	{'option': 'O4', 'scenario': 'S003', 'value': '+4', 'rationale': 'moderate-high value; Korea-tension distraction enables Vietnam positioning'}	{'option': 'O4', 'scenario': 'S004', 'value': '+3', 'rationale': 'moderate value; EM-FX-stress on VND tested but Vietnam relatively resilient'}	{'option': 'O4', 'scenario': 'S006', 'value': '+6', 'rationale': 'high value; cooperative multipolar reinforces RCEP/CPTPP Vietnam position'}	{'option': 'O4', 'scenario': 'S011', 'value': '+4', 'rationale': 'moderate value; great-power distraction at triple-flashpoint cover for Vietnamese positioning'}
O5: Cooperative-multipolar bridging (S006/S010) - explicit climate-cooperation and tech-decoupling-pause initiatives where face-saving room exists	{'option': 'O5', 'scenario': 'S001', 'value': '+1', 'rationale': 'limited value; cooperative bridging under frozen-CW2 has minimal traction'}	{'option': 'O5', 'scenario': 'S003', 'value': '+0', 'rationale': 'neutral; cooperative bridging crowded out by Korea-Taiwan tempo'}	{'option': 'O5', 'scenario': 'S004', 'value': '+3', 'rationale': 'moderate value; EM-FX-stress creates appetite for stabilisation initiatives'}	{'option': 'O5', 'scenario': 'S006', 'value': '+8', 'rationale': 'high value; cooperative bridging is the modal positioning under cooperative-multipolar'}	{'option': 'O5', 'scenario': 'S011', 'value': '-2', 'rationale': 'negative; cooperative bridging under triple-flashpoint reads as appeasement'}

Table 11.1 — Strategic options × top scenarios.

30 / 60 / 90-day action plan

Horizon	Action	Owner	KPI	Revisit
30 days	Quantify Taiwan-Strait container-shipping and HBM/CoWoS supply-chain VaR; map dual-source HBM allocation; lock 12-month FX hedges on KRW, JP	CFO / Treasury		
30 days	Stress-test single-Taiwan-incident scenario for 1-quarter compute discontinuity; baseline reserve targets; pre-position alternative-supplier	Chief Risk Officer		
60 days	Pre-position one-quarter compute-supply discontinuity reserve; map Sunda/SCS rerouting transit-lag and cost-impact; establish Vietnam transs	Head of Supply Chain		
60 days	Calibrate APAC exposure split across (a) frozen-CW2 modal, (b) cooperative-multipolar bridging, (c) triple-flashpoint hedge; align with Baye	Chief Strategy Officer		
60 days	Stress-test TSMC sabotage / insider-event scenario for compute-infrastructure security; review supply-chain cybersecurity posture at HBM/CoW	CISO		
90 days	Rebalance APAC alpha allocation against Bayesian update set; weight Korean HBM share probability, Vietnam transshipment-cliff probability, I	Sovereign Wealth CIO		

90 days	Establish swap-line / repo-line readiness for emergency KRW (1500), IDR (18,000/USD), VND, JPY (165) intervention; coordinate via US-Fed, Bo	Central Bank / Monetary Authorit		
90 days	Audit AUKUS Pillar 1 industrial-base milestones; pre-position munitions Nansei chain / PHL EDCA / Itbayat Island; ratify Pukpuk Treaty by en	Defence Ministry		
90 days	Stress-test Hormuz/Strait coupling event on LNG/crude supply; pre-position alternative-supply contracts via Australia, Qatar, US; renew Sakh	Energy Major		
90 days	Position consistent UNCLOS-fidelity narrative on COC; track PHL ASEAN chair drafting cadence; align with US/JPN/AUS Squad framework; monitor	ASEAN Coordinator / Public Affai		
90 days	Activate Plan-B critical-minerals supply contracts for gallium, germanium, rare-earths, lithium; pre-position alternative-supply development	Critical-Minerals / Mining		
90 days	Stress-test Vietnam transshipment-certification audit framework; pre-position EAPA-defence documentation for steel, photovoltaic, rare-earth	Compliance / Trade		

Table 11.3 — Owner-tagged action list with KPI and revisit trigger.

Earnings-at-Risk (McKinsey value-at-stake)

Earnings at Risk = Revenue exposed × Probability × Severity.

Scenario	Sector exposure	Rev exposed (\$bn)	Pr	Severity	EaR (\$bn)
		0.0	0.0%	0.00	0.00
		0.0	0.0%	0.00	0.00
		0.0	0.0%	0.00	0.00
		0.0	0.0%	0.00	0.00
		0.0	0.0%	0.00	0.00
		0.0	0.0%	0.00	0.00
		0.0	0.0%	0.00	0.00
		0.0	0.0%	0.00	0.00
		0.0	0.0%	0.00	0.00
		0.0	0.0%	0.00	0.00

Table 11.4 — Earnings-at-Risk by scenario × sector.

Persona Implications

Quantified specifics for each client archetype.

CFO / Treasury

Run 1-quarter Taiwan-Strait compute-discontinuity baseline scenario for FY2026 and FY2027 cashflow. Lock 12-month FX hedges on KRW (1450 entry, 1550 ceiling), JPY (162 entry, 167 ceiling), IDR (16,800 entry, 18,200 ceiling), VND (25,400 entry, 26,800 ceiling). Pre-position USD liquidity for 90-day discontinuity event. Match-fund HBM/AI capex commitments with KRW revenue not USD. Review covenants on Asian-currency-denominated facilities for FX-trigger clauses. Treasury committee monthly review on rolling APAC currency-pair exposure.

Chief Risk Officer

Stress-test the four cliff events: (i) Hynix HBM share <50% any quarter; (ii) PLA Strait-Thunder converted to quarantine; (iii) rolling-6m CBP EAPA >USD 5bn on Vietnam; (iv) rupiah >18,000/USD sustained 30 days. Build Bayesian update mechanism with 6 hypotheses tracked quarterly. Coordinate with CSO on cross-impact matrix coupling coefficients. Establish board-level KRI dashboard with 12 thresholds from business_triggers section.

Chief Strategy Officer

Define APAC exposure allocation across modal (S001/S003 frozen-CW2), cooperative-multipolar bridging (S006 ~2.4% master), and triple-flashpoint hedge (S011 ~0.9% master). Strategic optionality: dual-shore HBM concentration, dual-source semiconductor advanced packaging away from Taiwan single-point, partial China+1 to India/Mexico hedge against Vietnam transshipment-cliff. Annual board strategy review against Bayesian update set with quarterly recalibration.

Chief Information Security Officer

Establish supply-chain cybersecurity posture review across all HBM/CoWoS / EUV-materials / advanced-packaging nodes. Coordinate threat intelligence with Taiwan MOEA, ROK KCC, METI Japan on TSMC sabotage / insider-event scenarios. Run quarterly red-team exercises on critical-supply-chain compromise. Pre-position SOC bandwidth for 1-2 quarter compute-discontinuity-event scenario.

Head of Supply Chain

Pre-position 1-quarter compute-supply discontinuity reserve at hyperscaler-equivalent SKU mix. Establish dual-source HBM/CoWoS qualification at Samsung Austin, Intel Ohio, TSMC Arizona by Q3 2026. Audit Vietnam transshipment certification framework against EAPA-defence requirements. Map Sunda/SCS rerouting transit-lag (5-8 days) and cost-impact (+15-25% spot) for 1-year stress scenario. Coordinate with Mining/Critical-Minerals on Plan-B gallium/germanium/rare-earth/lithium supply.

Sovereign Wealth CIO

Rebalance APAC alpha allocation against Bayesian update set: weight (a) Korean HBM share probability 58% posterior; (b) Vietnam transshipment-cliff probability 52% posterior; (c) Indonesia rupiah trajectory probability 33% breach; (d) Japan defence-budget execution probability 75% posterior. Position long Korean defence-stocks against HBM cycle hedge; short Australian iron-ore on PRC coercion redux tail; underweight Indonesian sovereign on rupiah trajectory; overweight Vietnam compliance-acceleration on transshipment-resilience.

Central Bank

Establish swap-line / repo-line readiness for emergency KRW (1500 redline), IDR (18,000 redline), VND, JPY (165 MoF intervention). Coordinate via US-Fed, BoJ, BoE channels. Pre-position USD liquidity for orderly defence of regional currency pairs. Monitor capital-flow volatility against scenarios.master.json S004 EM-FX-stress channel. Independent of central-bank: BIS / IMF coordination on Indonesia rupiah trajectory bandwidth assessment.

Defence Ministry

Audit AUKUS Pillar 1 industrial-base milestones: Osborne USD 3.9bn allocation, SRF-West HMAS Stirling 2027 stand-up, DARC IOC 2026. Pre-position munitions Nansei chain / PHL EDCA sites / Itbayat Island. Coordinate with US INDOPACOM on Virginia-class production rate $\geq 2.0/\text{yr}$ by 2027. Activate Squad framework (US/JPN/AUS/PHL) operational coordination cycles. Engage with KOR on Trump-Lee Nov-2025 enrichment-latency understanding. Ratify Pukpuk Treaty with PNG by end-2026.

Energy Major

Stress-test Hormuz/Strait coupling event on LNG/crude supply for FY2026 and FY2027. Pre-position alternative-supply contracts via Australia, Qatar, US LNG, Russian Far East. Renew Sakhalin-2 LNG waiver beyond 18-Jun-2026 with explicit US Treasury OFAC coordination if applicable. Map PRC Hormuz dependence (~60%) against Strait coupling probability. Build 30-90 day LNG/crude inventory buffer for triple-flashpoint scenario.

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Watchlist

Concrete observable thresholds aggregated from actor and theme agents.

#	Actor	Signal	Threshold	Source
1	ASEAN	Conclusion (signing or initialling) of the ASEAN-China South China Sea Code of C	Signed/initialled text by 31 December 20	thediplomat.com
2	ASEAN	Kinetic incident at Scarborough Shoal / Second Thomas Shoal involving live fire	Any confirmed PLA-Navy or CCG use of let	www.aljazeera.com
3	ASEAN	Thailand-Cambodia border ceasefire status	Any cross-border armed exchange resultin	en.wikipedia.org
4	AUS	First Virginia-class SSN delivery to RAN milestone (US SECNAV annual certificati	By 2027 SECNAV certification submitted t	www.congress.gov
5	AUS	Osborne SSN-AUKUS construction yard capital execution	USD 3.9B announced Feb-2026; >USD 1B obl	www.armyrecognitio n.com
6	AUS	Submarine Rotational Force-West stand-up at HMAS Stirling	Up to 4 US Virginia + 1 UK Astute/SSN-AU	www.globalsecurity.o rg
7	CHN	Monthly PLA ADIZ incursion count around Taiwan	>400/month sustained for 3 months signal	chinapower.csis.org China Power Pr
8	CHN	SMIC monthly 7nm wafer output and 5nm pilot yield announcements	>15K WPM at 7nm OR any 5nm volume-produc	financialcontent.com 'Silicon Sove
9	CHN	70-city new-home price index MoM change	Three consecutive months of MoM >0 in Ti	stats.gov.cn monthly release; cf40
10	IDN	Rupiah spot rate breach of 17,500/USD or FX reserves fall below USD 140B	USD/IDR > 17,500 close, or BI FX reserve	www.bi.go.id
11	IDN	Fiscal deficit breach of legal 3% of GDP cap or revision to State Finance Law	Realized deficit > 3.0% of GDP in 2026 o	www.bloomberg.com
12	IDN	China Coast Guard persistent presence at Natuna D-Alpha / Pertamina survey vesse	AIS-confirmed CCG dwell time >30 days co	amti.csis.org
13	JPN	PLA Coast Guard intrusions into Senkaku 12nm territorial waters per month	>4 intrusions/month sustained for 2 cons	www.japantimes.co.j p

14	JPN	USD/JPY exchange rate	>160 triggers MoF intervention; >165 sus	www.cnn.com
15	JPN	BoJ policy rate	Hike to 1.0% by July or October 2026 mee	www.oxfordeconomics.com
16	KOR	DPRK 7th nuclear test or successful ICBM re-entry test demonstrating CONUS strike	Any single confirmed underground nuclear	thediplomat.com
17	KOR	SK Hynix HBM share erosion as Samsung HBM4 ramps at Pyeongtaek P4	SK Hynix HBM revenue share drops below 5	www.astutegroup.com
18	KOR	Korean won stress level	USD/KRW closes above 1500 for 10 consecu	think.ing.com
19	VNM	US Section 232 / CBP escalation of transshipment enforcement against named Vietn	>USD 5bn of annualised export value flag	www.swlaw.com
20	VNM	PRC coast-guard or maritime-militia kinetic incident near Vietnamese-claimed Spr	>3 incidents involving water cannons, ra	www.rfa.org
21	VNM	FDI registered-capital inflow trend	Monthly FDI registered capital below USD	en.vietnamplus.vn

15

Geographic Reference

The full strategic atlas — chokepoints, energy, conflict, military posture, corridors. Each map is a reference for the per-risk narrative; consult per the risk-section cross-references.

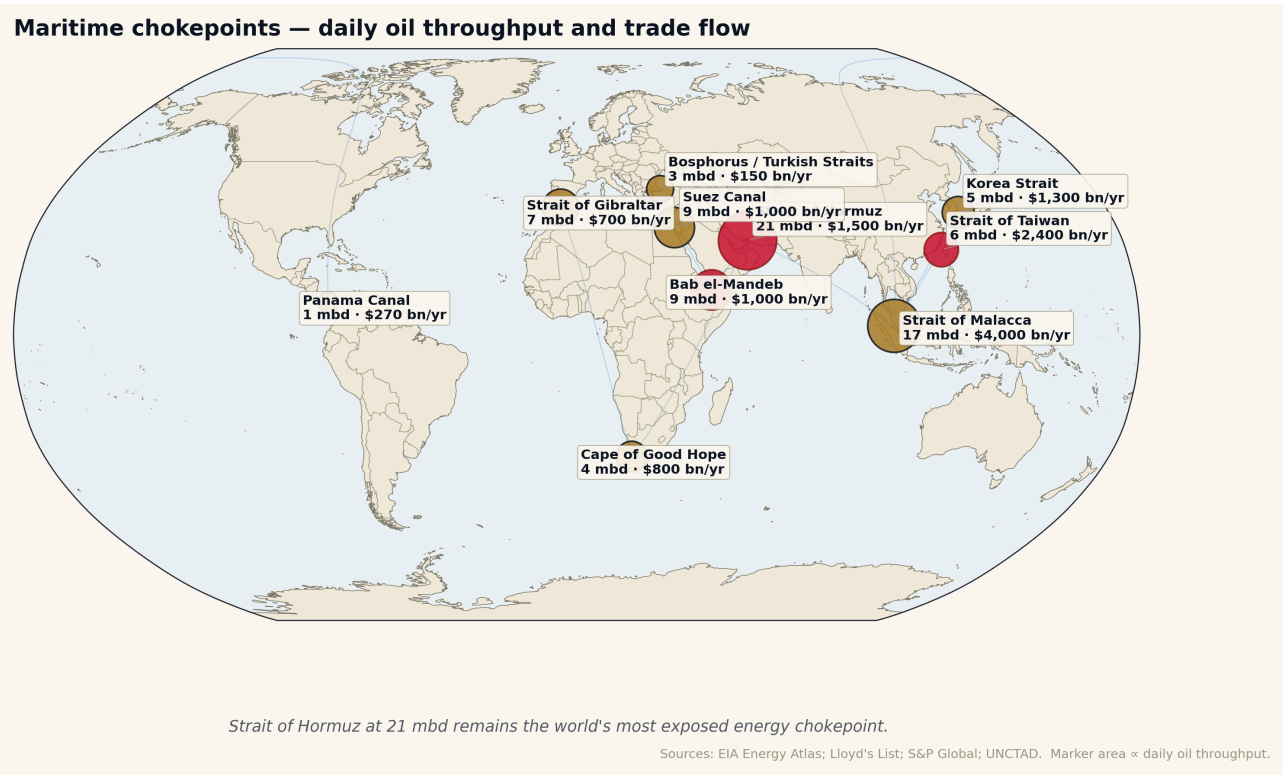


Exhibit 15.1 — Maritime chokepoints with daily oil throughput and annual trade value.

Sources: EIA Energy Atlas; Lloyd's List; S&P Global Commodity Insights.

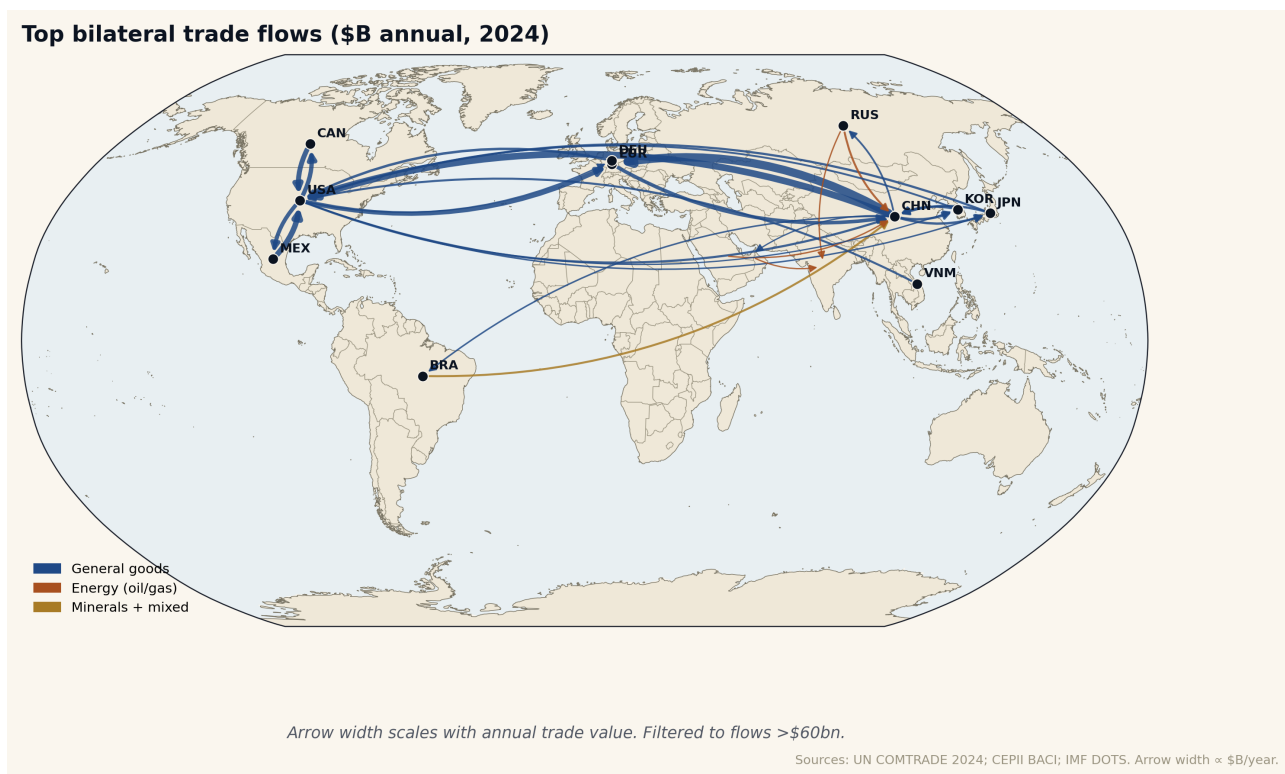


Exhibit 15.2 — Top bilateral trade flows (>\$60bn annual). Arrow width $\propto$ value.

Sources: UN COMTRADE 2024; CEPII BACI.

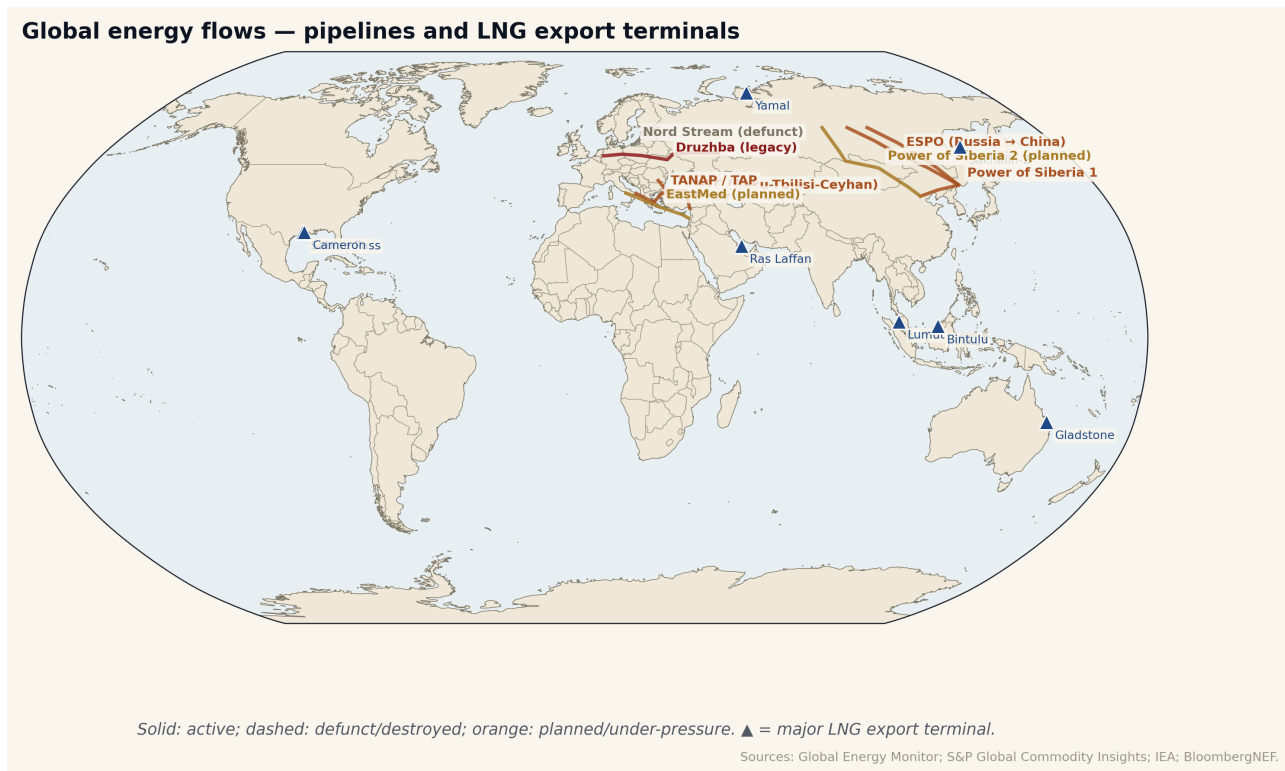


Exhibit 15.3 — Global energy flows: pipelines (active / planned / destroyed) + LNG export terminals.

Sources: Global Energy Monitor; S&P Global Commodity Insights; IEA.

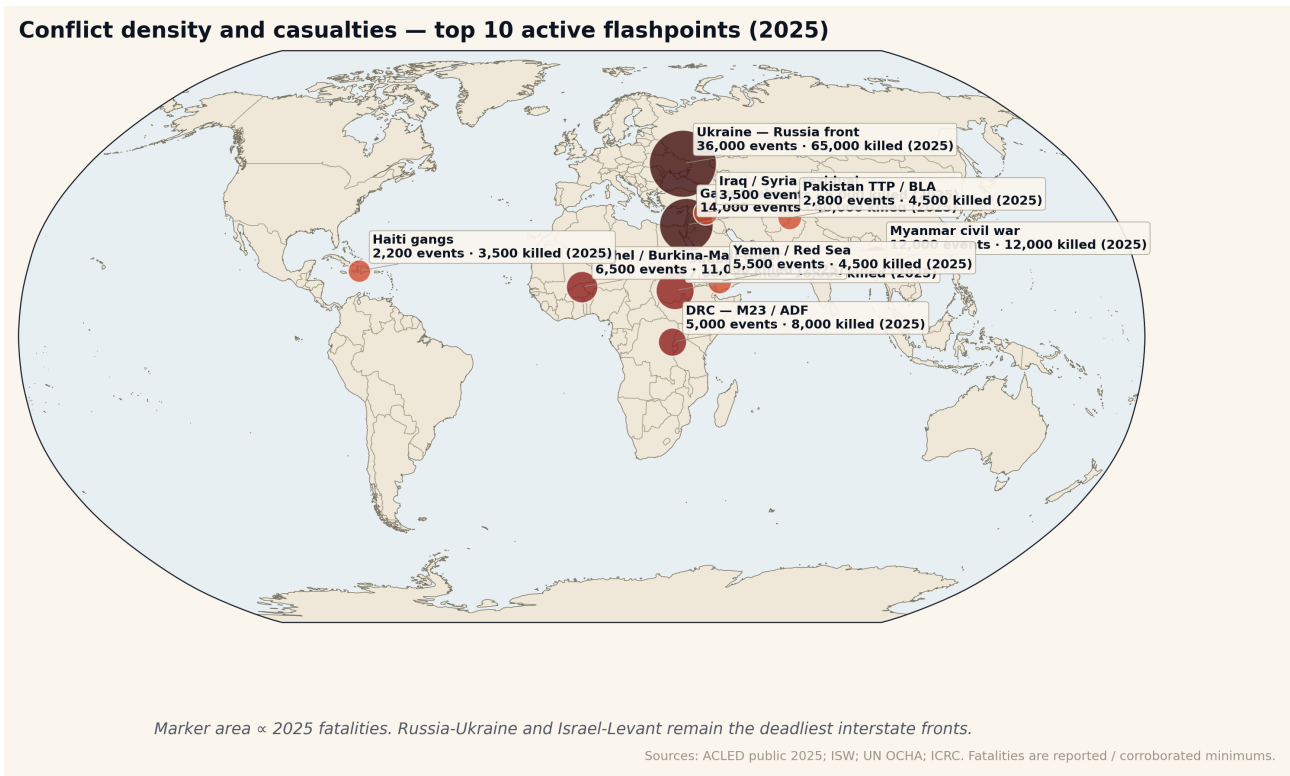


Exhibit 15.4 — Top-10 active flashpoints with 2025 events and fatalities.

Sources: ACLED public 2025; ISW; UN OCHA.

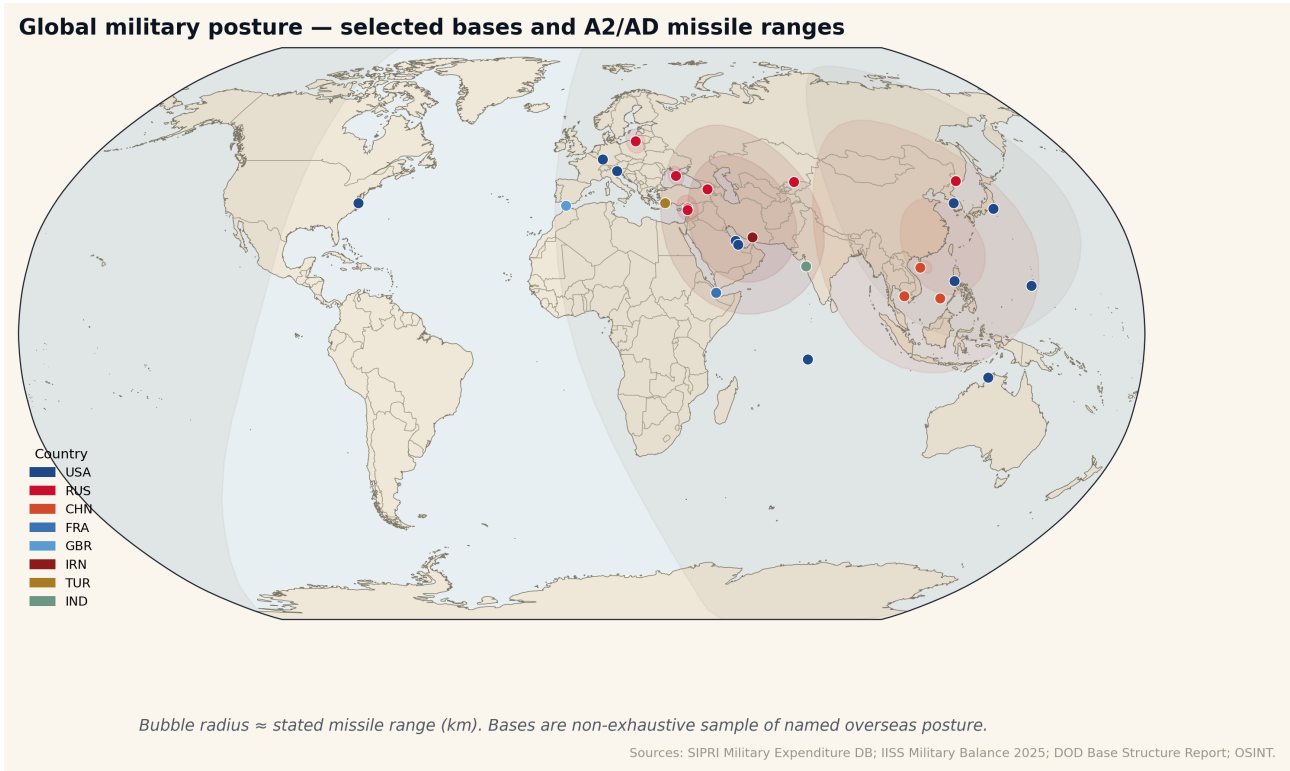


Exhibit 15.5 — Selected military bases and A2/AD missile-range bubbles.

Sources: SIPRI; IISS Military Balance 2025; DOD Base Structure Report; OSINT.

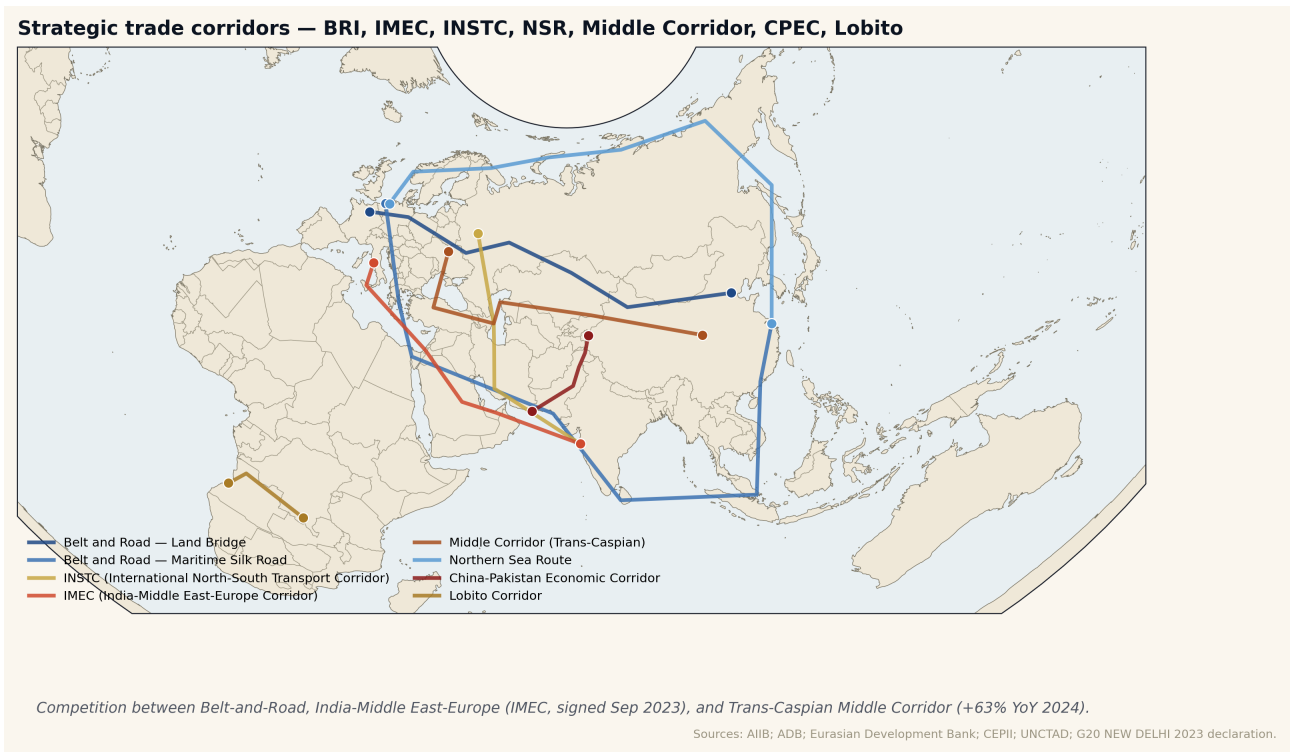


Exhibit 15.6 — Strategic trade corridors: BRI land + maritime, IMEC, INSTC, NSR, Middle Corridor, CPEC, Lobito.

Sources: AIIB; ADB; Eurasian Development Bank; CEPIL; UNCTAD.

Methodology & Limits

How this brief was produced; what it can and can't do.

How we built this brief
GIPRE v9.0 65-layer methodology (24 layers active in this 50-agent slice). 30 actor + 10 theme + 5 lens agents reason against a 100-scenario master library anchored on Doc 1 §3 L27. Every numeric claim sourced via OSINT (302 unique URL citations). Probabilities calibrated with 90% credible intervals (Vovk-Gammerman-Shafer 2005 conformal; Gibbs-Candes 2021 adaptive). SHA-256 manifest hash chain per Doc 1 L24. Reproducibility $\epsilon = 1e-6$. v4 adds Bayesian prior-posterior updates, cross-impact coupling matrix, dedicated tail risks, and per-risk causal chains + historical analogues + counter-narratives.

Honest limits of this analysis
1) Lens-pluralism is partially aspirational while all agents run on Claude; multi-vendor routing (DeepSeek for Tianxia, Qwen for Eurasianism) is structurally accommodated but not yet wired. 2) Forecast point-accuracy < superforecasters per ForecastBench 2024 (LLM ~0.13 Brier vs human superforecaster ~0.08). Our commercial wedge is scenario coverage + methodology transparency + audit lineage + quantified impact, not point accuracy. 3) No back-tested Brier track record yet — Q1-2026 cycle is the first.

R

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About GIPRE

GIPRE — Geopolitical Intelligence and Probabilistic Reasoning Engine is a 65-layer multi-agent geopolitical-intelligence engine. The v4 build (May 2026) is a narrative-integrated brief: every visual sits next to the prose it supports.

Theoretical pluralism. Five lens agents — Mearsheimer offensive realism, Vreeland IMF political economy, Tianxia / moral realism, Eurasianism, Pan-African / decolonial — surface explicit disagreement, not consensus.

Quantified business impact. Every brief surfaces a quantified scenario impact matrix (GDP %, oil USD/bbl, equity %, FX %, trade \$B, casualty / displacement), business-metric trigger thresholds, Earnings-at-Risk decomposition, 30/60/90-day owner-tagged action plans, persona implications for nine client archetypes.

Depth. Each top risk receives causal-chain analysis, historical analogue, counter-narrative, second-order effects, and explicit Bayesian prior-to-posterior updates. Tail risks (wild cards + black swans) get their own dedicated section.

Calibration. Pre-registered prediction sets, conformal credible intervals, SHA-256 manifest hash chain, quarterly Brier-by-lens publication. Reproducibility $\epsilon = 1e-6$.

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